



**ANNUAL COMPREHENSIVE FINANCIAL REPORT  
of the  
MUSCATINE COMMUNITY SCHOOL DISTRICT  
Muscatine, Iowa**

**For the Fiscal Year Ended June 30, 2025**

**2900 Mulberry Ave, Muscatine, Iowa 52761**

**In the county of Muscatine, State of Iowa**



Annual Comprehensive Financial Report  
of the

Muscatine Community School District

Muscatine, Iowa

For the Fiscal Year Ended June 30, 2025

Official Issuing Report  
Tom Anderson, Director of Finance & Budget

Office Issuing Report  
Finance Department



## **Introductory Section**



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**INTRODUCTORY SECTION (Unaudited)**

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**Muscatine Community School District**  
**2900 Mulberry Ave**  
**Muscatine, Iowa 52761**

**Phone: (563) 263-7223**  
**Fax: (563) 263-7729**

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October 17, 2025

Lindsey Phillips, President,  
Members of the Board of Education,  
and the Citizens of Muscatine Community School District  
Muscatine, Iowa

We are pleased to submit to you the Annual Comprehensive Financial Report (ACFR) of the Muscatine Community School District (the District) for the fiscal year ending June 30, 2025. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it.

#### Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the entire District. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

#### Independent Audit/Legal Requirements

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitive bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards, and the annual single audit requirements of Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements and combining and individual fund statements and other schedules is included in the financial section of this report. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plans (if any) are included in the Compliance Section of this report.

***"Every student is a success story"***

All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Muscatine Community School District's financial statements for the year ended June 30, 2025. The independent auditor's report is located at the front of the financial section of the ACFR.

### Internal Control

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft, or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived, and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school district adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state, and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

### Basis of Presentation

The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Government units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Financial Accounting for Iowa Schools and Area Education Agencies issued by the Iowa Department of Education and Chapter 11 of the Code of Iowa. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

### Profile of the District

The District is located in East Central Iowa along the picturesque banks of the Mississippi River. Muscatine is a city rich with history and a business sense. The city is located just 15 miles south of the nation's only East/West transcontinental interstate highway, Interstate 80, and alongside U.S. 61, a major North/South route through the central United States. Centrally located, Muscatine is an easy half-day drive from Minneapolis/St. Paul, Omaha, and Indianapolis, while being just hours from Des Moines and Chicago. The location has given us strategic importance for over 150 years. Once the "Pearl Button Capital of the World," Muscatine boasts a stable economic base that is appealing even to areas with many times our population. Moreover, our net of employment reaches out to communities on both sides of the Mississippi, making us a strong economic force in the Iowa/Illinois bi-state area.

The resident population of the Muscatine Community School District was approximately 23,797 in the year 2020, according to the U.S. Census Bureau. The District serves the education needs of approximately 4,244 students in grades Preschool-12.

All buildings are air-conditioned and equipped with state of the art technology. In the 2024-25 school year, the district had one preschool building, 6 elementary schools, one 7-8 junior high school, and one 9-12 high school. Construction on the newest elementary school, Jefferson Elementary, was completed in 2015.

The District provides a full range of educational services for those attending the Muscatine Community School District, including basic, regular, and enriched academic education, specialized instruction for students with disabilities, vocational education, and many individualized programs such as specialized instruction for students at-risk. There are no charter school relationships within the District.

The District is supported financially by state aid, property taxes, state and federal grants for special projects, and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. School elections are held in November of odd-numbered years. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions, and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

### Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects, and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all funds of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year.

The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

### Economic Condition and Outlook

Major employers in the area: HNI Corporation, Grain Processing/Kent Feeds and Kent Corporation, SSAB, Hy-Vee Food Store, Bayer (formerly Monsanto), Kraft Heinz, Raymond Corporation, Musco Lighting, Stanley Consultants, and UnityPoint-Trinity.

The Quad Cities region is a bi-state, six-county region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois, which includes the Davenport-Moline-Rock Island IA-IL msa; the Clinton, IA msa, and the Muscatine, IA msa.

The unemployment rate in Muscatine County, Iowa was 4.4% in August 2025. This was higher than the national average of 4.3%.

The District's K-12 enrollment is expected to decrease by about 674 students in the next six years to about 3,900 students. In the next four years, elementary enrollment will decrease by about 80 students to 2,146, junior high enrollment to increase by about 63 students to 607, and high school enrollment to decrease by over 230 students to 1,145. We continue monitoring the size of incoming kindergarten classes versus the size of the outgoing graduating senior class. The number of live births reported year to year will also be an important data point, as currently it indicates fewer live births and will impact cohort changes from year to year.

Taxable valuations of property in the District continue to fluctuate each year. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 2.75%. In the 2024-25 fiscal year (taxable valuations as of January 1, 2023), the decrease was 1.1%.

The three oldest school buildings in the District, Franklin, Grant, and Madison Elementary Schools, were originally built in 1954. Other school buildings in the District have original build dates between 1960 and 2015.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 5% to 15%. The District's solvency ratio at June 30, 2025 is 15.2%, down from 17% from June 30, 2024. Increased cash reserves included in our property tax levy for 2025-2026 will help strengthen our solvency ratio.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. Certified enrollment for the District continues to decrease. The district cost per pupil for 2024-25 was \$7,826 and the cost per pupil for 2025-26 is \$7,988.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid. With declining enrollment and supplemental state aid not keeping pace with inflation, the district has continued to right-size, reducing our overall staffing levels by 28 full-time equivalent (FTE). The district closely monitors staffing ratios, and class sizes to ensure we provide a comprehensive academic program as efficiently and effectively as possible.

#### Debt Administration

As of June 30, 2025 the District had \$22.5M in sales tax revenue bond debt. In 2021 the district completed a facilities study that resulted in projects selected based on the greatest needs determined by the facility study. The projects include secured entrances at two elementary schools and the junior high as well as additions to the junior high and one elementary school.

#### Long-term Financial Planning and Relevant Financial Policies

##### Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term and long-term non-negotiable certificates of deposits. The cash balances of the District's funds are pooled. Interest revenue of \$1,535,331 was earned on all deposits and investments for the fiscal year ending June 30, 2025.

The District currently covers property and liability losses with traditional insurance coverage. The group health and dental plans are self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program, and funding source.

For long-term planning, the District utilizes a "Comprehensive Financial Planning Model" to project various scenarios and how they could affect the financial health of the District in the next five years. The District also has a "Five Year Capital Projects Plan" which is updated at least annually for projecting future capital project needs in the District.

#### Major Initiatives and Achievements

In 2020, Muscatine High School met with stakeholders to develop a vision of the skills and attributes that all students should have when they graduate from MHS and enter the workforce or continue with any of the multiple post-secondary opportunities. Feedback and input was gathered from students, staff, parents, and community members. Portrait of a Muskie Graduate developed multiple pathways for student success including; revised graduation requirements to better align with state requirements and created opportunities for work based learning experiences. As well as assuring better access to Career Pathways with Muscatine Community College.

Over the past several years, the graduation rates at MHS have slowly improved, but are still significantly below state averages. The high school team has expanded work-based learning opportunities for students. This past year over 75 students participated at a variety of local businesses including HNI, Musco, Lutheran Homes, and Ruan Transportation. They've also expanded the number of students participating in Career Academies at MCC. The Academies provide a structured learning track for Culinary, Healthcare, Welding, Business, IT, Automotive Tech, HVAC, K-12 teaching, Criminal Justice, and Credit Transfer programs for students looking to complete an associates degree in high school to transfer directly to a 4-year college or university. Last year the high school implemented an alternative high school program. 15 seniors participated in the program, and were at-risk of not graduating. All 15 seniors met the requirements and graduated. The high school has implemented a JROTC program this year. It is one of four in the state of Iowa. The program focuses on leadership, physical fitness, and academic achievement. We have 52 students participating in the first year. This is an additional career path program as each year we send 25 to 30 students into the armed services.

The district has continued to focus on improving attendance and reducing the number of students chronically absent. The district has historically had very high levels of chronic absenteeism, frequently above 30% of students falling into that category. District and building level teams, in collaboration with our school resource officers, and the county attorney, established new procedures for tracking, communicating, and working with families to reduce absenteeism. Last year the number of students chronically absent was reduced to 12%, which is down from 33% two years ago. The district has also seen improvement in state test scores in reading and math.

We continue to follow our mission statement that every student will excel in thinking, learning, achieving and caring in partnership with our staff, families, and community. Our district's shared vision that every student is a success story engaging in real and relevant learning, being respected, accepted, and celebrated, and developing personalized pathways is carried out by our staff on a daily basis.

#### Certificate of Achievement for Excellence in Financial Reporting (GFOA) and Certificate of Excellence in Financial Reporting (ASBO)

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to Muscatine Community School District for its annual comprehensive financial report for the fiscal year ended June 30, 2024. This was the second year that the District has achieved this prestigious award from GFOA. The Association of School Business Officials (ASBO) International awarded the Certificate of Excellence in Financial Reporting to Muscatine Community School District for its annual comprehensive financial report for the fiscal year ended June 30, 2024. This is the third consecutive year that the District has achieved this prestigious award from ASBO. In order to be awarded these certificates, a governmental entity must publish an easily readable and efficiently organized annual comprehensive financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the Muscatine County Auditor and Treasurer offices and the city officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Annual Comprehensive Financial Report is submitted to the Board of Directors.

Respectfully submitted,

A handwritten signature in cursive script, reading "Thomas P. Anderson".

Thomas P. Anderson  
Director of Finance & Budget

A handwritten signature in cursive script, reading "Clint Christopher".

Clint Christopher  
Superintendent

**Muscatine Community School District**

**Board of Education and School Officials**

**Year Ended June 30, 2025**

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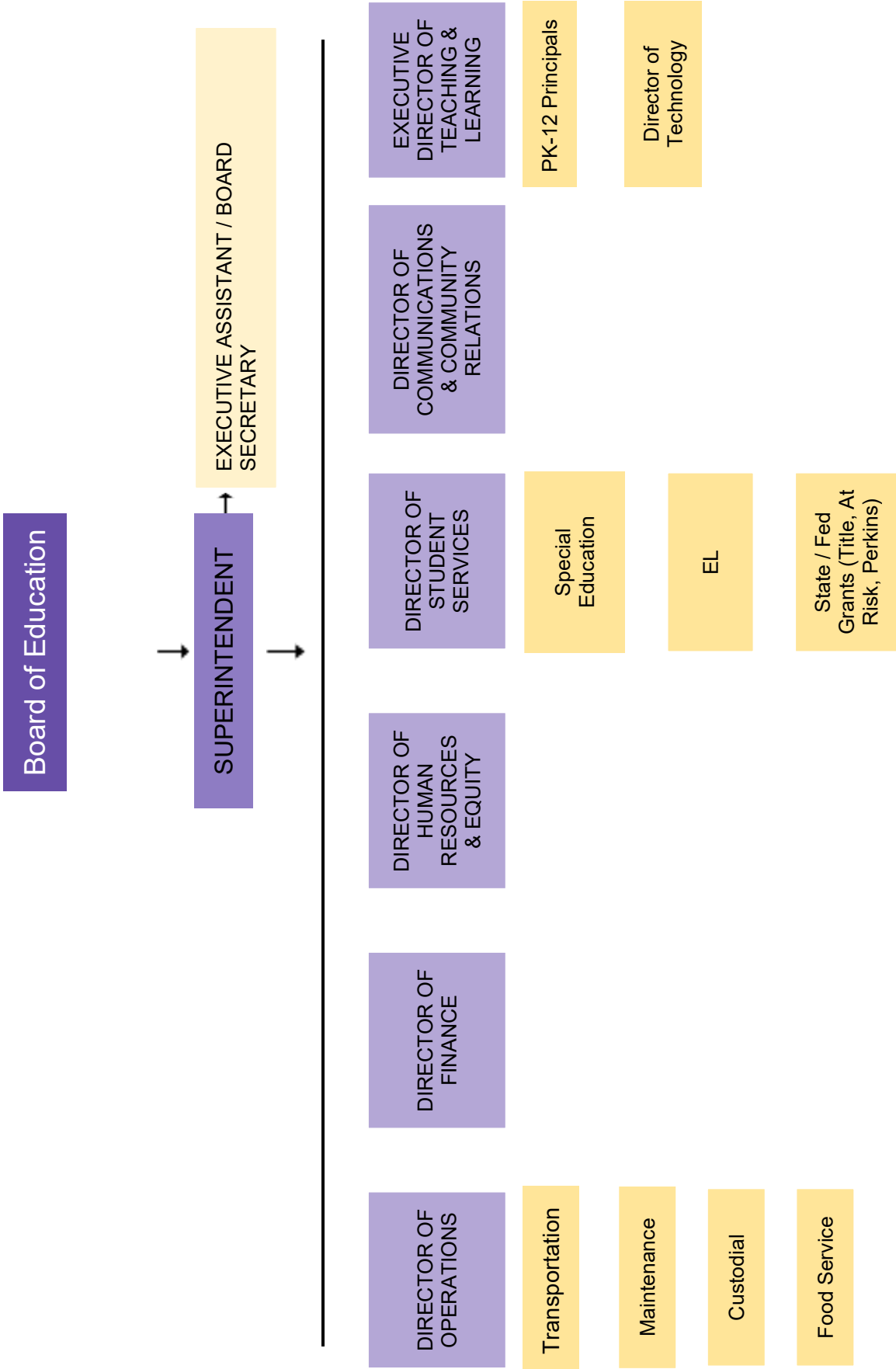
| <b>Name</b>               | <b>Title</b>        | <b>Term Expires</b> |
|---------------------------|---------------------|---------------------|
| <b>Board of Education</b> |                     |                     |
| Lindsey Phillips          | President           | 2025                |
| John Dabeet               | Vice President      | 2027                |
| Matt Conard               | Board Member        | 2025                |
| Karen Cooney              | Board Member        | 2027                |
| Ken LaRue                 | Board Member        | 2025                |
| Kim Schneider             | Board Member        | 2027                |
| Denny Schuur              | Board Member        | 2027                |
| <b>School Officials</b>   |                     |                     |
| Clint Christopher         | Superintendent      | 2025                |
| Tom Anderson              | Director of Finance | 2025                |
| Daphne Donald             | District Secretary  | 2025                |
| Ahlers & Cooney, P.C.     | Attorney            | Indefinite          |



**Muscatine Community School District**  
**District Administration**  
**June 30, 2025**

|                   |                                                             |
|-------------------|-------------------------------------------------------------|
| Clint Christopher | Superintendent of Schools                                   |
| Joelle McConnaha  | Executive Director of Teaching & Learning                   |
| Tom Anderson      | Director of Finance & Budget                                |
| Becky Wichers     | Director of Student Services                                |
| Jaime Kroeger     | Director of Human Resources & Equity                        |
| Chris Nienhaus    | Director of Operations                                      |
| Scott Comstock    | Director of Technology                                      |
| Matt Coss         | Director of Communication & Community Engagement            |
| Daphne Donald     | Executive Administrative Assistant/Board Secretary          |
| Jessi Freers      | Principal - Muskie Early Learning Center                    |
| Corry Spies       | Principal - Franklin Elementary School                      |
| Leslie Bennet     | Principal - Grant Elementary School                         |
| Dr. Kandy Steel   | Principal - Jefferson Elementary School                     |
| Stephanie Zillig  | Principal - Madison Elementary School                       |
| Tammi Turner      | Principal - McKinley Elementary School                      |
| Amy Justus        | Principal - Mulberry Elementary School                      |
| Jen Fridley       | Principal - Susan Clark Junior High School                  |
| Ryan Castle       | Principal - Muscatine High School                           |
| Mike Henson       | Asst. Principal/Activities Director - Muscatine High School |
| Rachel Cuppy      | Asst. Principal - Muscatine High School                     |
| Andy Werling      | Asst. Principal - Muscatine High School                     |
| Morgan Mohr       | Asst. Principal - Muscatine High School                     |
| Staci Orr         | Asst. Principal - Susan Clark Junior School                 |

Muscatine Community School District





ASSOCIATION OF  
SCHOOL BUSINESS OFFICIALS  
INTERNATIONAL

The Certificate of Excellence in Financial Reporting  
is presented to

## **Muscatine Community School District**

for its Annual Comprehensive Financial Report  
for the Fiscal Year Ended June 30, 2024.

The district report meets the criteria established for  
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Ryan S. Stechschulte'.

**Ryan S. Stechschulte**  
President

A handwritten signature in black ink, reading 'James M. Rowan'.

**James M. Rowan, CAE, SFO**  
CEO/Executive Director



Government Finance Officers Association

Certificate of  
Achievement  
for Excellence  
in Financial  
Reporting

Presented to

**Muscatine Community School District  
Iowa**

For its Annual Comprehensive  
Financial Report  
For the Fiscal Year Ended

June 30, 2024

*Christopher P. Morill*

Executive Director/CEO



To the Board of Education  
Muscatine Community School District  
Muscatine, Iowa

## **Report on the Audit of the Financial Statements**

### ***Opinions***

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Muscatine Community School District as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the Muscatine Community School District, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

### ***Basis for Opinions***

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Muscatine Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

### ***Emphasis of Matter***

As discussed in Note 15 to the financial statements, the District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 101, *Compensated Absences*. As a result, June 30, 2024 governmental activities, business-type activities and School Nutrition Fund net position was restated.

### ***Responsibilities of Management for the Financial Statements***

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Muscatine Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

### ***Auditor's Responsibilities for the Audit of the Financial Statements***

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Muscatine Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Muscatine Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

### ***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-15 and 56-64 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context.

We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements.

We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

### ***Supplementary Information***

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Muscatine Community School District's basic financial statements. The supplementary information, as listed in the table of contents is presented for purposes of additional analysis and are not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

### ***Other Information***

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

### ***Other Reporting Required by Government Auditing Standards***

In accordance with *Government Auditing Standards*, we have also issued our report dated October 17, 2025, on our consideration of the Muscatine Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Muscatine Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Muscatine Community School District's internal control over financial reporting and compliance.

*Bohnsack & Frommelt LLP*

Moline, Illinois  
October 17, 2025

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## **Muscatine Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2025**

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Muscatine Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2025. We encourage readers to consider this information in conjunction with the District's financial statements, which follow:

#### **2024-25 FINANCIAL HIGHLIGHTS**

The District showed an increase in net position of \$1,264,857 and an increase of \$6,770,712 during the years ended June 30, 2025 and 2024, respectively.

Total revenues for the fiscal year ended June 30, 2025 and 2024 of \$75,904,159 and \$80,513,667 were comprised of general revenues in the amount of \$57,729,214 and \$58,115,973 and program revenues totaling \$18,174,945 and \$22,397,694 respectively.

As of June 30, 2025, the District's governmental funds reported combined fund balances of \$22,430,270 a decrease of \$7,809,704 in comparison to 2024. As of June 30, 2024, the District's governmental funds reported combined fund balances of \$30,239,974 a decrease of \$19,728,626 in comparison to 2023.

#### **USING THIS ANNUAL REPORT**

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Muscatine Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report Muscatine Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Muscatine Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year.

Other supplementary information provides detailed information about the nonmajor governmental funds.

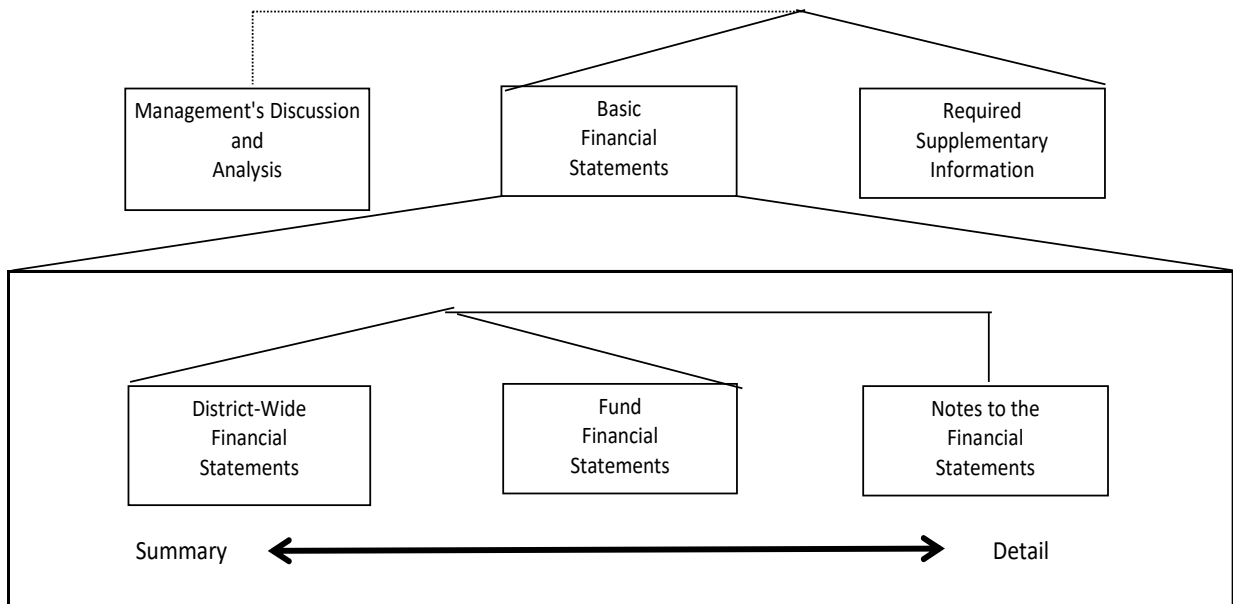
## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

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Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1  
Muscatine Community School District Annual Financial Report



## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

| <b>Figure A-2<br/>Major Features of the Government-Wide and Fund Financial Statements</b> |                                                                                        |                                                                                                                                                                                                          |                                                                                                                             |                                                                                                                                                                                      |
|-------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Government-Wide Statements                                                                |                                                                                        | Fund Statements                                                                                                                                                                                          |                                                                                                                             |                                                                                                                                                                                      |
|                                                                                           |                                                                                        | Governmental Funds                                                                                                                                                                                       | Proprietary Funds                                                                                                           | Fiduciary Funds                                                                                                                                                                      |
| Scope                                                                                     | Entire District (except fiduciary funds)                                               | The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance                                                                                 | Activities the District operates similar to private businesses: school nutrition and internal service fund                  | Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc. |
| Required financial statements                                                             | Statement of net position<br><br>Statement of activities                               | Balance sheet<br><br>Statement of revenues, expenditures and changes in fund balances                                                                                                                    | Statement of net position<br><br>Statement of revenues, expenses and changes in net position<br><br>Statement of cash flows | Statement of fiduciary net position<br><br>Statement of changes in fiduciary net position                                                                                            |
| Accounting basis and measurement focus                                                    | Accrual accounting and economic resources focus                                        | Modified accrual accounting and current financial resources focus                                                                                                                                        | Accrual accounting and economic resources focus                                                                             | Accrual accounting and economic resources focus                                                                                                                                      |
| Type of asset/liability information                                                       | All assets and liabilities, both financial and capital, short-term and long-term       | Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included                                            | All assets and liabilities, both financial and capital, and short-term and long-term                                        | All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can                                                          |
| Type of inflow/outflow information                                                        | All revenues and expenses during the year, regardless of when cash is received or paid | Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter | All revenues and expenses during the year, regardless of when cash is received or paid                                      | All additions and deductions during the year, regardless of when cash is received or paid                                                                                            |

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

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## REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

### Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, and liabilities and deferred inflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows and liabilities and deferred inflows – are one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position are an indicator of whether financial position is improving or deteriorating, respectively. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

**Governmental activities:** Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

**Business-type activities:** The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program is included here.

### Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

1. **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information in the reconciliations explains the relationship (or differences) between the two statements.

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

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The District's major governmental funds for 2024-25 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two special revenue funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a balance sheet and a statement of revenues, expenditures and changes in fund balances.

2. **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District has two types of proprietary funds. The District's Enterprise Fund, one type of proprietary fund, is the same as its business-type activities but provides more detail and additional information, such as cash flows. The District currently has one Enterprise Fund, the School Nutrition Fund.

Internal Service funds are used to report the same functions presented as governmental activities in the government-wide financial statements. The District maintains one internal service fund to account for the premium and claim payments for the self-insured health and dental insurance plan for District employees. Internal service funds are an accounting device used to accumulate and allocate costs internally among the District's various functions. Because the service provided by the District predominately benefits governmental, rather than business-type functions, it has been included within governmental activities in the government-wide financial statements.

The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

3. **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial funds: These are funds for which the District accounts for certain revenue collected for District employee purchases and as a fiscal agent for other entities.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds of the District include a statement of fiduciary net position, a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the fund financial statements follow the fund financial statements.

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

#### Government-Wide Financial Analysis

Figure A-3 below provides a summary of the District's net position as of June 30, 2025 compared to June 30, 2024.

**Figure A-3 Condensed Statement of Net Position**

|                                     | Governmental Activities |                      | Business-Type Activities |                     | Total School District |                      |
|-------------------------------------|-------------------------|----------------------|--------------------------|---------------------|-----------------------|----------------------|
|                                     | Restated                |                      | Restated                 |                     | Restated              |                      |
|                                     | June 30, 2025           | June 30, 2024        | June 30, 2025            | June 30, 2024       | June 30, 2025         | June 30, 2024        |
| Current and other assets            | \$ 55,257,779           | \$ 64,762,661        | \$ 1,989,169             | \$ 2,188,113        | \$ 57,246,948         | \$ 66,950,774        |
| Capital assets                      | 87,687,977              | 79,578,101           | 1,952,524                | 2,128,588           | 89,640,501            | 81,706,689           |
| <b>Total assets</b>                 | <b>142,945,756</b>      | <b>144,340,762</b>   | <b>3,941,693</b>         | <b>4,316,701</b>    | <b>146,887,449</b>    | <b>148,657,463</b>   |
| Deferred outflows<br>of resources   | 5,905,801               | 7,969,196            | 213,709                  | 260,416             | 6,119,510             | 8,229,612            |
| Noncurrent liabilities              | 47,780,809              | 55,129,136           | 1,187,609                | 1,333,707           | 48,968,418            | 56,462,843           |
| Other liabilities                   | 17,774,855              | 16,273,719           | 272,987                  | 185,196             | 18,047,842            | 16,458,915           |
| <b>Total liabilities</b>            | <b>65,555,664</b>       | <b>71,402,855</b>    | <b>1,460,596</b>         | <b>1,518,903</b>    | <b>67,016,260</b>     | <b>72,921,758</b>    |
| Deferred inflows<br>of resources    | 27,580,256              | 26,804,152           | 176,906                  | 192,485             | 27,757,162            | 26,996,637           |
| Net position:                       |                         |                      |                          |                     |                       |                      |
| Net investment in<br>capital assets | 64,082,908              | 62,992,542           | 1,952,524                | 2,128,588           | 66,035,432            | 65,121,130           |
| Restricted                          | 14,322,079              | 14,560,581           | -                        | -                   | 14,322,079            | 14,560,581           |
| Unrestricted                        | (22,689,350)            | (23,450,172)         | 565,376                  | 737,141             | (22,123,974)          | (22,713,031)         |
| <b>Total net position</b>           | <b>\$ 55,715,637</b>    | <b>\$ 54,102,951</b> | <b>\$ 2,517,900</b>      | <b>\$ 2,865,729</b> | <b>\$ 58,233,537</b>  | <b>\$ 56,968,680</b> |

The District's combined net position as of June 30, 2025 increased by \$1,264,857 (2.2%) over the June 30, 2024 combined net position. Net position in the governmental activities increased by \$1,612,686 (3.0%) The net position of the District's business-type activities decreased by \$347,829 (12.1%).

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased by \$238,502 (1.6%). The decrease is primarily due to expending resources restricted for physical plant and equipment levy on capital facilities.

Unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) increased by \$589,057 (2.6%).

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

Figure A-4 shows the changes in net position for the year ended June 30, 2025 compared to the year ended June 30, 2024.

**Figure A-4 Changes in Net Position**

|                                                          | Governmental Activities |                      | Business-Type Activities |                     | Total School District |                      |
|----------------------------------------------------------|-------------------------|----------------------|--------------------------|---------------------|-----------------------|----------------------|
|                                                          | Not restated            |                      | Not restated             |                     | Not restated          |                      |
|                                                          | June 30, 2025           | June 30, 2024        | June 30, 2025            | June 30, 2024       | June 30, 2025         | June 30, 2024        |
| Revenues:                                                |                         |                      |                          |                     |                       |                      |
| Program revenues:                                        |                         |                      |                          |                     |                       |                      |
| Charges for services                                     | \$ 1,707,654            | \$ 1,719,735         | \$ 574,086               | \$ 600,961          | \$ 2,281,740          | \$ 2,320,696         |
| Operating grants and contributions                       | 12,595,793              | 15,153,259           | 3,297,412                | 3,204,522           | 15,893,205            | 18,357,781           |
| Capital grants and contributions                         | -                       | -                    | -                        | 1,719,217           | -                     | 1,719,217            |
| General revenues:                                        |                         |                      |                          |                     |                       |                      |
| Property taxes                                           | 20,697,370              | 20,335,407           | -                        | -                   | 20,697,370            | 20,335,407           |
| Income surtax                                            | 295,540                 | 393,965              | -                        | -                   | 295,540               | 393,965              |
| Utility excise tax                                       | 258,613                 | 201,615              | -                        | -                   | 258,613               | 201,615              |
| Other tax                                                | 45,018                  | 42,705               | -                        | -                   | 45,018                | 42,705               |
| State foundation aid                                     | 28,639,148              | 28,170,803           | -                        | -                   | 28,639,148            | 28,170,803           |
| Statewide sales and services tax                         | 5,850,001               | 6,026,666            | -                        | -                   | 5,850,001             | 6,026,666            |
| Revenue in lieu of tax                                   | 408,194                 | 398,373              | -                        | -                   | 408,194               | 398,373              |
| Other                                                    | 1,428,898               | 2,453,229            | 106,432                  | 93,210              | 1,535,330             | 2,546,439            |
| <b>Total revenues</b>                                    | <b>71,926,229</b>       | <b>74,895,757</b>    | <b>3,977,930</b>         | <b>5,617,910</b>    | <b>75,904,159</b>     | <b>80,513,667</b>    |
| Expenses:                                                |                         |                      |                          |                     |                       |                      |
| Instruction                                              | 42,617,758              | 40,258,735           | -                        | -                   | 42,617,758            | 40,258,735           |
| Support services                                         | 24,851,659              | 26,438,630           | -                        | -                   | 24,851,659            | 26,438,630           |
| Noninstructional                                         | 69,509                  | 55,105               | 4,096,163                | 3,830,872           | 4,165,672             | 3,885,977            |
| Other                                                    | 3,004,213               | 3,159,613            | -                        | -                   | 3,004,213             | 3,159,613            |
| <b>Total expenses</b>                                    | <b>70,543,139</b>       | <b>69,912,083</b>    | <b>4,096,163</b>         | <b>3,830,872</b>    | <b>74,639,302</b>     | <b>73,742,955</b>    |
| <b>Excess of revenues over expenses before transfers</b> | <b>1,383,090</b>        | <b>4,983,674</b>     | <b>(118,233)</b>         | <b>1,787,038</b>    | <b>1,264,857</b>      | <b>6,770,712</b>     |
| Transfers                                                | 229,596                 | 65,084               | (229,596)                | (65,084)            | -                     | -                    |
| <b>Increase in net position</b>                          | <b>1,612,686</b>        | <b>5,048,758</b>     | <b>(347,829)</b>         | <b>1,721,954</b>    | <b>1,264,857</b>      | <b>6,770,712</b>     |
| Net position, beginning, as restated                     | 54,102,951              | 55,203,594           | 2,865,729                | 1,304,930           | 56,968,680            | 56,508,524           |
| Net position, ending                                     | <b>\$ 55,715,637</b>    | <b>\$ 60,252,352</b> | <b>\$ 2,517,900</b>      | <b>\$ 3,026,884</b> | <b>\$ 58,233,537</b>  | <b>\$ 63,279,236</b> |

In 2024-25, property taxes, income surtax, utility excise tax, other taxes, state foundation aid, statewide sales and services tax, and revenue in lieu of tax accounted for 78.1% of the revenue from governmental activities while charges for services and operating grants and contributions accounted for 97.3% of the revenue from business-type activities.

The District's expenses primarily relate to instructional and support services which account for 90.4% of the total expenses.

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

Total revenue for the District decreased by \$4,609,508 (5.7%) in the fiscal year ended June 30, 2025. The most significant revenue category changes were due to a decrease in operating grants and contributions of \$2,464,576 and a decrease in capital grants and contributions of \$1,719,217. The decreases are the result of the COVID-19 ESSER grant funding expiring on September 30, 2024. In addition, investment earnings decreased approximately \$1 million from reductions in interest rates and reduced cash balances for capital projects. Total District expenses increased by \$896,347 (1.2%), which is due to the fiscal year 2024 expenses not including the impact of the new accounting standard for compensated absences and salary and benefit adjustments, offset by a reduction in the net pension expense of approximately \$2.5 million investment earnings.

#### Governmental Activities

Revenue for the District's governmental activities in 2024-25 decreased by \$2,969,528 (4.0%) from the previous year, while governmental activities expenses increased by \$631,056 (0.9%). Governmental activities net position as of June 30, 2025 increased by \$1,612,686 (2.9%) over the June 30, 2024 restated balance.

The table below presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2025 compared to the year ended June 30, 2024.

|                  | Total Cost of Services |                      | Net Cost of Services |                      |
|------------------|------------------------|----------------------|----------------------|----------------------|
|                  | Not Restated           |                      | Not Restated         |                      |
|                  | June 30, 2025          | June 30, 2024        | June 30, 2025        | June 30, 2024        |
| Instruction      | \$ 42,617,758          | \$ 40,258,735        | \$ 30,871,182        | \$ 26,602,490        |
| Support services | 24,851,659             | 26,438,630           | 24,166,345           | 25,447,072           |
| Noninstructional | 69,509                 | 55,105               | 69,509               | 55,105               |
| Other            | 3,004,213              | 3,159,613            | 1,132,656            | 934,422              |
| <b>Total</b>     | <b>\$ 70,543,139</b>   | <b>\$ 69,912,083</b> | <b>\$ 56,239,692</b> | <b>\$ 53,039,089</b> |

For the year ended June 30, 2025:

- The cost financed by the users of the District's programs was \$1,707,654.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$12,595,793.
- The net cost of governmental activities was financed with \$20,697,370 in property taxes, \$295,540 in income surtax, \$258,613 in utility excise tax, \$45,018 in other tax, \$28,639,148 of unrestricted state grants, \$5,850,001 in statewide sales and services tax revenue, \$408,194 in revenue in lieu of tax, and \$1,428,898 in investment earnings.

For the year ended June 30, 2024:

- The cost financed by the users of the District's programs was \$1,719,735.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$15,153,259.
- The net cost of governmental activities was financed with \$20,335,407 in property taxes, \$393,965 in income surtax, \$201,615 in utility excise tax, \$42,705 in other tax, \$28,170,803 of unrestricted state grants, \$6,026,666 in statewide sales and services tax revenue, \$398,373 in revenue in lieu of tax, and \$2,453,229 in investment earnings.



## **Muscatine Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2025**

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#### **Business-Type Activities**

The District's business-type activities include the School Nutrition Fund. Revenues of the District's business-type activities in 2024-25 were \$3,977,930, a decrease of \$1,639,980 (29.2%) from 2023-24 due to capital contributions of \$1,719,217 in the prior year. Expenses were \$4,096,163; an increase of \$265,291 (6.9%) from 2023-24 primarily due to increases in supplies and food costs.

#### **Individual Fund Analysis**

As previously noted, the Muscatine Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

As the District completed the year, its governmental funds reported combined fund balances of \$22,430,270, which reflects a decrease from last year's ending fund balances of \$30,239,974. The primary reason for the decrease in the combined fund balances at the end of the 2024-25 fiscal year is due to a decrease in the Capital Project Fund fund balance of \$6,387,124 due to planned spending on capital projects.

#### **Governmental Fund Highlights**

- The fund balance in the District's General Fund decreased by \$1,107,015 from \$11,189,523 as of June 30, 2024 to \$10,082,508 as of June 30, 2025.
- The fund balance in the Capital Projects Fund decreased by \$6,387,124. The statewide sales, service and use tax generated \$176,665 less in revenue in 2024-25 than in the previous fiscal year. Local tax generated from the physical plant and equipment levy was \$2,658,942 compared to the prior year of \$2,668,457 which represents a \$9,515 decrease from 2023-24. Total facilities acquisition expenditures were \$13,720,721 in 2024-25 compared to \$25,289,729 in 2023-24. In the current year and prior year, major expenditures included additions to the Susan Clark Junior High and Central Middle School. The District issued \$4,048,000 in revenue bonds in the current year to fund the capital projects.

#### **Proprietary Fund Highlights**

The net position of the Nutrition Fund decreased by \$347,829 during 2024-25. Revenues decreased \$1,639,980 primarily due to receiving \$1,719,217 in capital contributions in the prior year. Expenses increased \$265,291 due to food and supplies cost.

#### **Budgetary Highlights**

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except private-purpose trust funds, internal service funds, and custodial funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes.

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. It should also be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all funds of the District as noted above. This budget is certified with the County Auditor and the Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority. The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent balance is a budgetary concept and does not mean the actual General Fund cash. It is imperative for users of District financial information to make this important distinction.

The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (unreserved, undesignated General Fund balance) of the District. Total revenues were \$3,729,882 more than budgeted, a variance of 5.2% primarily due to state and federal sources. Total expenditures were \$9,067,986 less than budgeted, a variance of 9.3% primarily due to other expenditures function.

### Capital Asset and Debt Administration

#### Capital Assets

By the end of the 2024-25 fiscal year, the District had invested \$89,640,501 (net of accumulated depreciation of \$69,032,938) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. This amount represents a net increase of \$7,933,812 or 9.7% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$6,128,074.

#### Capital Assets (Net of Depreciation)

|                                   | Governmental Activities |                      | Business-Type Activities |                     | Total School District |                      |
|-----------------------------------|-------------------------|----------------------|--------------------------|---------------------|-----------------------|----------------------|
|                                   | June 30, 2025           | June 30, 2024        | June 30, 2025            | June 30, 2024       | June 30, 2025         | June 30, 2024        |
| Land                              | \$ 1,690,763            | \$ 1,690,763         | \$ -                     | \$ -                | \$ 1,690,763          | \$ 1,690,763         |
| Construction in progress          | 7,010,095               | 6,900,809            | -                        | -                   | 7,010,095             | 6,900,809            |
| Buildings                         | 63,484,015              | 55,922,556           | -                        | -                   | 63,484,015            | 55,922,556           |
| Improvements other than buildings | 11,156,728              | 11,084,497           | -                        | -                   | 11,156,728            | 11,084,497           |
| Furniture and equipment           | 3,519,383               | 3,341,172            | 1,952,524                | 2,128,588           | 5,471,907             | 5,469,760            |
| Right to use lease equipment      | 157,478                 | 302,812              | -                        | -                   | 157,478               | 302,812              |
| Right to use subscription asset   | 669,515                 | 335,492              | -                        | -                   | 669,515               | 335,492              |
| <b>Total</b>                      | <b>\$ 87,687,977</b>    | <b>\$ 79,578,101</b> | <b>\$ 1,952,524</b>      | <b>\$ 2,128,588</b> | <b>\$ 89,640,501</b>  | <b>\$ 81,706,689</b> |

Increases in the current year are primarily due to construction in progress projects including additions to the junior high and middle school. More information regarding the District's capital assets is provided in Note 4 to the financial statements.

## Muscatine Community School District

### Management's Discussion and Analysis Year Ended June 30, 2025

#### Long-Term Liabilities

As of June 30, 2025, the District had the following long-term liabilities:

|                           | Governmental Activities |                      | Business-Type Activities |                     | Total School District |                      |
|---------------------------|-------------------------|----------------------|--------------------------|---------------------|-----------------------|----------------------|
|                           | Restated                |                      | Restated                 |                     | Restated              |                      |
|                           | June 30, 2025           | June 30, 2024        | June 30, 2025            | June 30, 2024       | June 30, 2025         | June 30, 2024        |
| Revenue bonds             | \$ 22,546,000           | \$ 21,808,000        | \$ -                     | \$ -                | \$ 22,546,000         | \$ 21,808,000        |
| Lease obligations         | 162,304                 | 306,766              | -                        | -                   | 162,304               | 306,766              |
| IT subscription liability | -                       | 16,272               | -                        | -                   | -                     | 16,272               |
| Compensated absences      | 6,547,610               | 6,265,212            | 161,390                  | 161,155             | 6,709,000             | 6,426,367            |
| Early retirement          | 886,443                 | 1,123,662            | -                        | -                   | 886,443               | 1,123,662            |
| Total OPEB liability      | 12,259,474              | 11,899,162           | 625,439                  | 612,332             | 12,884,913            | 12,511,494           |
| Net pension liability     | 14,183,719              | 18,169,826           | 515,959                  | 583,220             | 14,699,678            | 18,753,046           |
| <b>Total</b>              | <b>\$ 56,585,550</b>    | <b>\$ 59,588,900</b> | <b>\$ 1,302,788</b>      | <b>\$ 1,356,707</b> | <b>\$ 57,888,338</b>  | <b>\$ 60,945,607</b> |

More information regarding the District's long-term liabilities is provided in Notes 5, 6, and 7 to the financial statements.

#### ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The Iowa school funding formula is a complex formula that is pupil-driven, and increasing total spending authority is driven by increasing the number of pupils or increasing the cost per pupil. The legislature established an increase of "supplemental state aid" or SSA of 2.0% (\$157 per pupil) for the 2025/2026 school year. Funding at the state level continues to be a focal point for education. Low state supplemental aid increases are not satisfying cost-of-living increases, as well as increased costs for operations.
- The October 1, 2025, certified student enrollment count, which is used to determine state foundation aid for the District for the 2026-27 school year, decreased by 75.6 to 4,240.3 from the October 1, 2024, count of 4,315.9. The number of open-enrollment students from neighboring districts attending Muscatine Community School District decreased from 70.9 to 62.2. The number of open enrollment students attending neighboring school districts increased from 280.5 to 293.4. The 231.2 open enrollment student net loss costs approximately \$1.8 million in expenses for the District's general operating fund.
- The District's 4-year-old preschool program enrollment decreased by 11 students to a total enrollment of 207. The State of Iowa provides funding for four-year-old students enrolled in the program at 50% of the regular program cost per student or \$3,994.00 per student for the 2025-26 school year. The District serves 131 preschool students, down 10 from the year before, and three community partners serve the other 76, down 1 from the year before.
- The district completed \$11M of capital projects during 2024-2025. A new addition to Jefferson Elementary opened in January 2025, and demolition of the oldest building in the district, Central Middle School.

## **Muscatine Community School District**

### **Management's Discussion and Analysis Year Ended June 30, 2025**

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- Staff recruiting and retention concerns at the local and state levels may negatively impact the educational services that the District is able to provide. In addition, it may become necessary for the District to substantially increase wages to recruit and/or retain staff. Based on the level of increased wages, this could impact the District's budget negatively in the future.
- The increasing rate of inflation, potentially surpassing the rate of increase in supplemental state aid, may reduce the District's buying power.

### **CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT**

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Tom Anderson, Director of Finance and Budget, Muscatine Community School District, 2900 Mulberry Avenue, Muscatine, Iowa 52761.

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**Muscatine Community School District**

**Statement of Net Position**

**June 30, 2025**

|                                             | Primary Government         |                             |                    |
|---------------------------------------------|----------------------------|-----------------------------|--------------------|
|                                             | Governmental<br>Activities | Business-Type<br>Activities | Total              |
| <b>Assets</b>                               |                            |                             |                    |
| Current assets:                             |                            |                             |                    |
| Cash and pooled investments                 | \$ 30,518,195              | \$ 1,911,583                | \$ 32,429,778      |
| Receivables:                                |                            |                             |                    |
| Property tax:                               |                            |                             |                    |
| Current year                                | 173,391                    | -                           | 173,391            |
| Succeeding year                             | 22,169,591                 | -                           | 22,169,591         |
| Accounts                                    | 206,026                    | -                           | 206,026            |
| Income surtax                               | 338,879                    | -                           | 338,879            |
| Interfund                                   | 250,000                    | (250,000)                   | -                  |
| Due from other governments                  | 1,455,331                  | 254,812                     | 1,710,143          |
| Inventories                                 | -                          | 72,774                      | 72,774             |
| Prepaid expenses                            | 146,366                    | -                           | 146,366            |
| <b>Total current assets</b>                 | <b>55,257,779</b>          | <b>1,989,169</b>            | <b>57,246,948</b>  |
| Noncurrent assets:                          |                            |                             |                    |
| Capital assets:                             |                            |                             |                    |
| Nondepreciable                              | 8,700,858                  | -                           | 8,700,858          |
| Depreciable, net                            | 78,987,119                 | 1,952,524                   | 80,939,643         |
| <b>Total noncurrent assets</b>              | <b>87,687,977</b>          | <b>1,952,524</b>            | <b>89,640,501</b>  |
| <b>Total assets</b>                         | <b>142,945,756</b>         | <b>3,941,693</b>            | <b>146,887,449</b> |
| <b>Deferred Outflows of Resources</b>       |                            |                             |                    |
| OPEB related deferred outflows              | 1,126,347                  | 39,848                      | 1,166,195          |
| Pension related deferred outflows           | 4,779,454                  | 173,861                     | 4,953,315          |
| <b>Total deferred outflows of resources</b> | <b>5,905,801</b>           | <b>213,709</b>              | <b>6,119,510</b>   |

|                                            | Primary Government   |                     |                      |
|--------------------------------------------|----------------------|---------------------|----------------------|
|                                            | Governmental         | Business-Type       |                      |
|                                            | Activities           | Activities          | Total                |
| <b>Liabilities</b>                         |                      |                     |                      |
| Current liabilities:                       |                      |                     |                      |
| Accounts payable                           | 2,084,856            | 71,745              | 2,156,601            |
| Salaries and benefits payable              | 6,185,458            | 50,087              | 6,235,545            |
| Unearned revenue                           | -                    | 35,976              | 35,976               |
| Claims payable                             | 630,000              | -                   | 630,000              |
| Accrued interest                           | 69,800               | -                   | 69,800               |
| Revenue bonds                              | 3,629,000            | -                   | 3,629,000            |
| Lease obligations                          | 149,600              | -                   | 149,600              |
| Compensated absences                       | 4,190,471            | 98,448              | 4,288,919            |
| Early retirement                           | 399,670              | -                   | 399,670              |
| Total OPEB liability, current              | 436,000              | 16,731              | 452,731              |
| <b>Total current liabilities</b>           | <b>17,774,855</b>    | <b>272,987</b>      | <b>18,047,842</b>    |
| Noncurrent liabilities:                    |                      |                     |                      |
| Revenue bonds                              | 18,917,000           | -                   | 18,917,000           |
| Lease obligations                          | 12,704               | -                   | 12,704               |
| Compensated absences                       | 2,357,139            | 62,942              | 2,420,081            |
| Early retirement                           | 486,773              | -                   | 486,773              |
| Total OPEB liability                       | 11,823,474           | 608,708             | 12,432,182           |
| Net pension liability                      | 14,183,719           | 515,959             | 14,699,678           |
| <b>Total noncurrent liabilities</b>        | <b>47,780,809</b>    | <b>1,187,609</b>    | <b>48,968,418</b>    |
| <b>Total liabilities</b>                   | <b>65,555,664</b>    | <b>1,460,596</b>    | <b>67,016,260</b>    |
| <b>Deferred Inflows of Resources</b>       |                      |                     |                      |
| Succeeding year property tax               | 22,169,591           | -                   | 22,169,591           |
| OPEB related deferred inflows              | 4,248,871            | 134,643             | 4,383,514            |
| Pension related deferred inflows           | 1,161,794            | 42,263              | 1,204,057            |
| <b>Total deferred inflows of resources</b> | <b>27,580,256</b>    | <b>176,906</b>      | <b>27,757,162</b>    |
| <b>Net Position</b>                        |                      |                     |                      |
| Net investment in capital assets           | 64,082,908           | 1,952,524           | 66,035,432           |
| Restricted for:                            |                      |                     |                      |
| Categorical funding                        | 1,196,107            | -                   | 1,196,107            |
| Debt service                               | 372,217              | -                   | 372,217              |
| Management levy                            | 1,069,057            | -                   | 1,069,057            |
| Physical plant and equipment levy          | 1,304,213            | -                   | 1,304,213            |
| Student activities                         | 304,254              | -                   | 304,254              |
| School infrastructure                      | 10,076,231           | -                   | 10,076,231           |
| Unrestricted                               | (22,689,350)         | 565,376             | (22,123,974)         |
| <b>Total net position</b>                  | <b>\$ 55,715,637</b> | <b>\$ 2,517,900</b> | <b>\$ 58,233,537</b> |

See Notes to Basic Financial Statements.

**Muscatine Community School District**

**Statement of Activities**  
**Year Ended June 30, 2025**

| Functions/Programs                           | Expenses      | Charges<br>for Services |
|----------------------------------------------|---------------|-------------------------|
| Governmental activities:                     |               |                         |
| Instruction                                  | \$ 42,617,758 | \$ 1,050,058            |
| Support services:                            |               |                         |
| Student services                             | 3,231,710     | -                       |
| Instructional staff services                 | 2,865,433     | 79,804                  |
| Administration services                      | 6,554,192     | 492,560                 |
| Operation and maintenance of plant services  | 8,768,954     | 35,943                  |
| Transportation services                      | 3,431,370     | 49,289                  |
|                                              | 24,851,659    | 657,596                 |
| Noninstructional programs                    | 69,509        | -                       |
| Other expenses:                              |               |                         |
| Interest expense                             | 1,132,656     | -                       |
| AEA flowthrough                              | 1,871,557     | -                       |
|                                              | 3,004,213     | -                       |
| Total governmental activities                | 70,543,139    | 1,707,654               |
| Business-type activities:                    |               |                         |
| Food service operations                      | 4,096,163     | 574,086                 |
| Total business-type activities               | 4,096,163     | 574,086                 |
| Total primary government                     | \$ 74,639,302 | \$ 2,281,740            |
| General revenues and transfers:              |               |                         |
| General revenues:                            |               |                         |
| Property tax levied for:                     |               |                         |
| General purposes                             |               |                         |
| Capital outlay                               |               |                         |
| Other specific purposes                      |               |                         |
| Income surtax                                |               |                         |
| Utility excise tax                           |               |                         |
| Other taxes                                  |               |                         |
| Statewide sales and services tax             |               |                         |
| Revenue in lieu of tax                       |               |                         |
| Unrestricted state grants                    |               |                         |
| Unrestricted investment earnings             |               |                         |
| Transfers                                    |               |                         |
| Total general revenues and transfers         |               |                         |
| Change in net position                       |               |                         |
| Net position, beginning of year, as restated |               |                         |
| Net position, end of year                    |               |                         |

See Notes to Basic Financial Statements.



| Program Revenues                      |                                     | Net (Expense) Revenue<br>and Changes in Net Position |                             |                 |  |
|---------------------------------------|-------------------------------------|------------------------------------------------------|-----------------------------|-----------------|--|
| Operating Grants<br>and Contributions | Capital Grants<br>and Contributions | Governmental<br>Activities                           | Business-Type<br>Activities | Total           |  |
| \$ 10,696,518                         | \$ -                                | \$ (30,871,182)                                      | \$ -                        | \$ (30,871,182) |  |
| -                                     | -                                   | (3,231,710)                                          | -                           | (3,231,710)     |  |
| -                                     | -                                   | (2,785,629)                                          | -                           | (2,785,629)     |  |
| -                                     | -                                   | (6,061,632)                                          | -                           | (6,061,632)     |  |
| -                                     | -                                   | (8,733,011)                                          | -                           | (8,733,011)     |  |
| 27,718                                | -                                   | (3,354,363)                                          | -                           | (3,354,363)     |  |
| 27,718                                | -                                   | (24,166,345)                                         | -                           | (24,166,345)    |  |
| -                                     | -                                   | (69,509)                                             | -                           | (69,509)        |  |
| -                                     | -                                   | (1,132,656)                                          | -                           | (1,132,656)     |  |
| 1,871,557                             | -                                   | -                                                    | -                           | -               |  |
| 1,871,557                             | -                                   | (1,132,656)                                          | -                           | (1,132,656)     |  |
| 12,595,793                            | -                                   | (56,239,692)                                         | -                           | (56,239,692)    |  |
| 3,297,412                             | -                                   | -                                                    | (224,665)                   | (224,665)       |  |
| 3,297,412                             | -                                   | -                                                    | (224,665)                   | (224,665)       |  |
| \$ 15,893,205                         | \$ -                                | (56,239,692)                                         | (224,665)                   | (56,464,357)    |  |

|               |              |               |
|---------------|--------------|---------------|
| 16,544,721    | -            | 16,544,721    |
| 2,658,942     | -            | 2,658,942     |
| 1,493,707     | -            | 1,493,707     |
| 295,540       | -            | 295,540       |
| 258,613       | -            | 258,613       |
| 45,018        | -            | 45,018        |
| 5,850,001     | -            | 5,850,001     |
| 408,194       | -            | 408,194       |
| 28,639,148    | -            | 28,639,148    |
| 1,428,898     | 106,432      | 1,535,330     |
| 229,596       | (229,596)    | -             |
| 57,852,378    | (123,164)    | 57,729,214    |
| 1,612,686     | (347,829)    | 1,264,857     |
| 54,102,951    | 2,865,729    | 56,968,680    |
| \$ 55,715,637 | \$ 2,517,900 | \$ 58,233,537 |

**Muscatine Community School District**

**Balance Sheet  
Governmental Funds  
June 30, 2025**

|                                                                           | General              | Capital Projects     | Nonmajor            | Total                |
|---------------------------------------------------------------------------|----------------------|----------------------|---------------------|----------------------|
| <b>Assets</b>                                                             |                      |                      |                     |                      |
| Cash and pooled investments                                               | \$ 16,100,968        | \$ 10,726,562        | \$ 1,745,429        | \$ 28,572,959        |
| Receivables:                                                              |                      |                      |                     |                      |
| Property tax:                                                             |                      |                      |                     |                      |
| Current year                                                              | 137,656              | 23,409               | 12,326              | 173,391              |
| Succeeding year                                                           | 16,914,702           | 2,754,889            | 2,500,000           | 22,169,591           |
| Accounts                                                                  | -                    | -                    | 5,625               | 5,625                |
| Income surtax                                                             | 338,879              | -                    | -                   | 338,879              |
| Due from other governments                                                | 826,858              | 628,473              | -                   | 1,455,331            |
| Due from other funds                                                      | 250,000              | -                    | -                   | 250,000              |
| Prepaid items                                                             | 25,811               | 2,000                | 118,555             | 146,366              |
| <b>Total assets</b>                                                       | <b>\$ 34,594,874</b> | <b>\$ 14,135,333</b> | <b>\$ 4,381,935</b> | <b>\$ 53,112,142</b> |
| <b>Liabilities, Deferred Inflows of Resources, and Fund Balances</b>      |                      |                      |                     |                      |
| Liabilities:                                                              |                      |                      |                     |                      |
| Accounts payable                                                          | \$ 1,073,327         | \$ 896,765           | \$ 17,852           | \$ 1,987,944         |
| Salaries and benefits payable                                             | 6,185,458            | -                    | -                   | 6,185,458            |
| <b>Total liabilities</b>                                                  | <b>7,258,785</b>     | <b>896,765</b>       | <b>17,852</b>       | <b>8,173,402</b>     |
| Deferred Inflows of Resources:                                            |                      |                      |                     |                      |
| Unavailable revenue:                                                      |                      |                      |                     |                      |
| Succeeding year property tax                                              | 16,914,702           | 2,754,889            | 2,500,000           | 22,169,591           |
| Income surtax                                                             | 338,879              | -                    | -                   | 338,879              |
| <b>Total deferred inflows of resources</b>                                | <b>17,253,581</b>    | <b>2,754,889</b>     | <b>2,500,000</b>    | <b>22,508,470</b>    |
| Fund balances:                                                            |                      |                      |                     |                      |
| Nonspendable                                                              | 25,811               | 2,000                | 118,555             | 146,366              |
| Restricted for:                                                           |                      |                      |                     |                      |
| Categorical funding                                                       | 1,196,107            | -                    | -                   | 1,196,107            |
| Debt service                                                              | -                    | -                    | 372,217             | 372,217              |
| Management levy                                                           | -                    | -                    | 1,069,057           | 1,069,057            |
| Physical plant and equipment levy                                         | -                    | 1,254,403            | -                   | 1,254,403            |
| School infrastructure                                                     | -                    | 9,227,276            | -                   | 9,227,276            |
| Student activity purposes                                                 | -                    | -                    | 304,254             | 304,254              |
| Assigned                                                                  | 145,363              | -                    | -                   | 145,363              |
| Unassigned                                                                | 8,715,227            | -                    | -                   | 8,715,227            |
| <b>Total fund balances</b>                                                | <b>10,082,508</b>    | <b>10,483,679</b>    | <b>1,864,083</b>    | <b>22,430,270</b>    |
| <b>Total liabilities, deferred inflows of resources and fund balances</b> | <b>\$ 34,594,874</b> | <b>\$ 14,135,333</b> | <b>\$ 4,381,935</b> | <b>\$ 53,112,142</b> |

See Notes to Basic Financial Statements.

## Muscatine Community School District

### Reconciliation of the Balance Sheet - Governmental Funds to the Statement of Net Position June 30, 2025

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|                                           |               |
|-------------------------------------------|---------------|
| Total fund balances of governmental funds | \$ 22,430,270 |
|-------------------------------------------|---------------|

Amounts reported for governmental activities in the Statement of Net Position are different because:

|                                                                                                                                                 |            |
|-------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| Capital assets used in governmental activities are not financial resources and, therefore are not reported as assets in the governmental funds. | 87,687,977 |
|-------------------------------------------------------------------------------------------------------------------------------------------------|------------|

|                                                                                                                               |         |
|-------------------------------------------------------------------------------------------------------------------------------|---------|
| Other long-term assets are not available to pay for current period expenditures and, therefore, are unavailable in the funds. | 338,879 |
|-------------------------------------------------------------------------------------------------------------------------------|---------|

|                                                                                                                                                                                                                                              |           |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the internal service fund are included in governmental activities in the statement of net position. | 1,418,725 |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|

Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore are not reported in the governmental funds as follows:

|                                                |             |
|------------------------------------------------|-------------|
| OPEB related deferred outflows of resources    | 1,126,347   |
| OPEB related deferred inflows of resources     | (4,248,871) |
| Pension related deferred outflows of resources | 4,779,454   |
| Pension related deferred inflows of resources  | (1,161,794) |

Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds.

|                             |              |
|-----------------------------|--------------|
| Compensated absences        | (6,547,610)  |
| Revenue bonds               | (22,546,000) |
| Accrued interest            | (69,800)     |
| Equipment lease obligations | (162,304)    |
| Early retirement            | (886,443)    |
| Total OPEB liability        | (12,259,474) |
| Net pension liability       | (14,183,719) |

**Net position of governmental activities**

|                      |
|----------------------|
| <b>\$ 55,715,637</b> |
|----------------------|

See Notes to Basic Financial Statements.

**Muscatine Community School District**

**Statement of Revenues, Expenditures and Changes in Fund Balances  
Governmental Funds  
Year Ended June 30, 2025**

|                                                                  | General            | Capital Projects   | Nonmajor           | Total               |
|------------------------------------------------------------------|--------------------|--------------------|--------------------|---------------------|
| Revenues:                                                        |                    |                    |                    |                     |
| Local sources:                                                   |                    |                    |                    |                     |
| Property tax                                                     | \$ 16,544,721      | \$ 2,658,942       | \$ 1,493,707       | \$ 20,697,370       |
| Utility excise tax                                               | 207,796            | 31,941             | 18,876             | 258,613             |
| Income surtax                                                    | 295,753            | -                  | -                  | 295,753             |
| Other tax                                                        | 36,172             | 5,560              | 3,286              | 45,018              |
| Tuition                                                          | 672,345            | -                  | -                  | 672,345             |
| Private donations                                                | 232,488            | -                  | -                  | 232,488             |
| Investment earnings                                              | 552,634            | 736,427            | 54,736             | 1,343,797           |
| Other                                                            | 201,705            | 33,000             | 568,116            | 802,821             |
| State sources                                                    | 38,429,519         | 5,915,417          | 29,793             | 44,374,729          |
| Federal sources                                                  | 2,910,070          | 383,675            | -                  | 3,293,745           |
| <b>Total revenues</b>                                            | <b>60,083,203</b>  | <b>9,764,962</b>   | <b>2,168,514</b>   | <b>72,016,679</b>   |
| Expenditures:                                                    |                    |                    |                    |                     |
| Current:                                                         |                    |                    |                    |                     |
| Instruction                                                      | 38,682,114         | 682,337            | 944,364            | 40,308,815          |
| Support services:                                                |                    |                    |                    |                     |
| Student services                                                 | 3,274,178          | -                  | 34,570             | 3,308,748           |
| Instructional staff services                                     | 2,871,884          | 28,468             | 8,445              | 2,908,797           |
| Administration services                                          | 6,312,753          | 373,245            | 107,912            | 6,793,910           |
| Operation and maintenance of plant services                      | 6,290,823          | 221,717            | 1,207,160          | 7,719,700           |
| Transportation services                                          | 2,118,344          | 587,624            | 149,956            | 2,855,924           |
|                                                                  | <b>20,867,982</b>  | <b>1,211,054</b>   | <b>1,508,043</b>   | <b>23,587,079</b>   |
| Noninstructional programs                                        | -                  | -                  | 60,834             | 60,834              |
| Other expenditures:                                              |                    |                    |                    |                     |
| Facilities acquisition                                           | -                  | 13,720,721         | -                  | 13,720,721          |
| Debt service:                                                    |                    |                    |                    |                     |
| Principal                                                        | -                  | -                  | 3,470,734          | 3,470,734           |
| Interest and fiscal charges                                      | -                  | 206,938            | 923,490            | 1,130,428           |
| AEA flowthrough                                                  | 1,871,557          | -                  | -                  | 1,871,557           |
|                                                                  | <b>1,871,557</b>   | <b>13,927,659</b>  | <b>4,394,224</b>   | <b>20,193,440</b>   |
| <b>Total expenditures</b>                                        | <b>61,421,653</b>  | <b>15,821,050</b>  | <b>6,907,465</b>   | <b>84,150,168</b>   |
| <b>Excess (deficiency) of revenues over (under) expenditures</b> | <b>(1,338,450)</b> | <b>(6,056,088)</b> | <b>(4,738,951)</b> | <b>(12,133,489)</b> |
| Other financing sources (uses):                                  |                    |                    |                    |                     |
| Proceeds from sale of capital assets                             | 2,189              | 44,000             | -                  | 46,189              |
| Issuance of long term debt                                       | -                  | 4,048,000          | -                  | 4,048,000           |
| Transfer in                                                      | 250,000            | -                  | 4,423,386          | 4,673,386           |
| Transfer (out)                                                   | (20,754)           | (4,423,036)        | -                  | (4,443,790)         |
| <b>Total other financing sources (uses)</b>                      | <b>231,435</b>     | <b>(331,036)</b>   | <b>4,423,386</b>   | <b>4,323,785</b>    |
| <b>Net change in fund balance</b>                                | <b>(1,107,015)</b> | <b>(6,387,124)</b> | <b>(315,565)</b>   | <b>(7,809,704)</b>  |
| Fund balances, beginning of year                                 | 11,189,523         | 16,870,803         | 2,179,648          | 30,239,974          |
| Fund balances, end of year                                       | \$ 10,082,508      | \$ 10,483,679      | \$ 1,864,083       | \$ 22,430,270       |

See Notes to Basic Financial Statements.

## Muscatine Community School District

### Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities Year Ended June 30, 2025

---

Net change in fund balances - total governmental funds \$ (7,809,704)

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:

|                                      |             |           |
|--------------------------------------|-------------|-----------|
| Expenditures for capital assets      | 14,245,741  |           |
| Depreciation expense                 | (5,926,013) |           |
| Proceeds from sale of capital assets | (46,189)    |           |
| Loss on sale of capital assets       | (163,663)   | 8,109,876 |

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues:

|               |           |           |
|---------------|-----------|-----------|
| Income surtax | (213)     |           |
| Grants        | (175,338) | (175,551) |

Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue of the internal service fund is reported with governmental activities.

(59,450)

The issuance of long-term debt provides current financial resources to governmental funds, while the repayments of the principal of long-term debt consumes the current financial resources of governmental funds. The issuance of debt increases liabilities in the Statement of Net Position, while the repayment of long-term debt reduces long-term liabilities. The following is the detail of the net effect of these differences in the treatment of long-term debt related items:

|                                        |             |           |
|----------------------------------------|-------------|-----------|
| Issuance of long term debt             | (4,048,000) |           |
| Change in accrued interest payable     | (2,228)     |           |
| Repayment of revenue bonds             | 3,310,000   |           |
| Repayment of lease                     | 144,462     |           |
| Repayment of IT subscription liability | 16,272      | (579,494) |

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

|                      |           |           |
|----------------------|-----------|-----------|
| Compensated absences | (282,398) |           |
| Early retirement     | 237,219   |           |
| Net pension expense  | 2,520,048 |           |
| Total OPEB liability | (347,860) | 2,127,009 |

**Change in net position of governmental activities**

**\$ 1,612,686**

See Notes to Basic Financial Statements.

**Muscatine Community School District**

**Statement of Net Position**

**Proprietary Funds**

**June 30, 2025**

|                                                 | Enterprise Fund     | Governmental<br>Activities  |
|-------------------------------------------------|---------------------|-----------------------------|
|                                                 | School<br>Nutrition | Internal<br>Service<br>Fund |
| <b>Assets</b>                                   |                     |                             |
| Current:                                        |                     |                             |
| Cash and cash equivalents                       | \$ 1,911,583        | \$ 1,945,236                |
| Accounts receivable                             | -                   | 200,401                     |
| Intergovernmental receivable                    | 254,812             | -                           |
| Inventories                                     | 72,774              | -                           |
| <b>Total current assets</b>                     | <b>2,239,169</b>    | <b>2,145,637</b>            |
| Noncurrent:                                     |                     |                             |
| Capital assets, net of accumulated depreciation | 1,952,524           | -                           |
| <b>Total assets</b>                             | <b>4,191,693</b>    | <b>2,145,637</b>            |
| <b>Deferred Outflows of Resources:</b>          |                     |                             |
| OPEB related deferred outflows                  | 39,848              | -                           |
| Pension related deferred outflows               | 173,861             | -                           |
| <b>Total deferred outflows of resources</b>     | <b>213,709</b>      | <b>-</b>                    |
| <b>Liabilities</b>                              |                     |                             |
| Current:                                        |                     |                             |
| Accounts payable                                | 71,745              | 96,912                      |
| Salaries and benefits payable                   | 50,087              | -                           |
| Unearned revenue                                | 35,976              | -                           |
| Claims payable                                  | -                   | 630,000                     |
| Due to other funds                              | 250,000             | -                           |
| Compensated absences                            | 98,448              | -                           |
| Total OPEB liability                            | 16,731              | -                           |
| <b>Total current liabilities</b>                | <b>522,987</b>      | <b>726,912</b>              |
| Noncurrent:                                     |                     |                             |
| Compensated absences                            | 62,942              | -                           |
| Total OPEB liability                            | 608,708             | -                           |
| Net pension liability                           | 515,959             | -                           |
| <b>Total noncurrent liabilities</b>             | <b>1,187,609</b>    | <b>-</b>                    |
| <b>Total liabilities</b>                        | <b>1,710,596</b>    | <b>726,912</b>              |
| <b>Deferred Inflows of Resources:</b>           |                     |                             |
| OPEB related deferred inflows                   | 134,643             | -                           |
| Pension related deferred inflows                | 42,263              | -                           |
| <b>Total deferred inflows of resources</b>      | <b>176,906</b>      | <b>-</b>                    |
| <b>Net Position</b>                             |                     |                             |
| Investment in capital assets                    | 1,952,524           | -                           |
| Unrestricted                                    | 565,376             | 1,418,725                   |
| <b>Total net position</b>                       | <b>\$ 2,517,900</b> | <b>\$ 1,418,725</b>         |

See Notes to Basic Financial Statements.

**Muscatine Community School District**

**Statement of Revenues, Expenses and Changes in Net Position**  
**Proprietary Funds**  
**Year Ended June 30, 2025**

|                                              | Enterprise Fund     | Governmental<br>Activities  |
|----------------------------------------------|---------------------|-----------------------------|
|                                              | School<br>Nutrition | Internal<br>Service<br>Fund |
| Operating revenues:                          |                     |                             |
| Local sources, charges for services          | \$ 574,086          | \$ 5,697,507                |
| Operating expenses:                          |                     |                             |
| Noninstructional programs:                   |                     |                             |
| Salaries                                     | 1,388,932           | -                           |
| Benefits                                     | 483,565             | -                           |
| Purchased services                           | 21,878              | 5,842,058                   |
| Supplies                                     | 1,990,946           | -                           |
| Depreciation                                 | 202,061             | -                           |
| Other                                        | 8,781               | -                           |
| Total noninstructional programs              | 4,096,163           | 5,842,058                   |
| <b>Total operating expenses</b>              | 4,096,163           | 5,842,058                   |
| <b>Operating (loss)</b>                      | (3,522,077)         | (144,551)                   |
| Nonoperating revenues:                       |                     |                             |
| Interest on investments                      | 106,432             | 85,101                      |
| State sources                                | 21,128              | -                           |
| Federal sources                              | 3,276,284           | -                           |
| <b>Total nonoperating revenues</b>           | 3,403,844           | 85,101                      |
| <b>(Loss) before transfers</b>               | (118,233)           | (59,450)                    |
| Transfers in                                 | 20,404              | -                           |
| Transfers (out)                              | (250,000)           | -                           |
| <b>Change in net position</b>                | (347,829)           | (59,450)                    |
| Net position, beginning of year, as restated | 2,865,729           | 1,478,175                   |
| Net position, end of year                    | \$ 2,517,900        | \$ 1,418,725                |

See Notes to Basic Financial Statements.

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**Muscatine Community School District**

**Statement of Cash Flows**

**Proprietary Funds**

**Year Ended June 30, 2025**

|                                                                  | Enterprise Fund       | Governmental<br>Activities  |
|------------------------------------------------------------------|-----------------------|-----------------------------|
|                                                                  | School<br>Nutrition   | Internal<br>Service<br>Fund |
| Cash flows from operating activities:                            |                       |                             |
| Cash received from sale of lunches and breakfasts                | \$ 570,179            | \$ -                        |
| Cash received from miscellaneous operating activities            | -                     | 5,628,558                   |
| Cash payments to employees for services                          | (1,876,525)           | -                           |
| Cash payments to suppliers for goods or services                 | (1,802,166)           | (5,842,058)                 |
| <b>Net cash (used in) operating activities</b>                   | <b>(3,108,512)</b>    | <b>(213,500)</b>            |
| Cash flows from noncapital financing activities:                 |                       |                             |
| State grants received                                            | 21,128                | -                           |
| Federal grants received                                          | 3,085,830             | -                           |
| Payments to other funds                                          | 250,000               | -                           |
| Transfers in                                                     | 20,404                | -                           |
| Transfers (out)                                                  | (250,000)             | -                           |
| <b>Net cash provided by noncapital financing activities</b>      | <b>3,127,362</b>      | <b>-</b>                    |
| Cash flows (used in) capital related financing activities,       |                       |                             |
| Acquisition of capital assets                                    | (25,997)              | -                           |
| Cash flows from investing activities, interest on investments    | 106,432               | 85,101                      |
| <b>Net increase (decrease) in cash and cash equivalents</b>      | <b>99,285</b>         | <b>(128,399)</b>            |
| Cash and cash equivalents, beginning of year                     | 1,812,298             | 2,073,635                   |
| Cash and cash equivalents, end of year                           | <u>\$ 1,911,583</u>   | <u>\$ 1,945,236</u>         |
| Reconciliation of operating (loss) to net cash                   |                       |                             |
| (used in) operating activities:                                  |                       |                             |
| Operating (loss)                                                 | \$ (3,522,077)        | \$ (144,551)                |
| Adjustments to reconcile operating (loss) to net cash            |                       |                             |
| (used in) operating activities:                                  |                       |                             |
| Depreciation                                                     | 202,061               | -                           |
| Commodities used                                                 | 190,512               | -                           |
| Decrease in accounts receivable                                  | 100                   | (174,861)                   |
| Decrease in inventories                                          | 48,071                | -                           |
| Increase (decrease) in accounts payable and claims payable       | (19,144)              | 105,912                     |
| Increase in salaries and benefits payable                        | 18,763                | -                           |
| Increase in compensated absences                                 | 235                   | -                           |
| Increase in total OPEB liability and related                     |                       |                             |
| deferred outflows of resources and deferred inflows of resources | 12,654                | -                           |
| (Decrease) in net pension liability and related                  |                       |                             |
| deferred outflows of resources and deferred inflows of resources | (35,680)              | -                           |
| (Decrease) in unearned revenue                                   | (4,007)               | -                           |
| <b>Net cash (used in) operating activities</b>                   | <b>\$ (3,108,512)</b> | <b>\$ (213,500)</b>         |
| Schedule of noncash items:                                       |                       |                             |
| Noncapital financing activities, federal commodities             | \$ 190,512            | \$ -                        |
| See Notes to Basic Financial Statements.                         |                       |                             |

**Muscatine Community School District**

**Statement of Fiduciary Net Position**

**Fiduciary Funds**

**June 30, 2025**

---

|                                 | Custodial |
|---------------------------------|-----------|
| <b>Assets</b>                   |           |
| Cash and investments            | \$ -      |
| Other receivables               | -         |
| <b>Total assets</b>             | -         |
| <br>                            |           |
| <b>Net position, restricted</b> | \$ -      |

See Notes to Basic Financial Statements.

**Muscatine Community School District**

**Statement of Changes in Fiduciary Net Position**

**Fiduciary Funds**

**Year Ended June 30, 2025**

---

|                                 | Custodial          |
|---------------------------------|--------------------|
| Additions:                      |                    |
| Other                           | \$ 4,244           |
| <b>Total additions</b>          | <b>4,244</b>       |
| Deductions:                     |                    |
| Instruction:                    |                    |
| Administrative expenses         | \$ 4,244           |
| <b>Total deductions</b>         | <b>4,244</b>       |
| <b>Change in net position</b>   | <b>-</b>           |
| Net position, beginning of year | -                  |
| Net position, end of year       | <u><u>\$ -</u></u> |

See Notes to Basic Financial Statements.

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## **Muscatine Community School District**

### **Notes to Basic Financial Statements Year Ended June 30, 2025**

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#### **Note 1. Summary of Significant Accounting Policies**

Muscatine Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades preschool through twelve and special education pre-kindergarten. The geographic area served includes the City of Muscatine, Iowa and the predominately agricultural territory of Muscatine County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

#### **Reporting entity:**

For financial reporting purposes, Muscatine Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District; and (3) fiscal dependency. The District has no component units which meet the GASB criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Muscatine County Assessor's Conference Board.

#### **Basis of presentation:**

Government-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service. Interfund services provided and used are not eliminated in the process of consolidation for the statements.

The Statement of Net Position presents the District's nonfiduciary assets and liabilities, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

---

#### Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

The Debt Service Fund accounts for the payment of general long-term debt principal, interest and related costs.

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two proprietary funds, an enterprise fund and an internal service fund.

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability. The District's major enterprise fund is the School Nutrition Fund which accounts for the food service operations of the District.

## **Muscatine Community School District**

### **Notes to Basic Financial Statements Year Ended June 30, 2025**

---

#### **Note 1. Summary of Significant Accounting Policies (Continued)**

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Custodial funds are used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds for which the District accounts for revenue collected for faculty accounts and related expenditures, and for funds collected for other various special group accounts.

#### **Measurement focus and basis of accounting:**

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

#### **Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund balance/fund net position:**

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

The property tax revenue recognized in these funds became due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2023 assessed property valuations; is for the tax accrual period July 1, 2024 through June 30, 2025 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2024.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid Items: The District accounts for prepaid items by using the purchases method.



## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets are tangible and intangible assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost, except for intangible right-to-use lease assets, the measurement of which is discussed in the ensuing lease policy. Donated capital assets are recorded at acquisition value at the date of donation. Acquisition value is the price that would be paid to acquire an asset with equivalent service potential on the date of the donation. Intangible assets include those purchased or internally generated as well as right-to-use leased intangible assets. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized.

Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years:

| Asset Class                       | Amount |
|-----------------------------------|--------|
| Land                              | \$ 1   |
| Buildings                         | 25,000 |
| Improvements other than buildings | 25,000 |
| Intangibles:                      |        |
| Purchased or internally generated | 50,000 |
| Furniture and equipment:          |        |
| School Nutrition Fund equipment   | 500    |
| Other furniture and equipment     | 5,000  |

Land and construction in progress are not depreciated. Capital assets are depreciated / amortized using the straight-line method of depreciation over the following estimated useful lives:

| Asset Class                       | Estimated Useful Lives |
|-----------------------------------|------------------------|
| Buildings                         | 50 years               |
| Improvements other than buildings | 15 years               |
| Intangibles:                      |                        |
| Purchased or internally generated | 2 - 20 years           |
| Furniture and equipment           | 5 - 15 years           |

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 1. Summary of Significant Accounting Policies (Continued)

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received but not earned. Unearned revenue in the governmental funds arises when assets are recognized before revenue recognition criteria have been satisfied. Unearned revenue consists primarily of grant advances, school registration fees and meal deposits collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation, sick leave, and personal leave hours for subsequent use or for payment upon termination, death or retirement. A liability is recorded when each of the following have occurred: the leave is attributable to services already rendered, the leave accumulates and carries forward from one reporting period to the next and the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means.

The District estimates the compensated absences liability for leave benefits that are more likely than not to be used or otherwise paid or settled based on historical information on employees use or payment of the benefits provided. The liability is measured using the pay rates in effect at year-end, the measurement date, and includes salary-related payments that are directly and incrementally associated with the leave liability measurement.

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the governmental activities of the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 1. Summary of Significant Accounting Policies (Continued)

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into a contract that conveys control of the right to use information technology software. The District has recognized an IT subscription liability and an intangible right-to-use IT subscription asset in the government-wide financial statements.

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use an IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalization implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Total OPEB Liability: For purposes of measuring total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the Muscatine Community School District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 1. Summary of Significant Accounting Policies (Continued)

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Fund balance: In the governmental fund financial statements fund balances are classified as follows:

**Nonspendable:** Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

**Restricted:** Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

**Committed:** Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

**Assigned:** Fund balances that contain self-imposed constraints of the government to be used for a particular purpose. The authority to assign fund balances has been delegated to the Director of Finance. The District has assigned \$145,363 primarily for instructional programs. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for removal of an assignment.

**Unassigned:** Only the General Fund reports a positive unassigned fund balance. All amounts not included in other spendable classifications of the General Fund as well as any deficit fund balance of any other governmental fund is reported as unassigned.

When an expenditure is incurred for purposes for which amounts in the committed, assigned, or unassigned fund balance classifications could be used, the District's policy is generally to first apply the expenditure to restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and other postemployment benefit expense, and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 1. Summary of Significant Accounting Policies (Continued)

The District's deferred inflows of resources in the government-wide statements consist of succeeding year property tax revenue, and unrecognized items not yet charged to pension expense and other postemployment benefit expense.

The District reports unavailable revenue in the governmental funds balance sheet from income surtax and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2025 consists of \$1,196,107 for categorical funding, \$372,217 for debt service, \$1,069,057 for management levy purposes, \$1,304,213 for physical plant and equipment levy, \$304,254 for student activities, and \$10,076,231 for school infrastructure.

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

#### **Budgets and budgetary control:**

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing from all funds except for the internal service fund and custodial funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursements known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures.

The Code of Iowa also provides the District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information.

# Muscatine Community School District

## Notes to Basic Financial Statements Year Ended June 30, 2025

### Note 2. Cash and Pooled Investments

At June 30, 2025, the District had the following cash and investments:

District:

|                                                       |                      |
|-------------------------------------------------------|----------------------|
| Deposits with financial institutions                  | \$ 27,207,762        |
| Investment Pools, Iowa Schools Joint Investment Trust | 5,220,216            |
| Petty cash                                            | 1,800                |
|                                                       | <u>\$ 32,429,778</u> |

Authorized investments: The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

Interest rate risk: The District's investment policy limits the investment of operating funds in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but the maturities shall be consistent with the needs and use of the District. The District did not have investments subject to interest rate risk as of June 30, 2025.

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets or identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. As of June 30, 2025, the District's investments were as follows:

|                                                             | Investment Maturities (in Years) |                     |             |             |             | Level Input | Rating          |
|-------------------------------------------------------------|----------------------------------|---------------------|-------------|-------------|-------------|-------------|-----------------|
|                                                             | Fair Value                       | Less than 1         | 1-5         | 6-10        | >10         |             | Standard & Poor |
| Investment Pools,<br>Iowa Schools Joint<br>Investment Trust | \$ 5,220,216                     | \$ 5,220,216        | \$ -        | \$ -        | \$ -        | N/A         | AAAm            |
| Total                                                       | <u>\$ 5,220,216</u>              | <u>\$ 5,220,216</u> | <u>\$ -</u> | <u>\$ -</u> | <u>\$ -</u> |             |                 |

At June 30, 2025, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Fund which are valued at amortized cost of \$5,220,216 pursuant to Rule 2a-7 under the investment Company Act of 2040. There were no limitations or restrictions on withdrawals of the ISJIT investments.

Credit risk: Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. The District does not have a policy specific to credit risk. The credit related to the District investments are in the table above.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 2. Cash and Investments (Continued)

Custodial credit risk: The District's cash and pooled investments consisted of depository accounts at financial institutions. The District's deposits in banks as of June 30, 2025 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The custodial credit risk for investments is the risk that in the event of the failure of the counterparty to a transaction, a government will not be able to recover the value of its investments of collateral securities that are in the possession of another party. As of June 30, 2025, the District's cash and pooled investments are not exposed to custodial credit risk. The District does not have a separate custodial credit risk policy from state statutes.

#### Note 3. Interfund Balances and Transfers

Interfund receivable and payables as of June 30, 2025 were as follows:

|                                               | Due from          | Due too           |
|-----------------------------------------------|-------------------|-------------------|
| Major funds:                                  |                   |                   |
| General                                       | \$ 250,000        | \$ -              |
| Major fund, enterprise fund, School Nutrition | -                 | 250,000           |
|                                               | <u>\$ 250,000</u> | <u>\$ 250,000</u> |

The detail of interfund transfers for the year ended June 30, 2025 is as follows:

|                                               | Transfers In        | Transfers Out       |
|-----------------------------------------------|---------------------|---------------------|
| Major funds:                                  |                     |                     |
| General                                       | \$ 250,000          | \$ 20,754           |
| Capital Projects                              | -                   | 4,423,036           |
| Other nonmajor governmental funds             | 4,423,386           | -                   |
| Major fund, enterprise fund, School Nutrition | 20,404              | 250,000             |
|                                               | <u>\$ 4,693,790</u> | <u>\$ 4,693,790</u> |

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the nonmajor Debt Service Fund are to make principal and interest payments on the District's long-term debt. Transfers between the General Fund and School Nutrition Fund are for grants.

**Muscatine Community School District**

**Notes to Basic Financial Statements**  
**Year Ended June 30, 2025**

**Note 4. Capital Assets**

Capital assets activity for the year ended June 30, 2025 is as follows:

|                                                                      | Balance<br>Beginning<br>of Year | Increases            | Decreases            | Balance End<br>of Year |
|----------------------------------------------------------------------|---------------------------------|----------------------|----------------------|------------------------|
| Governmental activities:                                             |                                 |                      |                      |                        |
| Capital assets not being depreciated<br>and amortized:               |                                 |                      |                      |                        |
| Land                                                                 | \$ 1,690,763                    | \$ -                 | \$ -                 | \$ 1,690,763           |
| Construction in progress                                             | 6,900,809                       | 12,188,008           | 12,078,722           | 7,010,095              |
| <b>Total capital assets not being<br/>depreciated and amortized</b>  | <b>8,591,572</b>                | <b>12,188,008</b>    | <b>12,078,722</b>    | <b>8,700,858</b>       |
| Capital assets being depreciated<br>and amortized:                   |                                 |                      |                      |                        |
| Buildings                                                            | 108,334,149                     | 11,655,602           | 1,189,247            | 118,800,504            |
| Improvements other than buildings                                    | 14,556,245                      | 782,482              | -                    | 15,338,727             |
| Furniture and equipment                                              | 10,828,893                      | 1,196,465            | 483,014              | 11,542,344             |
| Right to use lease equipment                                         | 436,063                         | -                    | -                    | 436,063                |
| Right to use subscription asset                                      | 453,396                         | 501,906              | 60,674               | 894,628                |
| <b>Total capital assets being<br/>depreciated and amortized</b>      | <b>134,608,746</b>              | <b>14,136,455</b>    | <b>1,732,935</b>     | <b>147,012,266</b>     |
| Less accumulated depreciation<br>and amortization for:               |                                 |                      |                      |                        |
| Buildings                                                            | 52,411,593                      | 3,925,503            | 1,020,607            | 55,316,489             |
| Improvements other than buildings                                    | 3,471,748                       | 710,251              | -                    | 4,181,999              |
| Furniture and equipment                                              | 7,487,721                       | 977,042              | 441,802              | 8,022,961              |
| Right to use lease equipment                                         | 133,251                         | 145,334              | -                    | 278,585                |
| Right to use subscription asset                                      | 117,904                         | 167,883              | 60,674               | 225,113                |
| <b>Total accumulated depreciation<br/>and amortization</b>           | <b>63,622,217</b>               | <b>5,926,013</b>     | <b>1,523,083</b>     | <b>68,025,147</b>      |
| <b>Total capital assets being<br/>depreciated and amortized, net</b> | <b>70,986,529</b>               | <b>8,210,442</b>     | <b>209,852</b>       | <b>78,987,119</b>      |
| <b>Governmental activities<br/>capital assets, net</b>               | <b>\$ 79,578,101</b>            | <b>\$ 20,398,450</b> | <b>\$ 12,288,574</b> | <b>\$ 87,687,977</b>   |
| Business-type activities:                                            |                                 |                      |                      |                        |
| Furniture and equipment                                              | \$ 2,934,318                    | \$ 25,997            | \$ -                 | \$ 2,960,315           |
| Less accumulated depreciation                                        | 805,730                         | 202,061              | -                    | 1,007,791              |
| <b>Business-type activities<br/>capital assets, net</b>              | <b>\$ 2,128,588</b>             | <b>\$ (176,064)</b>  | <b>\$ -</b>          | <b>\$ 1,952,524</b>    |



# Muscatine Community School District

## Notes to Basic Financial Statements Year Ended June 30, 2025

### Note 4. Capital Assets (Continued)

Depreciation expense was charged by the District as follows:

|                                                                            |                     |
|----------------------------------------------------------------------------|---------------------|
| Governmental activities:                                                   |                     |
| Instruction                                                                | \$ 3,649,675        |
| Support services:                                                          |                     |
| Instructional staff services                                               | 60,345              |
| Administration services                                                    | 10,236              |
| Operation and maintenance of plant services                                | 1,556,284           |
| Transportation services                                                    | 649,473             |
| <b>Total governmental activities depreciation and amortization expense</b> | <b>\$ 5,926,013</b> |
| Business-type activities, food service operations                          | <b>\$ 202,061</b>   |

### Note 5. Long-Term Liabilities

As summary of changes in long-term liabilities for the year ended June 30, 2025 is as follows:

|                            | Restated<br>Balance<br>Beginning<br>of Year | Additions           | Reductions          | Balance End<br>of Year | Due Within<br>One Year |
|----------------------------|---------------------------------------------|---------------------|---------------------|------------------------|------------------------|
| Governmental activities:   |                                             |                     |                     |                        |                        |
| Series 2022 Revenue Bonds  | \$ 13,095,000                               | \$ -                | \$ 1,979,000        | \$ 11,116,000          | \$ 2,057,000           |
| Series 2022B Revenue Bonds | 8,713,000                                   | -                   | 1,331,000           | 7,382,000              | 1,378,000              |
| Series 2024 Revenue Bonds  | -                                           | 4,048,000           | -                   | 4,048,000              | 194,000                |
| Compensated absences       | 6,265,212                                   | 282,398             | -                   | 6,547,610              | 4,190,471              |
| Early retirement           | 1,123,662                                   | 200,000             | 437,219             | 886,443                | 399,670                |
| Lease obligations          | 306,766                                     | -                   | 144,462             | 162,304                | 149,600                |
| IT subscription liability  | 16,272                                      | -                   | 16,272              | -                      | -                      |
|                            | <b>\$ 23,370,511</b>                        | <b>\$ 4,530,398</b> | <b>\$ 3,907,953</b> | <b>\$ 30,142,357</b>   | <b>\$ 8,368,741</b>    |
| Business type activities:  |                                             |                     |                     |                        |                        |
| Compensated absences       | \$ 161,155                                  | \$ 235              | \$ -                | \$ 161,390             | \$ 98,448              |

# Muscatine Community School District

## Notes to Basic Financial Statements Year Ended June 30, 2025

### Note 5. Long-Term Liabilities (Continued)

#### Revenue Bonds

The Board of Education has authorized the District to issue \$32,000,000 in one or more series of School Infrastructure Sales, Services and Use Tax Revenue Bonds. On November 8, 2022, the District issued \$15,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2022 and on December 28, 2022, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2022B. The bonds were issued to build, furnish, and equip additions to existing school facilities as well as for demolition, remodeling, improvements and site improvements and the purchase and improvement of grounds.

On September 25, 2024, the District issued \$4,048,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2024. The bonds were issued to build, furnish and equip additions to existing school facilities, as well as demolition, remodeling, improvements and site improvements; to remodel, repair, and improve existing facilities; to build, furnish and equip athletic facilities, and to purchase and improve grounds.

Details of the District's revenue bonds is as follows:

| Issuance                   | Date of Issue | Interest Rates | Final Due Date | Annual Payments         | Amount Originally Issued | Amount Outstanding   |
|----------------------------|---------------|----------------|----------------|-------------------------|--------------------------|----------------------|
| Series 2022 Revenue Bonds  | 11/08/22      | 3.89           | 6/1/2030       | \$1,905,000-\$2,396,000 | \$15,000,000             | \$ 11,116,000        |
| Series 2022B Revenue Bonds | 12/28/22      | 3.46           | 6/1/2030       | \$1,287,000-\$1,578,000 | 10,000,000               | 7,382,000            |
| Series 2024 Revenue Bonds  | 09/25/24      | 3.70           | 6/1/2031       | \$194,000-\$3,000,000   | 4,048,000                | 4,048,000            |
| <b>Total</b>               |               |                |                |                         |                          | <b>\$ 22,546,000</b> |

A summary of the annual principal and interest requirements to maturity by year is as follows:

| Year Ending<br>June 30, | Series 2022         |                     |                      | Series 2022A        |                   |                     |
|-------------------------|---------------------|---------------------|----------------------|---------------------|-------------------|---------------------|
|                         | Principal           | Interest            | Total                | Principal           | Interest          | Total               |
| 2026                    | \$ 2,057,000        | \$ 432,412          | \$ 2,489,412         | \$ 1,378,000        | \$ 255,417        | \$ 1,633,417        |
| 2027                    | 2,137,000           | 352,395             | 2,489,395            | 1,425,000           | 207,738           | 1,632,738           |
| 2028                    | 2,220,000           | 269,266             | 2,489,266            | 1,475,000           | 158,433           | 1,633,433           |
| 2029                    | 2,306,000           | 182,908             | 2,488,908            | 1,526,000           | 107,398           | 1,633,398           |
| 2030                    | 2,396,000           | 93,204              | 2,489,204            | 1,578,000           | 54,599            | 1,632,599           |
| <b>Total</b>            | <b>\$11,116,000</b> | <b>\$ 1,330,185</b> | <b>\$ 12,446,185</b> | <b>\$ 7,382,000</b> | <b>\$ 783,585</b> | <b>\$ 8,165,585</b> |

| Year<br>Ending<br>June 30, | Interest<br>Rate | Series 2024         |                   |                     | Total                |                     |                      |
|----------------------------|------------------|---------------------|-------------------|---------------------|----------------------|---------------------|----------------------|
|                            |                  | Principal           | Interest          | Total               | Principal            | Interest            | Total                |
| 2026                       | 3.70             | \$ 194,000          | \$ 149,776        | \$ 343,776          | \$ 3,629,000         | \$ 837,605          | \$ 4,466,605         |
| 2027                       | 3.70             | 202,000             | 142,598           | 344,598             | 3,764,000            | 702,731             | 4,466,731            |
| 2028                       | 3.70             | 209,000             | 135,124           | 344,124             | 3,904,000            | 562,823             | 4,466,823            |
| 2029                       | 3.70             | 218,000             | 127,391           | 345,391             | 4,050,000            | 417,697             | 4,467,697            |
| 2030                       | 3.70             | 225,000             | 119,325           | 344,325             | 4,199,000            | 267,128             | 4,466,128            |
| 2031                       | 3.70             | 3,000,000           | 111,000           | 3,111,000           | 3,000,000            | 111,000             | 3,111,000            |
| <b>Total</b>               |                  | <b>\$ 4,048,000</b> | <b>\$ 785,214</b> | <b>\$ 4,833,214</b> | <b>\$ 22,546,000</b> | <b>\$ 2,898,984</b> | <b>\$ 25,444,984</b> |

## **Muscatine Community School District**

### **Notes to Basic Financial Statements Year Ended June 30, 2025**

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#### **Note 5. Long-Term Liabilities (Continued)**

The Series 2022, Series 2022B and Series 2024 revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Projects Fund. The bonds have a first priority lien and are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District through their maturity in 2031. The bonds are not general obligations of the District. The pledge of statewide sales, services and use tax revenues constitutes approximately 67 percent of the annual statewide sales, services and use tax revenues of the District.

The total principal and interest remaining to be paid on the bonds is \$25,444,984. During the year ended June 30, 2025, principal of \$3,310,000 and interest of \$913,212 was paid on the bonds. Statewide sales, services and use tax revenues were \$5,850,001.

The resolution providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, services and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall be disbursed to the Sinking Fund and Surplus Revenue Fund in order of priority.
- The required amount to be deposited in the Sinking Fund in any month shall be the equal monthly amount necessary to pay in full the installment of interest coming due on the next interest payment date, plus the equal monthly amount necessary to pay in full the installment of principal coming due on the next succeeding principal payment date until the full amount of such installment is on hand. If for any reason the amount on hand in the Sinking Fund exceeds the required amount, the excess shall be withdrawn and paid into the Reserve Fund.
- The Debt Service Reserve Fund will be funded to a balance equal to the Reserve Fund Requirements. Monies deposited in the Debt Service Reserve Fund shall be used solely for the purpose of paying principal and interest on the Bonds or Parity Obligations.
- All money thereafter remaining in the Revenue Fund at the close of each month may be used to pay for other expenses of the Project, pay or redeem the Bonds or obligations or for any lawful purpose.

As of June 30, 2025, the District had \$372,217 in the required resolution Sinking Fund accounts.

#### **Early Retirement**

The District offered a voluntary early retirement plan in fiscal years 2025, 2023 and 2022 to its certified employees.

##### 2025 Plan:

The plan approved in fiscal year 2025 required eligible employees to be at least age 55 and 25 years of continuous service to the District. The eligible employees must be a certified teacher/nurse with a full-time equivalency of .75 FTE or be employed by the District in any capacity other than the certified teacher/nurse and considered full-time. The early retirement incentive is .04 times base annual earnings for the contract year immediately preceding the employee's effective date of retirement times the number of years service not to exceed 33 years. The maximum aggregate payment over five years will not exceed \$25,000.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 5. Long-Term Liabilities (Continued)

##### 2023 Plan:

The plan approved in fiscal year 2023 required eligible employees to be at least age 55 and 25 years of continuous service to the District. The eligible employees must be a certified teacher/nurse with a full-time equivalency of .75 FTE or be employed by the District in any capacity other than the certified teacher/nurse and considered full-time. The early retirement incentive is .04 times base annual earnings for the contract year immediately preceding the employee's effective date of retirement times the number of years service not to exceed 33 years. The maximum aggregate payment over five years will not exceed \$50,000.

##### 2022 Plan:

Eligible employees were required to be at least age 55 and employees must have completed 15 years of service to the District. Employees completed an application which was required to be approved by the Board of Education. The early retirement incentive for each eligible employee is equal to \$10,000 per year for five years.

As of June 30, 2025, the District had obligations to 78 participants with a total liability of \$886,443. Actual early retirement expenditures for the year ended June 30, 2025 totaled \$437,219. Early retirement obligations are generally liquidated by the Management Fund or the General Fund.

Early retirement is recorded as a long-term liability of the Governmental Activities in the government-wide financial statements.

#### Equipment Leases

The District has entered into two leases for copier equipment. The leases expire June 30, 2027. The details of the leases are as follows:

| Year Ending<br>June 30, | Gordon Flesch Copier Lease 1 |          |           | Gordon Flesch Copier Lease 2 |          |            |
|-------------------------|------------------------------|----------|-----------|------------------------------|----------|------------|
|                         | Principal                    | Interest | Total     | Principal                    | Interest | Total      |
| 2026                    | \$ 18,002                    | \$ 397   | \$ 18,399 | \$ 131,598                   | \$ 2,899 | \$ 134,497 |
| 2027                    | 1,529                        | 4        | 1,533     | 11,175                       | 33       | 11,208     |
| Total                   | \$ 19,531                    | \$ 401   | \$ 19,932 | \$ 142,773                   | \$ 2,932 | \$ 145,705 |

#### Subscription-Based Information Technology Arrangements (SBITA)

The District has entered into subscription based information technology arrangements (SBITA). The arrangements expired June 30, 2025. For the year ended June 30, 2025, the District paid \$16,272 in principal and \$644 in interest.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 5. Long-Term Liabilities (Continued)

As of June 30, 2025, the District did not exceed its legal debt margin computed as follows:

|                                            |    |               |
|--------------------------------------------|----|---------------|
| Total assessed valuation                   | \$ | 1,598,564,859 |
| Debt limit, 5% of total assessed valuation | \$ | 79,928,243    |
| Amount of debt applicable to debt limit:   |    |               |
| Lease obligations                          |    | 162,304       |
| Total indebtedness                         |    | 162,304       |
| Legal debt margin                          | \$ | 79,765,939    |

#### Note 6. Postemployment Benefits Other Than Pensions (OPEB)

##### General Information about the OPEB Plan

Plan description: The District's defined benefit OPEB plan, Muscatine School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Benefits provided: The Plan provides medical and prescription drug benefits for retirees and their spouses. Participants must be age 55 or older at retirement with 15 or more years of service with the District. The medical/prescription drug coverage is provided through a fully insured plan with United Healthcare of River Valley. Retirees under 65 pay the same premium for the medical/prescription drug benefit as active employees.

The full monthly premium rates as of January 1, 2024 for each plan are as shown below:

| Rate Tier | \$500 PPO | HDHP   |
|-----------|-----------|--------|
| Single    | \$ 852    | \$ 697 |
| Spouse    | 764       | 623    |

Employees covered by benefit terms: At June 30, 2025, the following employees were covered by the benefit terms:

|                                                                          |     |
|--------------------------------------------------------------------------|-----|
| Inactive employees or beneficiaries currently receiving benefit payments | 28  |
| Inactive employees entitled to but not yet receiving benefit payments    | -   |
| Active employees                                                         | 734 |
|                                                                          | 762 |

**Muscatine Community School District**

**Notes to Basic Financial Statements**  
**Year Ended June 30, 2025**

**Note 6. Postemployment Benefits Other Than Pensions (OPEB) (Continued)**

**Total OPEB Liability**

The District's total OPEB liability of \$12,884,913 was measured as of June 30, 2025 and was determined by an actuarial valuation as June 30, 2024 rolled forward to June 30, 2025.

|                                                    | Total OPEB<br>Liability |
|----------------------------------------------------|-------------------------|
| Balance at July 1, 2024                            | \$ 12,511,494           |
| Changes for the year:                              |                         |
| Service cost                                       | 889,266                 |
| Interest                                           | 516,700                 |
| Changes of benefit terms                           | -                       |
| Differences between expected and actual experience | -                       |
| Changes in assumptions or other inputs             | (555,885)               |
| Benefit payments                                   | (476,662)               |
| Other changes                                      | -                       |
| Net changes                                        | 373,419                 |
| Balance at June 30, 2025                           | \$ 12,884,913           |

There were no changes as a result of benefit terms. Change in assumptions include the discount rate was changed from 4.21% in 2024 to 4.81% in 2025.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2025 roll forward actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

|                                          |                                              |
|------------------------------------------|----------------------------------------------|
| Inflation                                | 3.00% per annum                              |
| Salary increases                         | 4.00% per annum                              |
| Discount rate                            | 4.81% per annum                              |
| Retirees' share of benefit-related costs | 100%                                         |
| Health care cost trend rate              | \$500 PPO Plan - 5.50%                       |
|                                          | High deductible Health Plan - 5.50%          |
|                                          | Ultimate Health Care Cost Trend Rate - 4.50% |

The discount rate was based on the S&P Municipal Bond 20 Year High Grade Rate Index. Mortality rates were based on the RP-2014 generational table scaled using MP-17 and applied on a gender-specific basis. The actuarial assumptions used in the June 30, 2025 roll forward valuation were based on the results of an actuarial experience study for the period 2010– 2022.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

|                      | 1% Decrease   | Discount Rate | 1% Increase   |
|----------------------|---------------|---------------|---------------|
|                      | 3.81%         | 4.81%         | 5.81%         |
| Total OPEB liability | \$ 13,914,539 | \$ 12,884,913 | \$ 11,938,737 |

**Muscatine Community School District**

**Notes to Basic Financial Statements**  
**Year Ended June 30, 2025**

**Note 6. Postemployment Benefits Other Than Pensions (OPEB) (Continued)**

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

|                      | Healthcare Cost             |                             |                             |
|----------------------|-----------------------------|-----------------------------|-----------------------------|
|                      | 1% Decrease                 | Trend Rates                 | 1% Increase                 |
|                      | (4.50% decreasing to 4.50%) | (5.50% decreasing to 4.50%) | (6.50% decreasing to 4.50%) |
| Total OPEB liability | \$ 11,557,516               | \$ 12,884,913               | \$ 14,449,710               |

For the year ended June 30, 2025, the District recognized OPEB expense of \$837,174.

At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

|                                                         | Deferred Outflows<br>of Resources | Deferred Inflows<br>of Resources |
|---------------------------------------------------------|-----------------------------------|----------------------------------|
| Differences between expected and actual experience      | \$ -                              | \$ (1,713,514)                   |
| Changes of assumptions or other inputs                  | 1,166,195                         | (2,670,000)                      |
| Net difference between projected and actual investments | -                                 | -                                |
| <b>Total</b>                                            | <b>\$ 1,166,195</b>               | <b>\$ (4,383,514)</b>            |

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

|                     |                       |
|---------------------|-----------------------|
| Year ended June 30: |                       |
| 2026                | \$ (568,792)          |
| 2027                | (568,792)             |
| 2028                | (565,892)             |
| 2029                | (564,382)             |
| 2030                | (427,898)             |
| Thereafter          | (521,563)             |
|                     | <u>\$ (3,217,319)</u> |

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 7. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at [www.ipers.org](http://www.ipers.org).

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.



## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

#### Note 7. Pension and Retirement Benefits (Continued)

In fiscal year 2025, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll, for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2025 were \$3,599,805.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2025, the District reported a liability of \$14,699,678 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2024, the District's proportion was 0.403671 percent, which was a decrease of 0.011802 from its proportion measured as of June 30, 2023.

For the year ended June 30, 2025, the District recognized pension expense of \$1,044,077.

At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

|                                                                                                                  | Deferred Outflows<br>of Resources | Deferred Inflows<br>of Resources |
|------------------------------------------------------------------------------------------------------------------|-----------------------------------|----------------------------------|
| Differences between expected and actual experience                                                               | \$ 1,169,666                      | \$ 9,132                         |
| Changes of assumptions                                                                                           | -                                 | 206                              |
| Net difference between projected and actual earnings<br>on pension plan investments                              | 183,844                           | -                                |
| Changes in proportion and differences between District<br>contributions and proportionate share of contributions | -                                 | 1,194,719                        |
| District contributions subsequent to the measurement date                                                        | 3,599,805                         | -                                |
| Total                                                                                                            | <u>\$ 4,953,315</u>               | <u>\$ 1,204,057</u>              |

\$3,599,805 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2026.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ended June 30, |                   |
|---------------------|-------------------|
| 2026                | \$ (2,456,207)    |
| 2027                | 3,203,557         |
| 2028                | (29,571)          |
| 2029                | (549,161)         |
| 2030                | (19,165)          |
|                     | <u>\$ 149,453</u> |

There were no non-employer contributing entities to IPERS.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

#### Note 7. Pension and Retirement Benefits (Continued)

Actuarial Assumptions – The total pension liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement, as follows:

|                                                                  |                                                                                              |
|------------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| Rate of Inflation<br>(effective June 30, 2017)                   | 2.60 percent per annum                                                                       |
| Salary Increases<br>(effective June 30, 2017)                    | 3.25 percent to 16.25 percent, average, including inflation. Rates vary by membership group. |
| Long-term Investment rate of return<br>(effective June 30, 2017) | 7.00 percent, compounded annually, net of investment expense, including inflation.           |
| Wage growth<br>(effective June 30, 2017)                         | 3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation |

The actuarial assumptions used in the June 30, 2024 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2024 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

| Asset Class              | Asset<br>Allocation | Long-Term<br>Expected Real<br>Rate of Return |
|--------------------------|---------------------|----------------------------------------------|
| Domestic equity          | 21.0%               | 3.52%                                        |
| International equity     | 13.0%               | 5.18%                                        |
| Global smart beta equity | 5.0%                | 4.12%                                        |
| Core plus fixed income   | 25.5%               | 3.04%                                        |
| Public credit            | 3.0%                | 4.53%                                        |
| Cash                     | 1.0%                | 1.69%                                        |
| Private equity           | 17.0%               | 8.89%                                        |
| Private real assets      | 9.0%                | 4.25%                                        |
| Private credit           | 5.5%                | 6.62%                                        |
| <b>Total</b>             | <b>100%</b>         |                                              |

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 7. Pension and Retirement Benefits (Continued)

Discount Rate – The discount rate used to measure the total pension liability was 7.0 percent. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.0 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.0 percent) or 1-percentage-point higher (8.0 percent) than the current rate.

|                                                                        | 1%<br>Decrease<br>(6.0%) | Discount<br>Rate<br>(7.0%) | 1%<br>Increase<br>(8.0%) |
|------------------------------------------------------------------------|--------------------------|----------------------------|--------------------------|
| District's proportionate share of the<br>net pension liability (asset) | \$ 36,072,747            | \$ 14,699,678              | \$ (3,200,379)           |

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at [www.ipers.org](http://www.ipers.org).

Payables to the Pension Plan – At June 30, 2025, the District reported payables to the defined benefit pension plan of \$0 for legally required employer contributions and \$0 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

#### Note 8. Risk Management

Muscatine Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

The District has established the Internal Service Fund to account for premium and claim payments for a self-insured group health and dental insurance plan for the District's employees to meet potential losses from medical claims. The District purchases commercial insurance to provide for aggregate stop-loss coverage for the excess of 125 percent of estimated claims for the plan year and specific stop-loss reinsurance coverage for the excess \$100,000 in insured claims for any one covered individual. Settled claims have not exceeded the commercial coverage in any of the past three calendar years.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

#### Note 8. Risk Management (Continued)

Payments are made to the plan based on the actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for catastrophic losses. Liabilities are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Claims payable include all known claims and an amount for claims that have been incurred but not reported (IBNR). Claim liabilities are estimated by considering the effects of inflation, recent claims settlement trends, including frequency and amount of pay-outs and other economic and social factors.

The plan receives an annual actuarial opinion and an annual report is filed with the State of Iowa Insurance Division.

Changes in the balances of claims payable for health and dental during the years ending are as follows:

|                                                           | 2025              | 2024              |
|-----------------------------------------------------------|-------------------|-------------------|
| Claims payable, beginning of year                         | \$ 621,000        | \$ 650,000        |
| Incurred claims (including IBNR and changes in estimates) | 6,003,117         | 6,387,381         |
| Claim payments                                            | 5,994,117         | 6,416,381         |
| Claims payable, end of year                               | <u>\$ 630,000</u> | <u>\$ 621,000</u> |

#### Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$1,871,557 for the year ended June 30, 2025 and is recorded in the General Fund.

The Governor signed House File 2612 on March 27, 2024, which changes the percentage of educational and media services funding generated through local property taxes by Districts which flow through to each Area Education Agency (AEA) beginning July 1, 2024. For fiscal year 2026, 100% of the educational and media services funds generated by Districts will be received directly by the District and none will flow through to the AEAs. Also, for fiscal year 2026, Districts will flow through 90% (instead of 100%) of special education support services funds to AEAs, who will code the funds as a combination of state aid and property taxes.

#### Note 10. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2025 is comprised of the following programs:

| Program                                    | Amount                     |
|--------------------------------------------|----------------------------|
| Home school assistance program             | \$ 270,236                 |
| Teacher leadership and compensation system | 162,949                    |
| Teacher salary supplement                  | 1,376                      |
| Successful progression for early readers   | 150,069                    |
| Professional development                   | 28,535                     |
| Four-year-old preschool                    | 187,050                    |
| Gifted and talented                        | 395,892                    |
| <b>Total</b>                               | <u><u>\$ 1,196,107</u></u> |

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 11. Commitments

The District has entered into contracts totaling \$19,082,443 for various building renovations. As of June 30, 2025, costs of \$16,801,743 had been incurred against the contracts. The balance of \$2,280,700 remaining as of June 30, 2025 will be paid as work on the projects progress.

#### Note 12. 28E Agreement

The District participates in a Chapter 28E agreement with Muscatine Agricultural Learning Center, the Friends of the Muscatine FFA and Eastern Iowa Community College. The agreement is to remain in effect for a minimum period of ten years. In the event the Muscatine Agricultural Learning Center is dissolved, there is a plan to split the remaining balance and assets owned between the three partners in the agreement.

In accordance with the agreement, the Muscatine Agricultural Learning Center is to own and operate the facility to provide educational opportunities for students of Eastern Iowa Community College and the Muscatine Community School District. The Friends of the Muscatine FFA obtained financial support for the construction of the facility and have shared advisory and governance responsibilities with the other members of the agreement. Eastern Iowa Community College and the Muscatine Community School District provided funds for the construction of the facility as well as be a program and tenant partner of the learning center.

#### Note 13. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2025 under tax abatement agreements of other entities:

| Entity                  | Tax Abatement Program                           | Amount of Tax Abated |
|-------------------------|-------------------------------------------------|----------------------|
| City of Muscatine, Iowa | Urban renewal and economic development projects | \$ 443,835           |
| Muscatine County        | Urban renewal and economic development projects | 36,700               |

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2025, this reimbursement amounted to \$241,223.

#### Note 14. Governmental Accounting Standards Board (GASB) Statements

The District adopted the following statements during the year ended June 30, 2025:

GASB Statement No. 101, *Compensated Absences*, issued June 2022. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures.

## Muscatine Community School District

### Notes to Basic Financial Statements Year Ended June 30, 2025

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#### Note 14. Governmental Accounting Standards Board (GASB) Statements (Continued)

This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means.

With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

GASB Statement No. 102, *Certain Risk Disclosures*, issued December 2023. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should provide information in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact associated with the concentration or constraint. The disclosures should include descriptions of the following: (a) The concentration or constraint (b) Each event associated with the concentration or constraint that could cause a substantial impact if the event had occurred or had begun to occur prior to the issuance of the financial statements (c) Actions taken by the government prior to the issuance of the financial statements to mitigate the risk.

The above statements did not have a significant impact to the District except for GASB Statement No. 101 required the District to restate beginning net position of the governmental and business-type activities and the School Nutrition major fund.

As of June 30, 2025, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 103, *Financial Reporting Model Improvements*, issued April 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues.

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, issued September 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by Statement 34. Lease assets recognized in accordance with Statement No. 87, *Leases*, and intangible right-to-use assets recognized in accordance with Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, should be disclosed separately by major class of underlying asset in the capital assets note disclosures. Subscription assets recognized in accordance with Statement No. 96, *Subscription-Based Information Technology Arrangements*, also should be separately disclosed.

**Muscatine Community School District**

**Notes to Basic Financial Statements**  
**Year Ended June 30, 2025**

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**Note 14. Governmental Accounting Standards Board (GASB) Statements (Continued)**

In addition, this Statement requires intangible assets other than those three types to be disclosed separately by major class. This Statement also requires additional disclosures for capital assets held for sale.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

**Note 15. Restatement**

The District implemented GASB Statement No. 101, *Compensated Absences*, which required the District to restate net position as of June 30, 2024, as follows:

|                                                    | Governmental Activities | School Nutrition/<br>Business-type Activities |
|----------------------------------------------------|-------------------------|-----------------------------------------------|
| Net position June 30, 2024, as previously reported | \$ 60,252,352           | \$ 3,026,884                                  |
| Compensated absences change in liability           | 6,149,401               | 161,155                                       |
| Net position June 30, 2024, as restated            | <u>\$ 54,102,951</u>    | <u>\$ 2,865,729</u>                           |

**Muscatine Community School District****Required Supplementary Information  
Schedule of Changes in the District's Total OPEB  
Liability and Related Ratios  
Last Eight Fiscal Years**

|                                                                  | 2025          | 2024          |
|------------------------------------------------------------------|---------------|---------------|
| Total OPEB liability                                             |               |               |
| Changes for the year:                                            |               |               |
| Service cost                                                     | \$ 889,266    | \$ 963,816    |
| Interest                                                         | 516,700       | 527,948       |
| Changes of benefit terms                                         | -             | -             |
| Differences between expected and actual experience               | -             | (1,443,594)   |
| Changes in assumptions or other inputs                           | (555,885)     | (90,476)      |
| Benefit payments                                                 | (476,662)     | (458,871)     |
| Other changes                                                    | -             | -             |
| Net changes in total OPEB liability                              | 373,419       | (501,177)     |
| Total OPEB liability - beginning                                 | 12,511,494    | 13,012,671    |
| Total OPEB liability - ending                                    | \$ 12,884,913 | \$ 12,511,494 |
| Covered employee payroll                                         | \$ 32,447,527 | \$ 31,198,913 |
| Total OPEB liability as a percentage of covered employee payroll | 40%           | 40%           |

**Notes to Schedule:**Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate. The following are the discount rates used in each period:

|       |       |
|-------|-------|
| 4.81% | 4.21% |
|-------|-------|

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.  
Information prior to 2018 is not available.



|    | 2023       | 2022          | 2021          | 2020          | 2019          | 2018          |
|----|------------|---------------|---------------|---------------|---------------|---------------|
| \$ | 950,683    | \$ 1,275,974  | \$ 1,105,503  | \$ 1,055,742  | \$ 963,578    | \$ 895,100    |
|    | 487,110    | 307,748       | 333,441       | 326,379       | 316,093       | 295,308       |
|    | -          | -             | -             | -             | -             | -             |
|    | -          | (930,129)     | -             | (304,474)     | -             | -             |
|    | (40,702)   | (2,378,099)   | 543,543       | 48,935        | 166,039       | 111,193       |
|    | (588,380)  | (376,796)     | (425,284)     | (357,516)     | (387,137)     | (529,164)     |
|    | -          | -             | -             | 102,046       | 17,642        | (145,967)     |
|    | 808,711    | (2,101,302)   | 1,557,203     | 871,112       | 1,076,215     | 626,470       |
|    | 12,203,960 | 14,305,262    | 12,748,059    | 11,876,947    | 10,800,732    | 10,174,262    |
| \$ | 13,012,671 | \$ 12,203,960 | \$ 14,305,262 | \$ 12,748,059 | \$ 11,876,947 | \$ 10,800,732 |
| \$ | 36,126,238 | \$ 34,733,055 | \$ 30,714,996 | \$ 30,714,996 | \$ 31,689,758 | \$ 31,689,758 |
|    | 36%        | 35%           | 47%           | 42%           | 37%           | 34%           |
|    | 4.13%      | 4.09%         | 2.18%         | 2.66%         | 2.79%         | 2.98%         |

**Muscatine Community School District**

**Required Supplementary Information**

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -  
Budget and Actual - All Governmental Funds and Enterprise Fund  
Year Ended June 30, 2025**

|                                                                               | Governmental<br>Funds - Actual | Enterprise<br>Fund - Actual |
|-------------------------------------------------------------------------------|--------------------------------|-----------------------------|
| Revenues:                                                                     |                                |                             |
| Local sources                                                                 | \$ 24,348,205                  | \$ 680,518                  |
| State sources                                                                 | 44,374,729                     | 21,128                      |
| Federal sources                                                               | 3,293,745                      | 3,276,284                   |
| <b>Total revenues</b>                                                         | <b>72,016,679</b>              | <b>3,977,930</b>            |
| Expenditures/expenses:                                                        |                                |                             |
| Instruction                                                                   | 40,308,815                     | -                           |
| Support services                                                              | 23,587,079                     | -                           |
| Noninstructional programs                                                     | 60,834                         | 4,096,163                   |
| Other expenditures                                                            | 20,193,440                     | -                           |
| <b>Total expenditures/expenses</b>                                            | <b>84,150,168</b>              | <b>4,096,163</b>            |
| <b>Excess (deficiency) of revenues over (under)<br/>expenditures/expenses</b> | <b>(12,133,489)</b>            | <b>(118,233)</b>            |
| Other financing sources (uses):                                               |                                |                             |
| Transfers, net                                                                | 229,596                        | (229,596)                   |
| Capital contributions                                                         | -                              | -                           |
| Proceeds from sale of capital assets                                          | 46,189                         | -                           |
| Issuance of long-term debt                                                    | 4,048,000                      | -                           |
| <b>Total other financing sources (uses)</b>                                   | <b>4,323,785</b>               | <b>(229,596)</b>            |
| <b>Net change in fund balance</b>                                             | <b>(7,809,704)</b>             | <b>(347,829)</b>            |
| Fund balance/net position, beginning of year                                  | 30,239,974                     | 2,865,729                   |
| Fund balance/net position, end of year                                        | <b>\$ 22,430,270</b>           | <b>\$ 2,517,900</b>         |

See Notes to Required Supplementary Information.

| Total Actual |              | Budgeted Amounts |                 | Final to Actual |
|--------------|--------------|------------------|-----------------|-----------------|
|              |              | Original         | Final           | Variance        |
| \$           | 25,028,723   | \$ 25,423,885    | \$ 25,423,885   | \$ (395,162)    |
|              | 44,395,857   | 42,372,970       | 42,372,970      | 2,022,887       |
|              | 6,570,029    | 4,467,872        | 4,467,872       | 2,102,157       |
|              | 75,994,609   | 72,264,727       | 72,264,727      | 3,729,882       |
|              | 40,308,815   | 39,347,542       | 40,847,542      | 538,727         |
|              | 23,587,079   | 22,575,208       | 25,075,208      | 1,488,129       |
|              | 4,156,997    | 3,428,808        | 5,328,808       | 1,171,811       |
|              | 20,193,440   | 15,383,162       | 26,062,759      | 5,869,319       |
|              | 88,246,331   | 80,734,720       | 97,314,317      | 9,067,986       |
|              | (12,251,722) | (8,469,993)      | (25,049,590)    | 12,797,868      |
|              | -            | -                | -               | -               |
|              | -            | -                | -               | -               |
|              | 46,189       | 7,000            | 7,000           | 39,189          |
|              | 4,048,000    | -                | -               | 4,048,000       |
|              | 4,094,189    | 7,000            | 7,000           | 4,087,189       |
|              | (8,157,533)  | \$ (8,462,993)   | \$ (25,042,590) | \$ 16,885,057   |
|              | 33,105,703   |                  |                 |                 |
| \$           | 24,948,170   |                  |                 |                 |

**Muscatine Community School District**

**Required Supplementary Information**

**Schedule of the District's Proportionate Share of the Net Pension Liability**

**Iowa Public Employees' Retirement System**

**Last Ten Fiscal Years**

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|                                                                                                    | 2025*         | 2024*         | 2023*         | 2022*         |
|----------------------------------------------------------------------------------------------------|---------------|---------------|---------------|---------------|
| District's proportion of the net pension liability                                                 | 0.403671%     | 0.415473%     | 0.430784%     | -0.176831%    |
| District's proportionate share of the net pension liability                                        | \$ 14,699,678 | \$ 18,753,046 | \$ 16,275,655 | \$ 610,468    |
| District's covered payroll                                                                         | \$ 37,246,451 | \$ 36,486,529 | \$ 34,691,146 | \$ 35,324,557 |
| District's proportionate share of the net pension liability as a percentage of its covered payroll | 39.47%        | 54.38%        | 46.92%        | 1.73%         |
| Plan fiduciary net pension as a percentage of the total pension liability                          | 92.30%        | 90.13%        | 91.40%        | 100.81%       |

\*The amounts presented for each fiscal year were determined as of the prior fiscal-year end.

See Notes to Required Supplementary Information.

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| 2021*         | 2020*         | 2019*         | 2018*         | 2017*         | 2016*         |
|---------------|---------------|---------------|---------------|---------------|---------------|
| 0.443829%     | 0.461709%     | 0.467878%     | 0.473695%     | 0.481257%     | 0.494997%     |
| \$ 31,177,801 | \$ 26,735,971 | \$ 29,608,449 | \$ 31,544,108 | \$ 30,287,033 | \$ 24,455,266 |
| \$ 35,225,232 | \$ 35,137,791 | \$ 35,169,191 | \$ 35,364,277 | \$ 34,536,797 | \$ 33,911,814 |
| 88.51%        | 76.09%        | 84.19%        | 89.20%        | 87.69%        | 72.11%        |
| 82.90%        | 85.45%        | 83.62%        | 82.21%        | 81.82%        | 85.19%        |

**Muscatine Community School District**

**Required Supplementary Information**

**Schedule of District Contributions (in Thousands)**

**Iowa Public Employees' Retirement System**

**Last Ten Fiscal Years**

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|                                                                       | 2025       | 2024       | 2023       | 2022       |
|-----------------------------------------------------------------------|------------|------------|------------|------------|
| Statutorily required contribution                                     | \$ 3,600   | \$ 3,516   | \$ 3,444   | \$ 3,275   |
| Contributions in relation to the<br>statutorily required contribution | \$ (3,600) | \$ (3,516) | \$ (3,444) | \$ (3,275) |
| Contribution deficiency (excess)                                      | \$ -       | \$ -       | \$ -       | \$ -       |
| District's covered payroll                                            | \$ 38,134  | \$ 37,246  | \$ 36,487  | \$ 34,691  |
| Contributions as a percentage of<br>covered payroll                   | 9.44%      | 9.44%      | 9.44%      | 9.44%      |

See Notes to Required Supplementary Information.

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| 2021       | 2020       | 2019       | 2018       | 2017       | 2016       |
|------------|------------|------------|------------|------------|------------|
| \$ 3,336   | \$ 3,325   | \$ 3,317   | \$ 3,141   | \$ 3,158   | \$ 3,084   |
| \$ (3,336) | \$ (3,325) | \$ (3,317) | \$ (3,141) | \$ (3,158) | \$ (3,084) |
| \$ -       | \$ -       | \$ -       | \$ -       | \$ -       | \$ -       |
| \$ 35,235  | \$ 35,225  | \$ 35,138  | \$ 35,169  | \$ 35,364  | \$ 34,537  |
| 9.47%      | 9.44%      | 9.44%      | 8.93%      | 8.93%      | 8.93%      |

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## **Muscatine Community School District**

### **Notes to Required Supplementary Information**

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#### **Note 1. Budgets and Budgetary Accounting**

This budgetary comparison is presented as required supplementary information in accordance with Government Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except private-purpose trust, internal service and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with generally accepted accounting principles.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functional areas, not by fund or fund type. These four functional areas are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The Code of Iowa also provides the District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. There was one amendment to the original budget during the year to increase expenditures \$16,579,597.

#### **Note 2. Iowa Public Employees' Retirement System Pension Liability**

There are no significant changes in benefit terms.

##### Changes of assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017
- Adjusted retirement rates
- Lowered disability rates
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

**Muscatine Community School District**

**Combining Balance Sheet  
Nonmajor Governmental Funds  
June 30, 2025**

|                                                                                       | Special Revenue     |                   |                   |                     |
|---------------------------------------------------------------------------------------|---------------------|-------------------|-------------------|---------------------|
|                                                                                       | Management          | Student           | Debt              |                     |
|                                                                                       | Levy                | Activity          | Service           | Total               |
| <b>Assets</b>                                                                         |                     |                   |                   |                     |
| Cash and pooled investments                                                           | \$ 1,056,731        | \$ 316,481        | \$ 372,217        | \$ 1,745,429        |
| Receivables:                                                                          |                     |                   |                   |                     |
| Property tax:                                                                         |                     |                   |                   |                     |
| Current year                                                                          | 12,326              | -                 | -                 | 12,326              |
| Succeeding year                                                                       | 2,500,000           | -                 | -                 | 2,500,000           |
| Accounts                                                                              | 5,625               | -                 | -                 | 5,625               |
| Prepaid expenses                                                                      | 118,555             | -                 | -                 | 118,555             |
| <b>Total assets</b>                                                                   | <b>\$ 3,693,237</b> | <b>\$ 316,481</b> | <b>\$ 372,217</b> | <b>\$ 4,381,935</b> |
| <b>Liabilities, Deferred Inflows<br/>of Resources, and<br/>Fund Balances</b>          |                     |                   |                   |                     |
| Liabilities:                                                                          |                     |                   |                   |                     |
| Accounts payable                                                                      | \$ 5,625            | \$ 12,227         | \$ -              | \$ 17,852           |
| <b>Total liabilities</b>                                                              | <b>5,625</b>        | <b>12,227</b>     | <b>-</b>          | <b>17,852</b>       |
| Deferred inflows of resources,<br>Unavailable revenue-succeeding<br>year property tax | 2,500,000           | -                 | -                 | 2,500,000           |
| Fund balance:                                                                         |                     |                   |                   |                     |
| Nonspendable                                                                          | 118,555             | -                 | -                 | 118,555             |
| Restricted                                                                            | 1,069,057           | 304,254           | 372,217           | 1,745,528           |
| <b>Total fund balances</b>                                                            | <b>1,187,612</b>    | <b>304,254</b>    | <b>372,217</b>    | <b>1,864,083</b>    |
| <b>Total liabilities, deferred<br/>inflows of resources and<br/>fund balances</b>     | <b>\$ 3,693,237</b> | <b>\$ 316,481</b> | <b>\$ 372,217</b> | <b>\$ 4,381,935</b> |

**Muscatine Community School District**

**Combining Statement of Revenues, Expenditures and Changes in Fund Balances**

**Nonmajor Governmental Funds**

**Year Ended June 30, 2025**

|                                                                  | Special Revenue  |                |                    |                    |
|------------------------------------------------------------------|------------------|----------------|--------------------|--------------------|
|                                                                  | Management       | Student        | Debt               |                    |
|                                                                  | Levy             | Activity       | Service            | Total              |
| Revenues:                                                        |                  |                |                    |                    |
| Local sources:                                                   |                  |                |                    |                    |
| Property tax                                                     | \$ 1,493,707     | \$ -           | \$ -               | \$ 1,493,707       |
| Utility excise tax                                               | 18,876           | -              | -                  | 18,876             |
| Other tax                                                        | 3,286            | -              | -                  | 3,286              |
| Investment earnings                                              | 35,111           | 19,625         | -                  | 54,736             |
| Other                                                            | 2,847            | 565,269        | -                  | 568,116            |
| State sources                                                    | 29,793           | -              | -                  | 29,793             |
| <b>Total revenues</b>                                            | <b>1,583,620</b> | <b>584,894</b> | <b>-</b>           | <b>2,168,514</b>   |
| Expenditures:                                                    |                  |                |                    |                    |
| Current:                                                         |                  |                |                    |                    |
| Instruction                                                      | 427,179          | 517,185        | -                  | 944,364            |
| Support services:                                                |                  |                |                    |                    |
| Student services                                                 | 34,570           | -              | -                  | 34,570             |
| Instructional services                                           | 8,445            | -              | -                  | 8,445              |
| Administration services                                          | 107,912          | -              | -                  | 107,912            |
| Operation and maintenance of plant services                      | 1,193,842        | 13,318         | -                  | 1,207,160          |
| Transportation services                                          | 146,829          | 3,127          | -                  | 149,956            |
| Noninstructional programs                                        | 60,834           | -              | -                  | 60,834             |
| Debt service:                                                    |                  |                |                    |                    |
| Principal                                                        | -                | -              | 3,470,734          | 3,470,734          |
| Interest                                                         | -                | -              | 923,490            | 923,490            |
| <b>Total expenditures</b>                                        | <b>1,979,611</b> | <b>533,630</b> | <b>4,394,224</b>   | <b>6,907,465</b>   |
| <b>Excess (deficiency) of revenues over (under) expenditures</b> | <b>(395,991)</b> | <b>51,264</b>  | <b>(4,394,224)</b> | <b>(4,738,951)</b> |
| Other financing sources, transfer in                             | -                | 350            | 4,423,036          | 4,423,386          |
| <b>Net change in fund balances</b>                               | <b>(395,991)</b> | <b>51,614</b>  | <b>28,812</b>      | <b>(315,565)</b>   |
| Fund balances, beginning of year                                 | 1,583,603        | 252,640        | 343,405            | 2,179,648          |
| Fund balances, end of year                                       | \$ 1,187,612     | \$ 304,254     | \$ 372,217         | \$ 1,864,083       |

**Muscatine Community School District**

**Schedule of Combining Balance Sheet  
Capital Project Fund - By Account  
June 30, 2025**

|                                                                          | Capital Projects Accounts                   |                                            |                              |                      |
|--------------------------------------------------------------------------|---------------------------------------------|--------------------------------------------|------------------------------|----------------------|
|                                                                          | Statewide<br>Sales, Services<br>and Use Tax | Physical<br>Plant and<br>Equipment<br>Levy | Other<br>Capital<br>Projects | Total                |
| <b>Assets</b>                                                            |                                             |                                            |                              |                      |
| Cash and pooled investments                                              | \$ 9,462,758                                | \$ 1,263,804                               | \$ -                         | \$ 10,726,562        |
| Receivables:                                                             |                                             |                                            |                              |                      |
| Property tax:                                                            |                                             |                                            |                              |                      |
| Current year                                                             | -                                           | 23,409                                     | -                            | 23,409               |
| Succeeding year                                                          | -                                           | 2,754,889                                  | -                            | 2,754,889            |
| Due from other governments                                               | 613,473                                     | 15,000                                     | -                            | 628,473              |
| Prepaid items                                                            | -                                           | 2,000                                      | -                            | 2,000                |
| <b>Total assets</b>                                                      | <b>\$ 10,076,231</b>                        | <b>\$ 4,059,102</b>                        | <b>\$ -</b>                  | <b>\$ 14,135,333</b> |
| <b>Liabilities, Deferred Inflows of Resources,<br/>and Fund Balances</b> |                                             |                                            |                              |                      |
| Liabilities:                                                             |                                             |                                            |                              |                      |
| Accounts payable                                                         | \$ 848,955                                  | \$ 47,810                                  | \$ -                         | \$ 896,765           |
| <b>Total liabilities</b>                                                 | <b>848,955</b>                              | <b>47,810</b>                              | <b>-</b>                     | <b>896,765</b>       |
| Deferred Inflows of Resources:                                           |                                             |                                            |                              |                      |
| Unavailable revenue:                                                     |                                             |                                            |                              |                      |
| Succeeding year property tax                                             | -                                           | 2,754,889                                  | -                            | 2,754,889            |
| <b>Total deferred inflows of resources</b>                               | <b>-</b>                                    | <b>2,754,889</b>                           | <b>-</b>                     | <b>2,754,889</b>     |
| Fund Balances:                                                           |                                             |                                            |                              |                      |
| Nonspendable                                                             | -                                           | 2,000                                      | -                            | 2,000                |
| Restricted for:                                                          |                                             |                                            |                              |                      |
| Physical plant and equipment                                             | -                                           | 1,254,403                                  | -                            | 1,254,403            |
| School infrastructure                                                    | 9,227,276                                   | -                                          | -                            | 9,227,276            |
| <b>Total fund balances</b>                                               | <b>9,227,276</b>                            | <b>1,256,403</b>                           | <b>-</b>                     | <b>10,483,679</b>    |
| <b>Total liabilities and fund balances</b>                               | <b>\$ 10,076,231</b>                        | <b>\$ 4,059,102</b>                        | <b>\$ -</b>                  | <b>\$ 14,135,333</b> |

**Muscatine Community School District**

**Combining Schedule of Revenues, Expenditures and Changes in Fund Balances  
Capital Project Fund - By Account  
Year Ended June 30, 2025**

|                                                              | Capital Projects Accounts                   |                                            |                              | Total              |
|--------------------------------------------------------------|---------------------------------------------|--------------------------------------------|------------------------------|--------------------|
|                                                              | Statewide<br>Sales, Services<br>and Use Tax | Physical<br>Plant and<br>Equipment<br>Levy | Other<br>Capital<br>Projects |                    |
| Revenues:                                                    |                                             |                                            |                              |                    |
| Local sources:                                               |                                             |                                            |                              |                    |
| Property tax                                                 | \$ -                                        | \$ 2,658,942                               | \$ -                         | \$ 2,658,942       |
| Utility excise tax                                           | -                                           | 31,941                                     | -                            | 31,941             |
| Other tax                                                    | -                                           | 5,560                                      | -                            | 5,560              |
| Investment earnings                                          | 412,769                                     | 139,586                                    | 184,072                      | 736,427            |
| Other                                                        | -                                           | 33,000                                     | -                            | 33,000             |
| State sources                                                | 5,850,001                                   | 65,416                                     | -                            | 5,915,417          |
| Federal sources                                              | -                                           | 383,675                                    | -                            | 383,675            |
| <b>Total revenues</b>                                        | <b>6,262,770</b>                            | <b>3,318,120</b>                           | <b>184,072</b>               | <b>9,764,962</b>   |
| Expenditures:                                                |                                             |                                            |                              |                    |
| Current:                                                     |                                             |                                            |                              |                    |
| Instruction                                                  | -                                           | 682,337                                    | -                            | 682,337            |
| Support services:                                            |                                             |                                            |                              |                    |
| Instructional staff services                                 | -                                           | 28,468                                     | -                            | 28,468             |
| Administration services                                      | -                                           | 373,245                                    | -                            | 373,245            |
| Operation and maintenance of<br>plant services               | -                                           | 221,717                                    | -                            | 221,717            |
| Transportation services                                      | -                                           | 587,624                                    | -                            | 587,624            |
| Capital outlay, facilities acquisition                       | 1,860,130                                   | 1,614,550                                  | 10,246,041                   | 13,720,721         |
| Debt service, interest and fiscal charges                    | -                                           | -                                          | 206,938                      | 206,938            |
| <b>Total expenditures</b>                                    | <b>1,860,130</b>                            | <b>3,507,941</b>                           | <b>10,452,979</b>            | <b>15,821,050</b>  |
| <b>Excess (deficiency) of revenues<br/>over expenditures</b> | <b>4,402,640</b>                            | <b>(189,821)</b>                           | <b>(10,268,907)</b>          | <b>(6,056,088)</b> |
| Other financing sources (uses):                              |                                             |                                            |                              |                    |
| Issuance of long term debt                                   | -                                           | -                                          | 4,048,000                    | 4,048,000          |
| Proceeds form sale of capital asset                          | -                                           | 44,000                                     | -                            | 44,000             |
| Transfer (out)                                               | (4,253,224)                                 | (169,812)                                  | -                            | (4,423,036)        |
| <b>Total other financing sources (uses)</b>                  | <b>(4,253,224)</b>                          | <b>(125,812)</b>                           | <b>4,048,000</b>             | <b>(331,036)</b>   |
| <b>Net change in fund balance</b>                            | <b>149,416</b>                              | <b>(315,633)</b>                           | <b>(6,220,907)</b>           | <b>(6,387,124)</b> |
| Fund balance, beginning of year                              | 9,077,860                                   | 1,572,036                                  | 6,220,907                    | 16,870,803         |
| Fund balance, end of year                                    | \$ 9,227,276                                | \$ 1,256,403                               | \$ -                         | \$ 10,483,679      |

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## **Statistical Section**

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## Muscatine Community School District

### Statistical Section Contents

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The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

| Contents                                                                                                                                                                                                                                                                              | Page   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| <b>Financial Trends</b><br>These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time.                                                                                                    | 70-84  |
| <b>Revenue Capacity</b><br>These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.                                                                                                           | 85-89  |
| <b>Debt Capacity</b><br>These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.                                                 | 91-96  |
| <b>Demographic and Economic Information</b><br>These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments. | 97-98  |
| <b>Operating Information</b><br>These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.                | 99-104 |

**Schedule 1**  
**Muscatine Community School District**

**Net Position by Component**

**Last Ten Fiscal Years**

*(accrual basis of accounting)*

**(Unaudited)**

|                                              | 2016                 | 2017                 | 2018                 | 2019                 |
|----------------------------------------------|----------------------|----------------------|----------------------|----------------------|
| Governmental activities:                     |                      |                      |                      |                      |
| Net investment in capital assets             | \$ 45,702,866        | \$ 44,299,135        | \$ 44,706,963        | \$ 45,857,273        |
| Restricted                                   | 8,549,840            | 10,634,314           | 12,817,306           | 13,744,874           |
| Unrestricted                                 | (14,563,450)         | (21,033,968)         | (21,869,993)         | (23,916,653)         |
| <b>Total governmental activities</b>         | <b>39,689,256</b>    | <b>33,899,481</b>    | <b>35,654,276</b>    | <b>35,685,494</b>    |
| Business-type activities:                    |                      |                      |                      |                      |
| Net investment in capital assets             | 178,122              | 159,578              | 293,367              | 237,703              |
| Restricted                                   | -                    | -                    | -                    | -                    |
| Unrestricted                                 | (253,978)            | (290,166)            | (308,552)            | (307,079)            |
| <b>Total business-type activities</b>        | <b>(75,856)</b>      | <b>(130,588)</b>     | <b>(15,185)</b>      | <b>(69,376)</b>      |
| <b>Total primary government net position</b> | <b>\$ 39,613,400</b> | <b>\$ 33,768,893</b> | <b>\$ 35,639,091</b> | <b>\$ 35,616,118</b> |

Source: District financial records

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| Fiscal Year   |               |               |               |               |               |
|---------------|---------------|---------------|---------------|---------------|---------------|
| 2020          | 2021          | 2022          | 2023          | 2024          | 2025          |
| \$ 56,499,125 | \$ 54,644,500 | \$ 54,622,845 | \$ 59,954,963 | \$ 62,992,542 | \$ 64,082,908 |
| 6,271,838     | 11,260,430    | 15,606,772    | 15,349,209    | 14,560,581    | 14,322,079    |
| (28,250,419)  | (29,435,352)  | (23,436,284)  | (20,100,578)  | (17,300,771)  | (22,689,350)  |
| 34,520,544    | 36,469,578    | 46,793,333    | 55,203,594    | 60,252,352    | 55,715,637    |
| 430,951       | 396,906       | 343,995       | 444,128       | 2,128,588     | 1,952,524     |
| -             | -             | -             | -             | -             | -             |
| (940,477)     | (504,321)     | 498,601       | 860,802       | 898,296       | 565,376       |
| (509,526)     | (107,415)     | 842,596       | 1,304,930     | 3,026,884     | 2,517,900     |
| \$ 34,011,018 | \$ 36,362,163 | \$ 47,635,929 | \$ 56,508,524 | \$ 63,279,236 | \$ 58,233,537 |

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**Schedule 2**  
**Muscatine Community School District**

**Expenses, Program Revenues and Net (Expense) Revenue**  
**Last Ten Fiscal Years**  
*(accrual basis of accounting)*  
**(Unaudited)**

|                                             | 2016                   | 2017                   | 2018                   | 2019                   |
|---------------------------------------------|------------------------|------------------------|------------------------|------------------------|
| Expenses:                                   |                        |                        |                        |                        |
| Governmental activities:                    |                        |                        |                        |                        |
| Instruction                                 | \$ 41,338,720          | \$ 43,347,977          | \$ 41,772,323          | \$ 43,314,984          |
| Student services                            | 1,569,091              | 1,633,616              | 2,266,884              | 2,417,633              |
| Instructional staff services                | 1,100,125              | 1,095,563              | 3,035,618              | 2,537,509              |
| Administration services                     | 6,384,601              | 7,388,213              | 6,702,042              | 6,768,712              |
| Operation and maintenance of plant services | 5,113,600              | 6,741,682              | 5,597,853              | 5,496,058              |
| Transportation services                     | 2,016,404              | 2,130,793              | 1,711,612              | 2,864,267              |
| Noninstructional                            | 39,303                 | 71,289                 | 56,864                 | 53,384                 |
| Interest on long-term debt                  | -                      | -                      | -                      | -                      |
| AEA flowthrough                             | 2,227,592              | 2,188,667              | 2,232,030              | 2,223,267              |
| Depreciation (unallocated)                  | -                      | -                      | -                      | -                      |
| <b>Total governmental activities</b>        | <b>59,789,436</b>      | <b>64,597,800</b>      | <b>63,375,226</b>      | <b>65,675,814</b>      |
| Business-type activities:                   |                        |                        |                        |                        |
| Food service operations                     | 2,471,149              | 2,520,856              | 2,592,265              | 2,731,280              |
| <b>Total business-type activities</b>       | <b>2,471,149</b>       | <b>2,520,856</b>       | <b>2,592,265</b>       | <b>2,731,280</b>       |
| <b>Total primary government expenses</b>    | <b>62,260,585</b>      | <b>67,118,656</b>      | <b>65,967,491</b>      | <b>68,407,094</b>      |
| Program revenues:                           |                        |                        |                        |                        |
| Governmental activities:                    |                        |                        |                        |                        |
| Charges for services                        | 1,700,056              | 1,819,678              | 1,977,538              | 1,926,772              |
| Operating grants and contributions          | 11,732,304             | 11,333,959             | 11,073,851             | 11,278,903             |
| Capital grants and contributions            | -                      | -                      | -                      | -                      |
| <b>Total governmental activities</b>        | <b>13,432,360</b>      | <b>13,153,637</b>      | <b>13,051,389</b>      | <b>13,205,675</b>      |
| Business-type activities:                   |                        |                        |                        |                        |
| Charges for services                        | 940,384                | 1,010,732              | 932,166                | 714,572                |
| Operating grants and contributions          | 1,816,930              | 1,856,198              | 1,696,149              | 1,966,766              |
| Capital grants and contributions            | -                      | -                      | 87,159                 | -                      |
| <b>Total business-type activities</b>       | <b>2,757,314</b>       | <b>2,866,930</b>       | <b>2,715,474</b>       | <b>2,681,338</b>       |
| <b>Total primary government revenues</b>    | <b>16,189,674</b>      | <b>16,020,567</b>      | <b>15,766,863</b>      | <b>15,887,013</b>      |
| Net (expense) revenues:                     |                        |                        |                        |                        |
| Total governmental activities               | (46,357,076)           | (51,444,163)           | (50,323,837)           | (52,470,139)           |
| Total business-type activities              | 286,165                | 346,074                | 123,209                | (49,942)               |
| <b>Total primary government</b>             | <b>\$ (46,070,911)</b> | <b>\$ (51,098,089)</b> | <b>\$ (50,200,628)</b> | <b>\$ (52,520,081)</b> |

Source: District financial records

| Fiscal Year     |                 |                 |                 |                 |                 |
|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
| 2020            | 2021            | 2022            | 2023            | 2024            | 2025            |
| \$ 44,170,510   | \$ 41,812,013   | \$ 36,699,594   | \$ 40,399,163   | \$ 40,258,735   | \$ 42,617,758   |
| 2,352,438       | 2,381,632       | 2,811,996       | 3,049,134       | 3,324,854       | 3,231,710       |
| 2,567,827       | 2,858,838       | 2,322,656       | 2,491,710       | 2,888,478       | 2,865,433       |
| 6,907,640       | 6,419,036       | 5,606,906       | 6,107,029       | 6,342,253       | 6,554,192       |
| 6,528,785       | 6,893,340       | 6,370,244       | 7,803,613       | 10,496,661      | 8,768,954       |
| 2,447,356       | 2,471,995       | 2,636,471       | 2,462,231       | 3,386,384       | 3,431,370       |
| 34,468          | 63,626          | 39,581          | 36,674          | 55,105          | 69,509          |
| 23,802          | 14,232          | 7,523           | 777,059         | 934,422         | 1,132,656       |
| 2,234,604       | 2,245,266       | 2,247,029       | 2,234,639       | 2,225,191       | 1,871,557       |
| -               | -               | -               | -               | -               | -               |
| 67,267,430      | 65,159,978      | 58,742,000      | 65,361,252      | 69,912,083      | 70,543,139      |
| 2,758,212       | 3,043,110       | 3,133,822       | 3,445,467       | 3,830,872       | 4,096,163       |
| 2,758,212       | 3,043,110       | 3,133,822       | 3,445,467       | 3,830,872       | 4,096,163       |
| 70,025,642      | 68,203,088      | 61,875,822      | 68,806,719      | 73,742,955      | 74,639,302      |
| 2,469,963       | 1,035,923       | 1,326,420       | 1,803,974       | 1,719,735       | 1,707,654       |
| 10,888,353      | 12,701,568      | 14,299,397      | 14,454,878      | 15,153,259      | 12,595,793      |
| -               | 1,000,000       | 516,614         | 2,857,912       | -               | -               |
| 13,358,316      | 14,737,491      | 16,142,431      | 19,116,764      | 16,872,994      | 14,303,447      |
| 479,666         | 96,197          | 132,787         | 623,227         | 600,961         | 574,086         |
| 1,842,749       | 3,344,758       | 3,927,797       | 3,301,443       | 3,204,522       | 3,297,412       |
| -               | -               | -               | -               | 1,719,217       | -               |
| 2,322,415       | 3,440,955       | 4,060,584       | 3,924,670       | 5,524,700       | 3,871,498       |
| 15,680,731      | 18,178,446      | 20,203,015      | 23,041,434      | 22,397,694      | 18,174,945      |
| (53,909,114)    | (50,422,487)    | (42,599,569)    | (46,244,488)    | (53,039,089)    | (56,239,692)    |
| (435,797)       | 397,845         | 926,762         | 479,203         | 1,693,828       | (224,665)       |
| \$ (54,344,911) | \$ (50,024,642) | \$ (41,672,807) | \$ (45,765,285) | \$ (51,345,261) | \$ (56,464,357) |

**Schedule 3**  
**Muscatine Community School District**

**General Revenues and Total Change in Net Position**  
**Last Ten Fiscal Years**  
*(accrual basis of accounting)*  
**(Unaudited)**

|                                                     | 2016                | 2017                | 2018                | 2019                  |
|-----------------------------------------------------|---------------------|---------------------|---------------------|-----------------------|
| General revenues and other changes in net position: |                     |                     |                     |                       |
| Governmental activities:                            |                     |                     |                     |                       |
| Taxes:                                              |                     |                     |                     |                       |
| Property taxes levied for:                          |                     |                     |                     |                       |
| General purposes                                    | \$ 16,030,349       | \$ 16,382,742       | \$ 15,438,227       | \$ 15,428,323         |
| Capital outlay                                      | 1,801,520           | 1,859,649           | 2,225,492           | 2,279,803             |
| Other specific purposes                             | 1,313,487           | 1,257,231           | 1,314,313           | 1,536,586             |
| Income surtax                                       | 288,944             | 320,449             | 290,503             | 308,137               |
| Statewide sales and services tax                    | 5,021,639           | 5,005,378           | 4,730,465           | 5,077,534             |
| Revenue in lieu of tax                              | -                   | 741,288             | 723,801             | 687,877               |
| Unrestricted state grants                           | 28,014,759          | 27,659,942          | 27,140,362          | 26,768,156            |
| Unrestricted Investment earnings                    | 37,564              | 55,307              | 206,705             | 402,920               |
| Other                                               | -                   | -                   | -                   | 5,404                 |
| Transfers                                           | -                   | -                   | 8,764               | 6,617                 |
| <b>Total governmental activities</b>                | <b>52,508,262</b>   | <b>53,281,986</b>   | <b>52,078,632</b>   | <b>52,501,357</b>     |
| Business-type activities:                           |                     |                     |                     |                       |
| Unrestricted Investment earnings                    | 143                 | 784                 | 958                 | 2,368                 |
| Transfers                                           | -                   | -                   | (8,764)             | (6,617)               |
| <b>Total business-type activities</b>               | <b>143</b>          | <b>784</b>          | <b>(7,806)</b>      | <b>(4,249)</b>        |
| <b>Total primary government</b>                     | <b>52,508,405</b>   | <b>53,282,770</b>   | <b>52,070,826</b>   | <b>52,497,108</b>     |
| Change in net position:                             |                     |                     |                     |                       |
| Total governmental activities                       | 1,064,099           | 2,958,149           | (391,507)           | (1,407,757)           |
| Total business-type activities                      | 346,217             | 123,993             | (57,748)            | (440,046)             |
| <b>Total primary government</b>                     | <b>\$ 1,410,316</b> | <b>\$ 3,082,142</b> | <b>\$ (449,255)</b> | <b>\$ (1,847,803)</b> |

Source: District financial records

| Fiscal Year   |               |               |               |               |               |
|---------------|---------------|---------------|---------------|---------------|---------------|
| 2020          | 2021          | 2022          | 2023          | 2024          | 2025          |
| \$ 14,729,130 | \$ 14,742,785 | \$ 15,756,998 | \$ 15,433,714 | \$ 15,981,692 | \$ 16,544,721 |
| 2,346,486     | 2,400,787     | 2,469,024     | 2,441,296     | 2,668,457     | 2,658,942     |
| 1,528,111     | 1,519,518     | 1,005,403     | 991,982       | 1,685,258     | 1,493,707     |
| 332,891       | 308,888       | 290,413       | 366,592       | 393,965       | 295,540       |
| 5,081,114     | 5,238,521     | 5,762,198     | 5,529,515     | 6,026,666     | 5,850,001     |
| 637,213       | 632,233       | 608,190       | 4,854         | 398,373       | 408,194       |
| 27,313,595    | 27,480,212    | 27,008,170    | 28,196,973    | 28,170,803    | 28,639,148    |
| 328,124       | 49,291        | 34,186        | 1,347,009     | 2,453,229     | 1,428,898     |
| 441,898       | 3,029         | -             | 232,583       | 244,320       | 303,631       |
| 5,602         | (3,743)       | (21,833)      | 60,000        | 65,084        | 229,596       |
| 52,744,164    | 52,371,521    | 52,912,749    | 54,604,518    | 58,087,847    | 57,852,378    |
| 1,249         | 523           | 1,416         | 43,131        | 93,210        | 106,432       |
| (5,602)       | 3,743         | 21,833        | (60,000)      | (65,084)      | (229,596)     |
| (4,353)       | 4,266         | 23,249        | (16,869)      | 28,126        | (123,164)     |
| 52,739,811    | 52,375,787    | 52,935,998    | 54,587,649    | 58,115,973    | 57,729,214    |
| 2,321,677     | 9,771,952     | 52,912,749    | 54,604,518    | 5,048,758     | 1,612,686     |
| 393,492       | 931,028       | 23,249        | (16,869)      | 1,721,954     | (347,829)     |
| \$ 2,715,169  | \$ 10,702,980 | \$ 52,935,998 | \$ 54,587,649 | \$ 6,770,712  | \$ 1,264,857  |

**Schedule 4**  
**Muscatine Community School District**

**Fund Balances, Governmental Funds**  
**Last Ten Fiscal Years**  
*(modified accrual basis of accounting)*  
**(Unaudited)**

|                                           | 2016                 | 2017                 | 2018                 | 2019                 |
|-------------------------------------------|----------------------|----------------------|----------------------|----------------------|
| General Fund:                             |                      |                      |                      |                      |
| Nonspendable                              | \$ 66,360            | \$ -                 | \$ 15,557            | \$ 2,500             |
| Restricted                                | 1,327,564            | 1,156,085            | 685,896              | 705,960              |
| Assigned                                  |                      | -                    | 36,752               | 36,301               |
| Unassigned                                | 10,452,234           | 12,466,016           | 12,965,694           | 12,020,555           |
| <b>Total General Fund</b>                 | <b>11,846,158</b>    | <b>13,622,101</b>    | <b>13,703,899</b>    | <b>12,765,316</b>    |
| All other governmental funds:             |                      |                      |                      |                      |
| Nonspendable                              | -                    | -                    | -                    | -                    |
| Restricted for:                           |                      |                      |                      |                      |
| Management levy                           | 987,832              | 968,826              | 1,060,803            | 1,513,601            |
| Physical plant and equipment levy         | 1,714,864            | 1,034,046            | 1,251,599            | 972,601              |
| School infrastructure                     | 3,856,878            | 6,761,917            | 9,198,953            | 10,041,605           |
| Debt service                              | -                    | -                    | -                    | -                    |
| Student activity purposes                 | 408,570              | 409,639              | 322,837              | 228,747              |
| Instructional programs                    | 53,495               | 53,518               | 53,333               | 31,588               |
| <b>Total all other governmental funds</b> | <b>7,021,639</b>     | <b>9,227,946</b>     | <b>11,887,525</b>    | <b>12,788,142</b>    |
| <b>Total governmental funds</b>           | <b>\$ 18,867,797</b> | <b>\$ 22,850,047</b> | <b>\$ 25,591,424</b> | <b>\$ 25,553,458</b> |

Source: District financial records



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| Fiscal Year   |               |               |               |               |               |
|---------------|---------------|---------------|---------------|---------------|---------------|
| 2020          | 2021          | 2022          | 2023          | 2024          | 2025          |
| \$ -          | \$ 1,606      | \$ -          | \$ -          | \$ -          | \$ 25,811     |
| 431,302       | 520,584       | 1,022,096     | 1,033,931     | 1,055,609     | 1,196,107     |
| 60,534        | 76,093        | 143,324       | 159,311       | 159,443       | 145,363       |
| 10,644,009    | 10,294,149    | 10,773,667    | 10,212,841    | 9,974,471     | 8,715,227     |
| 11,135,845    | 10,892,432    | 11,939,087    | 11,406,083    | 11,189,523    | 10,082,508    |
| -             | 694,723       | -             | -             | 1,000         | 120,555       |
| 1,939,713     | 1,624,403     | 1,932,710     | 1,509,700     | 1,583,603     | 1,069,057     |
| 1,513,947     | 2,698,575     | 1,286,287     | 1,758,727     | 1,571,036     | 1,254,403     |
| 1,818,964     | 5,414,312     | 10,251,170    | 34,665,756    | 15,298,767    | 9,227,276     |
| -             | -             | -             | 343,458       | 343,405       | 372,217       |
| 277,377       | 311,375       | 326,158       | 284,876       | 252,640       | 304,254       |
| 31,318        | -             | -             | -             | -             | -             |
| 5,581,319     | 10,743,388    | 13,796,325    | 38,562,517    | 19,050,451    | 12,347,762    |
| \$ 16,717,164 | \$ 21,635,820 | \$ 25,735,412 | \$ 49,968,600 | \$ 30,239,974 | \$ 22,430,270 |

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**Schedule 5**  
**Muscatine Community School District**

**Governmental Funds Revenues**  
**Last Ten Fiscal Years**  
*(modified accrual basis of accounting)*  
**(Unaudited)**

|                                       | 2016                 | 2017                 | 2018                 | 2019                 |
|---------------------------------------|----------------------|----------------------|----------------------|----------------------|
| Local sources:                        |                      |                      |                      |                      |
| Local tax                             | \$ 19,494,605        | \$ 19,791,734        | \$ 19,478,972        | \$ 19,843,188        |
| Tuition                               | 453,670              | 632,257              | 533,893              | 503,304              |
| Other revenues                        | 1,237,625            | 1,242,727            | 1,394,914            | 1,529,784            |
| <b>Total local sources</b>            | <b>21,185,900</b>    | <b>21,666,718</b>    | <b>21,407,779</b>    | <b>21,876,276</b>    |
| State sources:                        |                      |                      |                      |                      |
| Statewide sales, services and use tax | 5,005,378            | 4,730,465            | 5,077,534            | 5,070,647            |
| State foundation aid and state grants | \$ 37,788,815        | \$ 37,698,636        | \$ 36,498,300        | \$ 36,409,590        |
| <b>Total state sources</b>            | <b>42,794,193</b>    | <b>42,429,101</b>    | <b>41,575,834</b>    | <b>41,480,237</b>    |
| Federal sources, federal grants       | 2,040,564            | 2,261,820            | 2,151,907            | 2,325,347            |
| <b>Total revenues</b>                 | <b>\$ 66,020,657</b> | <b>\$ 66,357,639</b> | <b>\$ 65,135,520</b> | <b>\$ 65,681,860</b> |

Source: District financial records

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| Fiscal Year   |               |               |               |               |               |
|---------------|---------------|---------------|---------------|---------------|---------------|
| 2020          | 2021          | 2022          | 2023          | 2024          | 2025          |
| \$ 18,924,223 | \$ 18,959,719 | \$ 19,547,749 | \$ 19,438,625 | \$ 20,951,569 | \$ 21,296,754 |
| 622,077       | 562,040       | 640,251       | 808,606       | 753,122       | 672,345       |
| 2,176,011     | 1,643,106     | 1,078,897     | 2,306,495     | 3,328,211     | 2,379,106     |
| 21,722,311    | 21,164,865    | 21,266,897    | 22,553,726    | 25,032,902    | 24,348,205    |
| 5,072,669     | 4,806,557     | 5,665,028     | 6,317,866     | 6,026,666     | 5,850,001     |
| 36,952,814    | 37,392,218    | 36,731,914    | 37,354,199    | 37,843,445    | 38,524,728    |
| 42,025,483    | 42,198,775    | 42,396,942    | 43,672,065    | 43,870,111    | 44,374,729    |
| 1,886,347     | 3,301,861     | 5,340,726     | 8,160,418     | 5,703,652     | 3,293,745     |
| \$ 65,634,141 | \$ 66,665,501 | \$ 69,004,565 | \$ 74,386,209 | \$ 74,606,665 | \$ 72,016,679 |

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**Schedule 6**  
**Muscatine Community School District**

**Governmental Funds Expenditures and Debt Service Ratio**  
**Last Ten Fiscal Years**  
*(modified accrual basis of accounting)*  
**(Unaudited)**

|                                                            | 2016                 | 2017                 | 2018                 | 2019                 |
|------------------------------------------------------------|----------------------|----------------------|----------------------|----------------------|
| Instruction                                                | \$ 39,758,470        | \$ 39,889,517        | \$ 38,155,452        | 39,501,315           |
| Student services                                           | 1,551,908            | 1,605,362            | 2,213,283            | 2,403,268            |
| Instructional staff services                               | 1,065,752            | 1,053,761            | 2,993,896            | 2,482,642            |
| Administration services                                    | 6,339,083            | 7,172,972            | 6,437,236            | 6,516,189            |
| Operation and maintenance of plant                         | 4,889,562            | 5,172,014            | 5,259,618            | 5,737,353            |
| Transportation services                                    | 1,765,709            | 1,966,010            | 1,545,824            | 2,483,398            |
| Noninstructional programs                                  | 74,045               | 80,058               | 71,401               | 60,260               |
| Capital outlay, facilities acquisition                     | 2,208,369            | 3,666,962            | 3,515,809            | 4,324,155            |
| Long term debt:                                            |                      |                      |                      |                      |
| Principal                                                  | -                    | -                    | -                    | -                    |
| Interest                                                   | -                    | -                    | -                    | -                    |
| AEA flowthrough                                            | 2,227,592            | 2,188,667            | 2,232,030            | 2,223,267            |
| <b>Total expenditures</b>                                  | <b>\$ 59,880,490</b> | <b>\$ 62,795,323</b> | <b>\$ 62,424,549</b> | <b>\$ 65,731,847</b> |
| Debt service as a percentage of<br>noncapital expenditures | 0.00%                | 0.00%                | 0.00%                | 0.00%                |

Source: District financial records

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| Fiscal Year   |               |               |               |               |               |
|---------------|---------------|---------------|---------------|---------------|---------------|
| 2020          | 2021          | 2022          | 2023          | 2024          | 2025          |
| \$ 39,639,483 | \$ 37,726,518 | \$ 37,919,349 | \$ 40,228,526 | \$ 39,140,769 | \$ 40,308,815 |
| 2,251,659     | 2,289,440     | 3,033,934     | 3,286,156     | 3,435,127     | 3,308,748     |
| 2,431,121     | 2,766,544     | 2,509,883     | 2,632,911     | 2,931,298     | 2,908,797     |
| 6,673,957     | 6,174,406     | 6,327,461     | 6,486,586     | 6,690,269     | 6,793,910     |
| 5,569,627     | 6,042,770     | 6,099,963     | 6,715,290     | 7,814,182     | 7,719,700     |
| 1,933,584     | 1,946,085     | 2,266,944     | 2,080,094     | 2,910,795     | 2,855,924     |
| 46,318        | 36,740        | 39,581        | 36,674        | 55,105        | 60,834        |
| 15,042,686    | 2,046,244     | 3,903,891     | 10,734,859    | 25,289,729    | 13,720,721    |
| 472,118       | 446,152       | 566,475       | 133,520       | 3,441,045     | 3,470,734     |
| -             | 25,966        | 19,591        | 699,601       | 944,308       | 1,130,428     |
| 2,234,604     | 2,245,266     | 2,247,029     | 2,234,639     | 2,225,191     | 1,871,557     |
| \$ 76,295,157 | \$ 61,746,131 | \$ 64,934,101 | \$ 75,268,856 | \$ 94,877,818 | \$ 84,150,168 |
| 0.77%         | 0.80%         | 0.97%         | 1.29%         | 6.32%         | 6.52%         |

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**Schedule 7**  
**Muscatine Community School District**

**Other Financing Sources and Uses and Net Change in Fund Balances**

**Governmental Funds**

**Last Ten Fiscal Years**

*(modified accrual basis of accounting)*

**(Unaudited)**

|                                                           | 2016                | 2017                | 2018               | 2019                   |
|-----------------------------------------------------------|---------------------|---------------------|--------------------|------------------------|
| Excess (deficiency) of revenues over (under) expenditures | \$ 3,562,316        | \$ 2,710,971        | \$ (49,987)        | \$ (10,661,016)        |
| Other financing sources (uses):                           |                     |                     |                    |                        |
| Sale of capital assets                                    | 280,000             | 419,933             | 21,642             | 5,404                  |
| Issuance of lease                                         | -                   | -                   | -                  | -                      |
| Issuance of long-term debt                                | -                   | -                   | -                  | -                      |
| Insurance proceeds                                        | -                   | -                   | -                  | -                      |
| Transfers in                                              | -                   | -                   | 8,764              | 6,617                  |
| Transfers out                                             | -                   | -                   | -                  | -                      |
| <b>Total other financing sources (uses)</b>               | <b>280,000</b>      | <b>419,933</b>      | <b>30,406</b>      | <b>12,021</b>          |
| <b>Net change in fund balances</b>                        | <b>\$ 3,842,316</b> | <b>\$ 3,130,904</b> | <b>\$ (19,581)</b> | <b>\$ (10,648,995)</b> |

Source: District financial records

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| Fiscal Year  |              |              |               |                 |                 |
|--------------|--------------|--------------|---------------|-----------------|-----------------|
| 2020         | 2021         | 2022         | 2023          | 2024            | 2025            |
| \$ 4,919,370 | \$ 4,070,464 | \$ 4,070,464 | \$ (882,647)  | \$ (20,271,153) | \$ (12,133,489) |
| 441,898      | 3,029        | 26,738       | 7,694         | 41,349          | 46,189          |
| 1,377,222    | -            | 24,223       | -             | 436,094         | -               |
| -            | -            | -            | 25,048,141    | -               | 4,048,000       |
| -            | -            | -            | -             | -               | -               |
| 5,602        | 526,931      | 1,039,981    | 3,875,623     | 5,700,509       | 4,673,386       |
| -            | (530,674)    | (1,061,814)  | (3,815,623)   | (5,635,425)     | (4,443,790)     |
| 1,824,722    | (714)        | 29,128       | 25,115,835    | 542,527         | 4,323,785       |
| \$ 6,744,092 | \$ 4,069,750 | \$ 29,128    | \$ 25,115,835 | \$ (19,728,626) | \$ (7,809,704)  |

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**Schedule 8**  
**Muscatine Community School District**

**Financial Solvency Ratio**  
**Last Ten Fiscal Years**  
**(Unaudited)**

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| School Year | Unassigned/Assigned | Actual Revenues | Financial Solvency Ratio |
|-------------|---------------------|-----------------|--------------------------|
| 2015-2016   | \$ 10,518,594       | \$ 54,997,281   | 19.13%                   |
| 2016-2017   | 12,466,016          | 55,401,110      | 22.50%                   |
| 2017-2018   | 13,004,226          | 53,843,042      | 24.15%                   |
| 2018-2019   | 12,056,855          | 53,698,443      | 22.45%                   |
| 2019-2020   | 10,704,543          | 52,700,748      | 20.31%                   |
| 2020-2021   | 10,370,243          | 54,176,391      | 19.14%                   |
| 2021-2022   | 10,916,991          | 56,936,147      | 19.17%                   |
| 2022-2023   | 10,372,152          | 60,859,974      | 17.04%                   |
| 2023-2024   | 10,133,914          | 59,601,445      | 17.00%                   |
| 2024-2025   | 8,860,590           | 60,083,203      | 14.75%                   |

Source: District financial records

Note: Actual revenues excludes AEA flowthrough

**Schedule 9**  
**Muscatine Community School District**

**Assessed Value and Actual Value of Taxable Property**  
**Last Ten Fiscal Years**  
**(Unaudited)**

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| Fiscal<br>Year | Actual Value            |                        |                        |                   |
|----------------|-------------------------|------------------------|------------------------|-------------------|
|                | Residential<br>Property | Commercial<br>Property | Industrial<br>Property | Other<br>Property |
| 2016           | \$ 698,343,846          | \$ 263,712,236         | \$ 177,497,685         | \$ 104,017,616    |
| 2017           | 720,534,047             | 246,832,599            | 187,072,974            | 141,113,273       |
| 2018           | 743,835,988             | 263,034,580            | 186,024,645            | 141,545,653       |
| 2019           | 741,181,339             | 276,595,354            | 198,990,531            | 146,914,997       |
| 2020           | 766,696,198             | 287,356,698            | 204,021,657            | 150,725,878       |
| 2021           | 772,270,929             | 290,860,495            | 204,021,414            | 138,636,389       |
| 2022           | 811,248,981             | 298,236,967            | 208,943,766            | 139,860,437       |
| 2023           | 809,863,051             | 299,725,389            | 211,880,535            | 140,039,778       |
| 2024           | 938,650,325             | 319,291,628            | 230,992,819            | 109,128,610       |
| 2025           | 920,979,957             | 336,062,348            | 226,391,050            | 104,641,153       |

Source: Iowa Department of Management and Muscatine County Auditor.

Notes: Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year and are applied to the second fiscal year following the tax assessment year.

(a) Per \$1,000 of assessed value.

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|    | Less<br>Exemptions | Total Taxable<br>Value - Actual | Total<br>Direct<br>Rate (a) |
|----|--------------------|---------------------------------|-----------------------------|
| \$ | 2,346,484          | \$ 1,241,224,899                | 15.80950                    |
|    | 2,248,328          | 1,293,304,565                   | 15.53914                    |
|    | 2,198,324          | 1,332,242,542                   | 14.91989                    |
|    | 2,106,264          | 1,361,575,957                   | 14.82884                    |
|    | 2,005,716          | 1,406,794,715                   | 13.83172                    |
|    | 1,918,672          | 1,403,870,555                   | 13.51952                    |
|    | 1,808,058          | 1,456,482,093                   | 13.52839                    |
|    | 1,737,781          | 1,459,770,972                   | 13.42230                    |
|    | 1,647,046          | 1,596,416,336                   | 13.23077                    |
|    | 9,192,169          | 1,578,882,339                   | 13.52119                    |

**Schedule 10**  
**Muscatine Community School District**

**Direct and Overlapping Property Tax Rates**  
**Last Ten Fiscal Years**  
*(rate per \$1,000 of assessed value)*  
**(Unaudited)**

| Fiscal<br>Year<br>Ended<br>June 30 | District Direct Rates |                     |                    |                 | Total    |
|------------------------------------|-----------------------|---------------------|--------------------|-----------------|----------|
|                                    | General<br>Purposes   | Capital<br>Purposes | Management<br>Fund | Debt<br>Service |          |
| 2016                               | 13.32300              | 1.43000             | 1.05650            | 0.00000         | 15.80950 |
| 2017                               | 13.09847              | 1.43000             | 1.01067            | 0.00000         | 15.53914 |
| 2018                               | 12.21685              | 1.67000             | 1.03304            | 0.00000         | 14.91989 |
| 2019                               | 11.97960              | 1.67000             | 1.17924            | 0.00000         | 14.82884 |
| 2020                               | 11.01102              | 1.67000             | 1.15070            | 0.00000         | 13.83172 |
| 2021                               | 10.73543              | 1.67000             | 1.11409            | 0.00000         | 13.51952 |
| 2022                               | 11.14286              | 1.67000             | 0.71553            | 0.00000         | 13.52839 |
| 2023                               | 11.03837              | 1.67000             | 0.71393            | 0.00000         | 13.42230 |
| 2024                               | 10.45166              | 1.67000             | 1.10911            | 0.00000         | 13.23077 |
| 2025                               | 10.86431              | 1.67000             | 0.98688            | 0.00000         | 13.52119 |

Source: Iowa Department of Management and Muscatine County Auditor.

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| Overlapping Rates    |                     |                      |         |
|----------------------|---------------------|----------------------|---------|
| City of<br>Muscatine | Muscatine<br>County | Community<br>College | Other   |
| 15.67209             | 7.88491             | 0.96863              | 0.51081 |
| 15.67209             | 7.88396             | 1.00909              | 0.55054 |
| 15.67209             | 7.57719             | 1.03000              | 0.46629 |
| 15.67209             | 7.15000             | 1.03000              | 0.49942 |
| 15.67209             | 7.81123             | 0.99000              | 0.50555 |
| 15.67209             | 7.64393             | 0.82406              | 0.49479 |
| 15.67209             | 7.39481             | 0.92357              | 0.47934 |
| 15.97054             | 6.86153             | 0.94542              | 0.49604 |
| 15.67219             | 6.49289             | 0.94840              | 0.45929 |
| 15.67219             | 6.97688             | 0.94807              | 0.43947 |

**Schedule 11**  
**Muscatine Community School District**

**Principal Property Tax Payers**  
**Current Year and Nine Years Ago**  
**(Unaudited)**

| Name of Taxpayer                    | 2025                    |      |                                   | 2014                    |      |                                   |
|-------------------------------------|-------------------------|------|-----------------------------------|-------------------------|------|-----------------------------------|
|                                     | Taxable Value           | Rank | Percentage of Total Taxable Value | Taxable Value           | Rank | Percentage of Total Taxable Value |
| SSAB Iowa Inc                       | \$ 65,732,566           | 1    | 4.16%                             | \$ 73,405,870           | 1    | 5.91%                             |
| Grain Processing                    | 53,811,065              | 2    | 3.41%                             | 40,012,880              | 2    | 3.22%                             |
| HNI Corporation                     | 46,897,716              | 3    | 2.97%                             | 33,926,520              | 3    | 2.73%                             |
| Wal-View Developments               | 30,619,414              | 4    | 1.94%                             | 18,000,000              | 5    | 1.45%                             |
| Natural Gas Pipeline                | 13,725,760              | 5    | 0.87%                             | 9,098,952               | 10   | 0.73%                             |
| Central Iowa Power                  | 12,780,495              | 6    | 0.81%                             | 23,713,737              | 4    | 1.91%                             |
| Sodarock Properties                 | 12,550,247              | 7    | 0.79%                             |                         |      |                                   |
| Wal-Mart Real Estate Business Trust | 10,938,796              | 8    | 0.69%                             | 10,202,870              | 6    | 0.82%                             |
| Menard Inc                          | 10,620,071              | 9    | 0.67%                             | 9,704,700               | 9    | 0.78%                             |
| GRIDCO LLC                          | 10,602,235              | 10   | 0.67%                             |                         |      |                                   |
| Heinz H J Company LP                |                         |      |                                   | 10,034,530              | 7    | 0.81%                             |
| Interstate Power & Light Co         |                         |      |                                   | 9,804,748               | 8    | 0.79%                             |
| Total                               | <u>\$ 268,278,365</u>   |      | <u>16.99%</u>                     | <u>\$ 237,904,807</u>   |      | <u>19.17%</u>                     |
| Total Taxable Value                 | <u>\$ 1,578,882,339</u> |      |                                   | <u>\$ 1,241,224,899</u> |      |                                   |

Source: Muscatine County Auditor, State Auditor

**Schedule 12**  
**Muscatine Community School District**

**Property Tax Levies and Collections**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| Fiscal Year | Taxes Levied for the Fiscal Year |                   | Collected Within the Fiscal Year of the Levy |                        | Collections In Subsequent Years (1) | Total Collections to Date |                    |
|-------------|----------------------------------|-------------------|----------------------------------------------|------------------------|-------------------------------------|---------------------------|--------------------|
|             |                                  |                   | Amount                                       | Percentage of Levy (1) |                                     | Amount                    | Percentage of Levy |
| 2016        | \$                               | 18,880,738        | \$ 19,109,115                                | 101.21%                | \$ 4,605                            | \$ 19,113,720             | 101.23%            |
| 2017        |                                  | 19,387,762        | 19,465,309                                   | 100.40%                | 2,272                               | 19,467,581                | 100.41%            |
| 2018        |                                  | 19,123,994        | 19,195,625                                   | 100.37%                | (1,616)                             | 19,194,009                | 100.37%            |
| 2019        |                                  | 19,440,875        | 19,499,200                                   | 100.30%                | 12,333                              | 19,511,533                | 100.36%            |
| 2020        |                                  | 18,626,628        | 18,572,495                                   | 99.71%                 | 2,598                               | 18,575,093                | 99.72%             |
| 2021        |                                  | 18,425,815        | 18,624,465                                   | 101.08%                | 137,451                             | 18,761,916                | 101.82%            |
| 2022        |                                  | 19,129,318        | 19,183,779                                   | 100.28%                | 3,166                               | 19,186,944                | 100.30%            |
| 2023        |                                  | 19,017,615        | 19,051,010                                   | 100.18%                | 9,351                               | 19,060,360                | 100.22%            |
| 2024        |                                  | 20,511,206        | 20,537,022                                   | 100.13%                | 38,609                              | 20,575,631                | 100.31%            |
| <b>2025</b> |                                  | <b>20,783,639</b> | <b>20,955,983</b>                            | <b>100.83%</b>         | <b>19,594</b>                       | <b>20,975,577</b>         | <b>100.92%</b>     |

Source: Iowa Department of Management, Muscatine County Auditor and School District financial records.

(1) The County is unable to provide the year to attribute to collections in subsequent years.

**Schedule 13**  
**Muscatine Community School District**

**Ratios of Net General Bonded Debt Outstanding**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| Fiscal Year | General Obligation Bonds | (1) Note Payable | (1) Leases | (1) IT Subscription Liability | (2) Less: Amounts Available in Debt Service Fund | Total   | Percent of Actual Taxable Value of Property (a) | Per Capita (b) |
|-------------|--------------------------|------------------|------------|-------------------------------|--------------------------------------------------|---------|-------------------------------------------------|----------------|
| 2016        | -                        | \$ -             | \$ -       | \$ -                          | \$ -                                             | \$ -    | 0.00%                                           | \$ -           |
| 2017        | -                        | -                | -          | -                             | -                                                | -       | -                                               | -              |
| 2018        | -                        | -                | -          | -                             | -                                                | -       | -                                               | -              |
| 2019        | -                        | -                | -          | -                             | -                                                | -       | -                                               | -              |
| 2020        | -                        | 905,104          | -          | -                             | -                                                | 905,104 | 0.06%                                           | 38             |
| 2021        | -                        | 458,952          | 293,667    | -                             | -                                                | 752,619 | 0.05%                                           | 32             |
| 2022        | -                        | -                | 210,367    | 11,001                        | -                                                | 210,367 | 0.01%                                           | 9              |
| 2023        | -                        | -                | 98,457     | 37,532                        | -                                                | 135,989 | 0.01%                                           | 6              |
| 2024        | -                        | -                | 306,766    | 16,272                        | -                                                | 323,038 | 0.02%                                           | 14             |
| 2025        | -                        | -                | 162,303    | -                             | -                                                | 162,303 | 0.01%                                           | 7              |

Source: Iowa Department of Management, Muscatine County Auditor and School District financial records

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements

(a) Actual taxable value of property includes Tax Increment Financing valuation. Assessed value equals estimated actual value. See Schedule 9 for actual taxable value of property

(b) See Schedule 18 for population data.

(1) Notes payable, leases and IT subscription liability are paid from property taxes

(2) Debt Service Fund reserve is for revenue bonds. Revenue bonds are not paid from property taxes and not considered general bonded debt.

N/A = not available



**Schedule 14**  
**Muscatine Community School District**

**Outstanding Debt by Type**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| Fiscal Year | General<br>Obligation<br>Bonds | Revenue<br>Bonds | (1)<br>Leases | IT<br>Subscription<br>Liability | Note<br>Payable | Total<br>Primary<br>Government | Percentage<br>of Personal<br>Income | Per<br>Capita |
|-------------|--------------------------------|------------------|---------------|---------------------------------|-----------------|--------------------------------|-------------------------------------|---------------|
| 2016        | -                              | -                | \$ -          | \$ -                            | \$ -            | \$ -                           | -                                   | \$ -          |
| 2017        | -                              | -                | -             | -                               | -               | -                              | -                                   | -             |
| 2018        | -                              | -                | -             | -                               | -               | -                              | -                                   | -             |
| 2019        | -                              | -                | -             | -                               | -               | -                              | -                                   | -             |
| 2020        | -                              | -                | -             | -                               | 905,104         | 905,104                        | 0.08%                               | 38            |
| 2021        | -                              | -                | 293,667       | -                               | 458,952         | 752,619                        | 0.06%                               | 32            |
| 2022        | -                              | -                | 210,367       | 11,001                          | -               | 210,367                        | 0.02%                               | 9             |
| 2023        | -                              | 25,000,000       | 98,457        | 37,532                          | -               | 25,135,989                     | 0.09%                               | 1,056         |
| 2024        | -                              | 21,808,000       | 306,766       | 16,272                          | -               | 22,131,038                     | 0.11%                               | 930           |
| 2025        | -                              | 22,546,000       | 162,303       | -                               | -               | 22,708,303                     | 0.10%                               | 954           |

Source: District financial records

N/A = not available.

(1) Notes payable, IT subscription liability and leases are paid from property taxes.

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**Schedule 15**  
**Muscatine Community School District**

**Direct and Overlapping Governmental Activities Debt**  
**As of June 30, 2025**  
**(Unaudited)**

| Governmental Unit                        | Debt<br>Outstanding | Estimated<br>Percentage<br>Applicable* | Estimated<br>Share of Direct<br>and Overlapping<br>Debt |
|------------------------------------------|---------------------|----------------------------------------|---------------------------------------------------------|
| City of Muscatine                        | \$ 32,106,797       | 83.97%                                 | \$ 26,960,077                                           |
| Muscatine County                         | 8,245,000           | 62.79%                                 | 5,177,036                                               |
| Eastern Iowa Community College (EICC)    | 26,390,000          | 9.35%                                  | 2,467,465                                               |
| <b>Subtotal, overlapping debt</b>        |                     |                                        | <u>34,604,578</u>                                       |
| District direct debt                     |                     |                                        | <u>22,708,303</u>                                       |
| <b>Total direct and overlapping debt</b> |                     |                                        | <u><u>\$ 57,312,881</u></u>                             |

Source: Muscatine County Auditor.

**Notes:**

Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

\* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2023 assessed values are used.)

**Schedule 16**  
**Muscatine Community School District**

**Legal Debt Margin Information**  
**Last Ten Fiscal Years**  
**(Unaudited)**

|                                                                                 | 2016                    | 2017                    | 2018                    | 2019                    |
|---------------------------------------------------------------------------------|-------------------------|-------------------------|-------------------------|-------------------------|
| Legal Debt Margin Calculation                                                   |                         |                         |                         |                         |
| Assessed value                                                                  | <u>\$ 1,241,224,899</u> | <u>\$ 1,293,304,565</u> | <u>\$ 1,332,242,542</u> | <u>\$ 1,361,575,957</u> |
| Debt limit (5% of assessed value)                                               | 62,061,245              | 64,665,228              | 66,612,127              | 68,078,798              |
| Debt applicable to limit                                                        | <u>-</u>                | <u>-</u>                | <u>-</u>                | <u>-</u>                |
| Legal debt margin                                                               | <u>\$ 62,061,245</u>    | <u>\$ 64,665,228</u>    | <u>\$ 66,612,127</u>    | <u>\$ 68,078,798</u>    |
| <b>Total net debt applicable to the limit<br/>as a percentage of debt limit</b> | 0.00%                   | 0.00%                   | 0.00%                   | 0.00%                   |

Source: Iowa Department of Management, Muscatine County Auditor's Office and School District financial records.

|                                                    |                         |                         |                         |                         |                         |
|----------------------------------------------------|-------------------------|-------------------------|-------------------------|-------------------------|-------------------------|
| Legal Debt Margin Calculation for Fiscal Year 2025 |                         |                         |                         |                         |                         |
| Assessed value                                     |                         |                         |                         |                         | <u>\$ 1,598,564,859</u> |
| Debt limit (5% of assessed value)                  |                         |                         |                         |                         | \$ 79,928,243           |
| Debt applicable to limit                           |                         |                         |                         |                         | 162,304                 |
| Legal debt margin                                  |                         |                         |                         |                         | <u>\$ 79,765,939</u>    |
| 2020                                               | 2021                    | 2022                    | 2023                    | 2024                    | 2025                    |
| <u>\$ 1,406,794,715</u>                            | <u>\$ 1,419,937,655</u> | <u>\$ 1,470,923,950</u> | <u>\$ 1,473,074,257</u> | <u>\$ 1,611,166,333</u> | <u>\$ 1,598,564,859</u> |
| 70,339,736                                         | 70,996,883              | 73,546,198              | 73,653,713              | 80,558,317              | 79,928,243              |
| -                                                  | 293,667                 | 210,367                 | 135,989                 | 323,038                 | 162,304                 |
| <u>\$ 70,339,736</u>                               | <u>\$ 70,703,216</u>    | <u>\$ 73,335,831</u>    | <u>\$ 73,517,724</u>    | <u>\$ 80,235,279</u>    | <u>\$ 79,765,939</u>    |
| 0.00%                                              | 0.00%                   | 0.42%                   | 0.29%                   | 0.40%                   | 0.20%                   |

**Schedule 17**  
**Muscatine Community School District**

**Pledged Revenue Coverage**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| Fiscal<br>Year | Revenue Bonds |              |          |          |  |
|----------------|---------------|--------------|----------|----------|--|
|                | Revenue       | Debt Service |          | Coverage |  |
|                |               | Principal    | Interest |          |  |
| 2016           | \$ 5,087,694  | n/a          | n/a      | n/a      |  |
| 2017           | 5,206,015     | n/a          | n/a      | n/a      |  |
| 2018           | 4,633,834     | n/a          | n/a      | n/a      |  |
| 2019           | 5,070,647     | n/a          | n/a      | n/a      |  |
| 2020           | 5,072,669     | n/a          | n/a      | n/a      |  |
| 2021           | 4,806,557     | n/a          | n/a      | n/a      |  |
| 2022           | 5,665,028     | n/a          | n/a      | n/a      |  |
| 2023           | 6,317,866     | n/a          | 476,079  | 13.27    |  |
| 2024           | 6,026,666     | 3,192,000    | 929,500  | 6.48     |  |
| 2025           | 5,850,001     | 3,310,000    | 913,212  | 6.41     |  |

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax.

n/a = not applicable. No non-general obligation debt.

**Schedule 18**  
**Muscatine Community School District**

**Demographic and Economic Statistics**  
**Last Ten Calendar Years**  
**(Unaudited)**

| Calendar<br>Year | Population (a) | Personal<br>Income (b) | Per Capita<br>Personal<br>Income | Muscatine<br>County Area<br>Unemployment<br>Rate (c) * |
|------------------|----------------|------------------------|----------------------------------|--------------------------------------------------------|
| 2016             | 23,819         | \$ 1,029,528,637       | \$ 43,223                        | 3.80%                                                  |
| 2017             | 23,819         | 1,050,012,997          | 44,083                           | 3.80%                                                  |
| 2018             | 23,819         | 1,082,192,446          | 45,434                           | 3.20%                                                  |
| 2019             | 23,819         | 1,110,417,961          | 46,917                           | 2.60%                                                  |
| 2020             | 23,819         | 1,147,051,583          | 48,157                           | 2.70%                                                  |
| 2021             | 23,797         | 1,216,859,595          | 51,135                           | 5.80%                                                  |
| 2022             | 23,797         | 1,292,105,709          | 54,297                           | 3.40%                                                  |
| 2023             | 23,797         | 1,370,588,215          | 57,595                           | 3.40%                                                  |
| 2024             | 23,797         | N/A                    | N/A                              | 3.60%                                                  |
| 2025             | 23,797         | N/A                    | N/A                              | 4.40%                                                  |

Source:

(a) United States Census Bureau. The 2012/2013 population increase reflects the added population from areas annexed into the City in 2012 and 2013. The 2020/2021 population is from the 2020 census.

(b) Bureau of Economic Analysis. Per capita income for the City of Muscatine is not available. amounts shown are for Muscatine County and reflect average per capita income for the calendar years which end midway through the fiscal years shown. Personal income for the City has been estimated using the per capita income for Muscatine County multiplied by the City's population.

(c) Iowa Workforce Development

Notes: N/A = not available.

\* Based on a ten-month period, January through October.

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**Schedule 19**  
**Muscatine Community School District**

**Principal Employers**  
**Current Year and Nine Years Ago**  
**(Unaudited)**

| Employer                                                            | 2025                                      |      |                                                              | 2016                                      |      |                                                              |
|---------------------------------------------------------------------|-------------------------------------------|------|--------------------------------------------------------------|-------------------------------------------|------|--------------------------------------------------------------|
|                                                                     | Approximate<br>Number of<br>Employees (1) | Rank | Percentage of<br>Estimated<br>Total County<br>Employment (2) | Approximate<br>Number of<br>Employees (1) | Rank | Percentage of<br>Estimated<br>Total County<br>Employment (2) |
| HNI Corporation                                                     | 3,100                                     | 1    | 15.3%                                                        | 3,800                                     | 1    | 16.4%                                                        |
| Kent Corporation<br>(formally Grain Processing/Kent Feeds)          | 993                                       | 2    | 4.9%                                                         | 900                                       | 2    | 3.9%                                                         |
| Muscatine Community School District                                 | 839                                       | 3    | 4.1%                                                         | 853                                       | 3    | 3.7%                                                         |
| SSAB                                                                | 509                                       | 4    | 2.5%                                                         | 0                                         | 0    | 0.0%                                                         |
| Hy-Vee Food Store                                                   | 468                                       | 5    | 2.3%                                                         | 396                                       | 6    | 1.7%                                                         |
| Bayer U.S. - Crop Science<br>(Formerly Monsanto)                    | 460                                       | 6    | 2.3%                                                         | 432                                       | 5    | 1.9%                                                         |
| The Raymond Corporation<br>(Previously BT Prime Mover)              | 450                                       | 7    | 2.2%                                                         | 370                                       | 8    | 1.6%                                                         |
| Musco Lighting                                                      | 411                                       | 8    | 2.0%                                                         | 320                                       | 10   | 1.4%                                                         |
| Kraft Heinz Company<br>(Formerly Heinz, U.S.A.)                     | 382                                       | 9    | 1.9%                                                         | 395                                       | 7    | 1.7%                                                         |
| UnityPoint Health-Trinity Muscatine<br>(Formerly Trinity Muscatine) | 365                                       | 10   | 1.8%                                                         | 468                                       | 4    | 2.0%                                                         |
| Wal-Mart Superstore                                                 | 320                                       | 11   | 1.6%                                                         | 338                                       | 9    | 1.5%                                                         |
| Muscatine Power & Water                                             | 260                                       | 12   | 1.3%                                                         | 280                                       | 11   | 1.2%                                                         |
| Muscatine County                                                    | 231                                       | 13   | 1.1%                                                         | 195                                       | 14   | 0.8%                                                         |
| City of Muscatine                                                   | 227                                       | 14   | 1.1%                                                         | 221                                       | 13   | 1.0%                                                         |
| SECO Investment Co. (Stanley<br>Engineering Co.)                    | 189                                       | 15   | 0.9%                                                         | 254                                       | 12   | 1.1%                                                         |
| Bridgestone Bandag LLC<br>(Formerly Bandag, Inc.)                   |                                           |      |                                                              | 189                                       | 15   | 0.8%                                                         |
| <b>Total</b>                                                        | <b>9,204</b>                              |      | <b>45.4%</b>                                                 | <b>9,411</b>                              |      | <b>40.6%</b>                                                 |

1. Muscatine Chamber of Commerce & Industry provided the 2025 employment figures. The 2016 figures were from City of Muscatine historical records and may be on a basis which differs from the data provided by the Muscatine Chamber of Commerce & Industry.
2. Iowa Workforce Development. Employment data for the City of Muscatine is not available. Employers listed are the largest in the immediate area of the City of Muscatine. Percentages shown are based on total employment in Muscatine County. The average monthly employment in Muscatine County was 20,294 in July, 2025 and 23,170 in 2015.

**Schedule 20**  
**Muscatine Community School District**

**Full-Time Equivalent District Employees By Type**  
**Last Ten Fiscal Years**  
**(Unaudited)**

|                                                    | 2016         | 2017         | 2018         | 2019         |
|----------------------------------------------------|--------------|--------------|--------------|--------------|
| <u>Supervisory:</u>                                |              |              |              |              |
| Superintendent                                     | 1.0          | 1.0          | 1.0          | 1.0          |
| Assistant Superintendent                           | 1.0          | 1.0          | 1.0          | 1.0          |
| Principals                                         | 12.0         | 11.0         | 10.0         | 10.0         |
| Assistant Principals                               | 6.0          | 7.0          | 6.0          | 6.0          |
| Directors                                          | 4.0          | 4.0          | 4.0          | 5.0          |
| All Other Administrators/Supervisors               | 6.0          | 6.0          | 6.0          | 6.0          |
| <b>Total Supervisory</b>                           | <b>30.0</b>  | <b>30.0</b>  | <b>28.0</b>  | <b>29.0</b>  |
| <u>Instruction:</u>                                |              |              |              |              |
| Regular Program Teachers                           | 340.0        | 333.2        | 319.1        | 305.3        |
| Special Education Teachers                         | 60.0         | 73.2         | 68.5         | 61.5         |
| Instructional Coaches/PD Leads                     | 15.0         | 13.5         | 19.0         | 20.0         |
| <b>Total Instruction</b>                           | <b>415.0</b> | <b>419.9</b> | <b>406.6</b> | <b>386.8</b> |
| <u>Student services:</u>                           |              |              |              |              |
| Guidance Counselors                                | 12.0         | 10.0         | 11.5         | 16.5         |
| Media Specialists/Librarians                       | 5.0          | 3.7          | 4.0          | 5.0          |
| Nurses                                             | 8.0          | 6.5          | 7.0          | 7.0          |
| Other Student Support                              | 4.0          | 6.0          | 3.0          | 4.0          |
| <b>Total Student Services</b>                      | <b>29.0</b>  | <b>26.1</b>  | <b>25.5</b>  | <b>32.5</b>  |
| <u>Support and administration:</u>                 |              |              |              |              |
| Office/Classified Professionals                    | 17.0         | 19.0         | 21.0         | 17.0         |
| Secretary/Clerical/Associates/<br>Paraprofessional | 139.9        | 146.8        | 144.6        | 152.2        |
| Custodial                                          | 37.9         | 31.3         | 33.9         | 33.1         |
| Maintenance/Mechanics                              | 10.0         | 11.0         | 11.0         | 10.0         |
| Transportation                                     | 15.0         | 14.0         | 13.0         | 13.0         |
| Food Service Workers                               | 37.7         | 37.3         | 35.5         | 35.0         |
| Food Service Support                               | 4.0          | 4.0          | 4.0          | 4.0          |
| All Other Support                                  | 1.0          | 1.0          | 1.0          | 3.0          |
| <b>Total Support and Administration</b>            | <b>262.5</b> | <b>264.5</b> | <b>263.9</b> | <b>267.3</b> |
| <b>Total</b>                                       | <b>736.5</b> | <b>740.5</b> | <b>724.0</b> | <b>715.6</b> |

Source: District financial records

Note: Information prior to 2016 is not available (n/a)

|       |       |       |       |       |       | Percentage<br>Change<br>2016 - 2025 |
|-------|-------|-------|-------|-------|-------|-------------------------------------|
| 2020  | 2021  | 2022  | 2023  | 2024  | 2025  |                                     |
| 1.0   | 1.0   | 1.0   | 1.0   | 1.0   | 1.0   | 0.00%                               |
| 1.0   | -     | -     | -     | -     | -     | -100.00%                            |
| 12.0  | 10.0  | 9.0   | 9.0   | 9.0   | 9.0   | -10.00%                             |
| 5.0   | 4.0   | 6.0   | 6.0   | 5.0   | 5.0   | -16.67%                             |
| 5.0   | 7.0   | 8.0   | 8.0   | 8.0   | 8.0   | 100.00%                             |
| 6.0   | 6.0   | 4.0   | 4.0   | 4.0   | 4.0   | -33.33%                             |
| 30.0  | 28.0  | 28.0  | 28.0  | 27.0  | 27.0  | -3.57%                              |
| 306.8 | 298.8 | 276.0 | 276.3 | 279.4 | 271.5 | -14.92%                             |
| 67.7  | 60.2  | 62.0  | 60.4  | 59.8  | 54.8  | -20.00%                             |
| 14.8  | 13.0  | 16.0  | 19.0  | 22.0  | 21.0  | 10.53%                              |
| 389.2 | 372.0 | 354.0 | 355.7 | 361.2 | 347.3 | -14.58%                             |
| 13.5  | 15.0  | 14.3  | 13.3  | 14.5  | 13.5  | 17.39%                              |
| 4.0   | 4.0   | 5.0   | 5.0   | 5.0   | 5.0   | 25.00%                              |
| 7.0   | 7.0   | 7.0   | 7.0   | 7.0   | 8.0   | 14.29%                              |
| 4.0   | 4.0   | 10.0  | 10.0  | 5.0   | 5.0   | 66.67%                              |
| 28.5  | 30.0  | 36.3  | 35.3  | 31.5  | 31.5  | 23.53%                              |
| 17.0  | 15.0  | 14.0  | 15.0  | 16.5  | 16.5  | -21.43%                             |
| 163.1 | 142.5 | 143.3 | 156.6 | 174.0 | 162.4 | 12.29%                              |
| 32.7  | 34.0  | 34.0  | 39.9  | 36.4  | 39.6  | 16.95%                              |
| 13.0  | 12.0  | 13.0  | 12.0  | 12.5  | 14.0  | 27.27%                              |
| 12.3  | 12.5  | 12.5  | 13.0  | 13.0  | 13.3  | 1.92%                               |
| 41.2  | 36.9  | 39.4  | 38.2  | 44.0  | 44.0  | 23.93%                              |
| 4.0   | 4.0   | 5.0   | 5.0   | 5.0   | 5.0   | 25.00%                              |
| 3.0   | 3.0   | 3.0   | 3.0   | 3.0   | 3.0   | 200.00%                             |
| 286.2 | 259.9 | 264.2 | 282.7 | 304.3 | 297.7 | 12.79%                              |
| 733.9 | 689.9 | 682.4 | 701.6 | 724.0 | 703.5 | -2.84%                              |

**Schedule 21**  
**Muscatine Community School District**

**Operating Statistics**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| Fiscal Year | Certified Enrollment | (1)<br>Operating Expenditures | Cost Per Pupil | Percentage Change | Governmental Expenditures |
|-------------|----------------------|-------------------------------|----------------|-------------------|---------------------------|
| 2016        | 5,328.4              | \$ 54,828,103                 | \$ 10,290      | 2.55%             | \$ 59,880,490             |
| 2017        | 5,170.0              | 55,813,833                    | 10,796         | 4.92%             | 62,795,322                |
| 2018        | 5,084.2              | 55,993,274                    | 11,013         | 2.01%             | 62,424,549                |
| 2019        | 4,935.8              | 56,860,292                    | 11,520         | 4.60%             | 65,731,847                |
| 2020        | 4,894.0              | 56,564,823                    | 11,558         | 0.33%             | 76,295,157                |
| 2021        | 4,811.8              | 59,227,769                    | 12,309         | 6.50%             | 61,746,131                |
| 2022        | 4,690.0              | 60,444,144                    | 12,888         | 4.70%             | 64,934,101                |
| 2023        | 4,604.5              | 63,894,401                    | 13,220         | 2.57%             | 75,268,856                |
| 2024        | 4,574.8              | 64,982,927                    | 14,205         | 7.45%             | 94,877,818                |
| 2025        | 4,422.8              | 61,421,653                    | 13,888         | -2.23%            | 84,150,168                |

Source: Nonfinancial information from District records. District financial records.

(1) Operating expenditures are total governmental expenditures less debt service and capital outlay.

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| Cost Per Pupil |        | Percentage Change | Teaching Staff | Pupil-Teacher Ratio | Percentage of Students Receiving Free or Reduced Price Meals |
|----------------|--------|-------------------|----------------|---------------------|--------------------------------------------------------------|
| \$             | 11,238 | -9.64%            | 440            | 8.26%               | 53.35% FY16                                                  |
|                | 12,146 | 8.08%             | 440            | 8.51%               | 52.52% FY17                                                  |
|                | 12,278 | 1.09%             | 429            | 8.44%               | 53.05% FY18                                                  |
|                | 13,317 | 8.46%             | 415            | 8.41%               | 55.01% FY19                                                  |
|                | 15,589 | 17.06%            | 414            | 8.45%               | 53.24% FY20                                                  |
|                | 12,832 | -17.69%           | 398            | 8.27%               | 50.18% FY21                                                  |
|                | 13,845 | 7.90%             | 383            | 8.17%               | 52.20% FY22                                                  |
|                | 16,347 | 18.07%            | 381            | 8.27%               | 55.52% FY23                                                  |
|                | 20,739 | 26.87%            | 381            | 8.33%               | 55.90% FY24                                                  |
|                | 19,026 | -8.26%            | 366            | 8.28%               | 53.05% FY24                                                  |

**Schedule 22**  
**Muscatine Community School District**

**School Building Information**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| School                                    | 2016    | 2017    | 2018    | 2019    |
|-------------------------------------------|---------|---------|---------|---------|
| <b>Muskie ELC (1962)</b>                  |         |         |         |         |
| Square feet, 1962, 78, 01                 | 29,438  | 29,438  | 29,438  | 29,438  |
| Capacity*                                 | 260     | 260     | 260     | 260     |
| Enrollment                                | 261     | 262     | 244     | 229     |
| <b>Franklin Elementary (1954)</b>         |         |         |         |         |
| Square feet, 1954, 12                     | 35,557  | 35,557  | 35,557  | 35,557  |
| Capacity*                                 | 300     | 300     | 300     | 300     |
| Enrollment                                | 293     | 298     | 295     | 309     |
| <b>Grant Elementary (1954)</b>            |         |         |         |         |
| Square feet, 1954, 71, 01, 09             | 37,233  | 37,233  | 37,233  | 37,233  |
| Capacity*                                 | 300     | 300     | 300     | 300     |
| Enrollment                                | 341     | 368     | 362     | 324     |
| <b>Jefferson Elementary (1928) (2015)</b> |         |         |         |         |
| Square feet, 2015                         | 66,000  | 66,000  | 66,000  | 66,000  |
| Capacity*                                 | 450     | 450     | 450     | 450     |
| Enrollment                                | 362     | 440     | 447     | 478     |
| <b>Madison Elementary (1954)</b>          |         |         |         |         |
| Square feet, 1954, 65, 69, 02, 08-09, 11  | 43,229  | 43,229  | 43,229  | 43,229  |
| Capacity*                                 | 450     | 450     | 450     | 450     |
| Enrollment                                | 290     | 293     | 257     | 250     |
| <b>McKinley Elementary (1960)</b>         |         |         |         |         |
| Square feet, 1960, 65, 67, 00, 08, 19     | 50,832  | 50,832  | 50,832  | 61,300  |
| Capacity*                                 | n/a     | n/a     | n/a     | 450     |
| Enrollment                                | 320     | 413     | 424     | 415     |
| <b>Mulberry Elementary (1961)</b>         |         |         |         |         |
| Square feet, 1965, 77, 00, 10             | 38,300  | 38,300  | 38,300  | 38,300  |
| Capacity*                                 | 300     | 300     | 300     | 300     |
| Enrollment                                | 290     | 304     | 250     | 254     |
| <b>Washington Elementary</b>              |         |         |         |         |
| Square feet                               | 48,870  | CLOSED  | CLOSED  | CLOSED  |
| Capacity*                                 | n/a     |         |         |         |
| Enrollment                                | 277     |         |         |         |
| <b>Central Middle School (1938)</b>       |         |         |         |         |
| Square feet, 1938, 91, 07                 | 132,223 | 132,223 | 132,223 | 132,223 |
| Capacity*                                 | n/a     | n/a     | n/a     | n/a     |
| Enrollment                                | 556     | 563     | 574     | 602     |
| <b>Susan Clark JH (West MS) (1960)</b>    |         |         |         |         |
| Square feet, 1960, 66, 71, 88, 06         | 109,873 | 109,873 | 109,873 | 109,873 |
| Capacity*                                 | 770     | 770     | 770     | 770     |
| Enrollment                                | 622     | 582     | 547     | 520     |
| <b>Muscatine High School (1973)</b>       |         |         |         |         |
| Square feet, 1973, 82, 96, 04, 13, 19     | 325,969 | 325,969 | 325,969 | 325,969 |
| Capacity*                                 | 1,750   | 1,750   | 1,750   | 1,750   |
| Enrollment                                | 1,453   | 1,459   | 1,495   | 1,476   |

Source: District records.

Notes: \* Capacity calculation is number of possible classrooms times maximum of 25 students each  
 \* Elementary Buildings were PK-5 or K-5 through 2017; K-6 beginning in 2018  
 \* Muskie ELC was Colorado Elementary through 2017; Preschool/PK beginning in 2018  
 \* Two Middle Schools were 6-8 through 2019; 7-8 in 2020

| Fiscal Year           |         |         |         |         |         |
|-----------------------|---------|---------|---------|---------|---------|
| 2020                  | 2021    | 2022    | 2023    | 2024    | 2025    |
| 29,438                | 29,438  | 29,438  | 29,438  | 29,438  | 29,438  |
| 260                   | 260     | 260     | 260     | 260     | 260     |
| 217                   | 212     | 244     | 190     | 171     | 187     |
| 35,557                | 35,557  | 35,557  | 35,557  | 35,557  | 35,557  |
| 300                   | 300     | 300     | 300     | 300     | 300     |
| 317                   | 260     | 239     | 265     | 290     | 295     |
| 37,233                | 37,233  | 37,233  | 37,233  | 39,539  | 39,539  |
| 300                   | 300     | 300     | 300     | 300     | 300     |
| 363                   | 326     | 326     | 299     | 305     | 302     |
| 66,000                | 66,000  | 66,000  | 66,000  | 66,000  | 81,215  |
| 450                   | 450     | 450     | 450     | 450     | 650     |
| 497                   | 455     | 447     | 434     | 424     | 447     |
| 43,229                | 43,229  | 43,229  | 43,229  | 44,990  | 44,990  |
| 450                   | 450     | 450     | 450     | 450     | 450     |
| 462                   | 428     | 427     | 425     | 390     | 374     |
| 61,300                | 61,300  | 61,300  | 61,300  | 61,300  | 61,300  |
| 450                   | 450     | 450     | 450     | 450     | 450     |
| 471                   | 470     | 484     | 448     | 431     | 398     |
| 38,300                | 38,300  | 38,300  | 38,300  | 38,300  | 38,300  |
| 300                   | 300     | 300     | 300     | 300     | 300     |
| 299                   | 292     | 266     | 259     | 282     | 297     |
| CLOSED                | CLOSED  | CLOSED  | CLOSED  | CLOSED  | CLOSED  |
| 132,223<br>n/a<br>390 | CLOSED  | CLOSED  | CLOSED  | CLOSED  | CLOSED  |
| 109,873               | 109,873 | 109,873 | 109,873 | 111,566 | 135,029 |
| 770                   | 770     | 770     | 770     | 770     | 770     |
| 364                   | 740     | 742     | 662     | 600     | 560     |
| 359,969               | 359,969 | 359,969 | 359,969 | 359,969 | 359,969 |
| 1,750                 | 1,750   | 1,750   | 1,750   | 1,750   | 1,750   |
| 1,456                 | 1,491   | 1,485   | 1,537   | 1,463   | 1,404   |

**Schedule 23**  
**Muscatine Community School District**

**Certified Staff Salaries**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| School Year      | Minimum       | Maximum       | Average       |
|------------------|---------------|---------------|---------------|
| 2015-2016        | \$ 36,876     | \$ 75,096     | \$ 52,480     |
| 2016-2017        | 36,981        | 75,418        | 52,800        |
| 2017-2018        | 37,297        | 75,990        | 52,708        |
| 2018-2019        | 37,307        | 76,003        | 54,020        |
| 2019-2020        | 37,300        | 75,993        | 54,207        |
| 2020-2021        | 38,036        | 77,400        | 55,713        |
| 2021-2022        | 38,549        | 78,350        | 56,767        |
| 2022-2023        | 40,549        | 80,350        | 58,213        |
| 2023-2024        | 44,023        | 87,530        | 59,050        |
| <b>2024-2025</b> | <b>50,000</b> | <b>89,386</b> | <b>64,090</b> |

Source: District personnel records.

Note: n/a = not available



## **Compliance**

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**Independent Auditor's Report on Internal Control Over  
Financial Reporting and on Compliance and Other Matters  
Based on an Audit of Financial Statements Performed in  
Accordance With Government Auditing Standards**

To the Board of Education  
Muscatine Community School District  
Muscatine, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Muscatine Community School District (the District) as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated October 17, 2025.

Our report includes an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 101.

**Report on Internal Control Over Financial Reporting**

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Muscatine Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

## Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of non-compliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Responses.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2025 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

## Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

*Bohnsack & Frommelt LLP*

Moline, Illinois  
October 17, 2025

## Muscatine Community School District

### Schedule of Findings and Responses Year Ended June 30, 2025

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#### Part I: Findings Related to the Basic Financial Statements

##### Instances of noncompliance:

No matters were reported.

##### Internal control deficiencies:

No matters were reported.

#### Part II: Other Findings Related to Statutory Reporting

##### II-A-25

Certified Budget – Expenditures for the year ended June 30, 2025, did not exceed the budget.

##### II -B-25

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

##### II -C-25

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

##### II -D-25

Business Transactions – No business transactions between the District and District officials or employees were noted except for the following:

| Name         | Position | Vendor       | Relationship | Amount    |
|--------------|----------|--------------|--------------|-----------|
| Brian Mathis | Teacher  | Surface Cure | Owner        | \$ 10,652 |

In accordance with the Attorney General's opinion dated November 9, 1976, the transactions do not appear to represent a conflict of interest.

##### II -E-25

Restricted Donor Activity- No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

##### II -F-25

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

##### II -G-25

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

(Continued)

## **Muscatine Community School District**

### **Schedule of Findings and Responses Year Ended June 30, 2025**

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#### **II -H-25**

##### **Certified Enrollment-**

Finding: There were variances to the October 2024 certified enrollment submitted to the Iowa Department of Education.

Recommendation: We recommend the District review and verify enrollment data before the October 1<sup>st</sup> process.

Response and Corrective Action Plan: The District will review enrollment data prior to submission to ensure accuracy of the information certified to the Department of Education.

Conclusion: Response accepted.

#### **II -I-25**

##### **Supplementary Weighting –**

Finding: There were variances to the October 2024 supplementary weighting data submitted to the Iowa Department of Education.

Recommendation: We recommend the District review supplementary weighting data prior to the October 1<sup>st</sup> process.

Response and Corrective Action Plan: The District will review supplementary weighting data prior to submission to ensure accuracy of the information certified to the Department of Education.

Conclusion: Response accepted.

#### **II -J-25**

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

#### **II -K-25**

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely.

#### **II -L-25**

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

(Continued)

## Muscatine Community School District

### Schedule of Findings and Responses Year Ended June 30, 2025

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#### II -M-25

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2025, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

|                                          |    |                  |
|------------------------------------------|----|------------------|
| Beginning balance                        | \$ | 9,077,860        |
| Revenue / transfers in:                  |    |                  |
| Statewide sales and services tax revenue |    | 5,850,001        |
| Interest and other                       |    | 412,769          |
| Expenditures/transfers out:              |    |                  |
| Transfer out                             |    | 4,253,224        |
| School infrastructure:                   |    |                  |
| Buildings                                |    | 1,860,130        |
| Ending balance                           | \$ | <u>9,227,276</u> |

For the year ended June 30, 2025, the District reduced the tax levy as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa as follows:

|                   | Per \$1,000<br>of Taxable<br>Valuation | Property Tax<br>Dollars |
|-------------------|----------------------------------------|-------------------------|
| Debt service levy | \$ 3.66                                | \$ 5,850,001            |